

ECONOMY — Basics of Economy & Microeconomics

Batch 1/10 · Parmar Ch.1-2 (full) + Lucent §2 (full) + PYQ bucket "01 Fundamental Principles of Economy" (47Qs) · ★=PYQ-tested · [B]=PYQ-book-only fact, not in Parmar/Lucent

1 Economics — Basic Definitions

Economics → study of limited resources → produce/distribute/consume goods+services. Divided: **Macro** ↔ **Micro**.

	Macroeconomics	Microeconomics
Studies	economy as a whole	individual consumers/firms/markets
Approach	top-down	bottom-up
Focus	govt/country actions → aggregate demand/supply, prices	individual/firm actions → demand/supply
Scope	large-scale, entire economy	small-scale, specific sector
Father ★	J.M. Keynes (England) → <i>General Theory of Employment, Interest & Money</i>	Adam Smith → <i>Wealth of Nations</i>
Examples	GDP, inflation, fiscal policy, national income, unemployment rate	product pricing, consumer behaviour, market competition

2 Economic Systems

Classified by → Ownership / Motive / Govt Role.

	Capitalist	Socialist	Mixed
Ownership	Private	Public/State	Public+Private
Motive	Profit	Social welfare	Both
Govt role	None	Complete	Limited
Income distrib.	Unequal (high)	Equal (theory)	Less unequal
Econ. freedom	Complete	None	Limited
Example	USA	USSR, N.Korea	India

Socialist = **Centrally Planned Economy** ★ → govt controls production/exchange/consumption, eg USSR [B: primary objective = social welfare, not profit; also called this because central authority takes all major decisions].

Spillover Effect → macro concept, event in one econ part/world impacts others → eg US Depression → spread globally.

HOOK Mixed economy [B]: both public+private coexist ★; market forces free in private sector, govt controls social-welfare/strategic sectors ★ (NOT "only private," "only public," or "only foreign" — tested distractors). India 1947-90 [B] → mixed economy → public sector = social welfare prominence + regulated private sector ★; post-1991 → shift to market-oriented policies ★.

TRAP Centrally planned economy A-R [B]: "govt decides all production/exchange/consumption" → TRUE ★; "market economy restricted to face-to-face physical marketplaces" → FALSE ★ (e-commerce/internet trade exists — tested A-R).

Govt's basic economic role (developed+developing) [B] ★ → **framing laws + delivering justice** → lets market function smoothly (NOT just regulating firms/promoting exports/currency exchange — tested distractors).

3 Key Historical Figures

Economist	Known as	Key work	Core ideas
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Adam Smith ★	Father of Micro/Modern Economics	Wealth of Nations (1776)	Invisible Hand → markets self-regulate via D&S ★; Market Economy → self-interest ("Animal Spirit," Keynes' term) → collective welfare; Laissez-faire → min govt interference
Alfred Marshall	Father of Microeconomics	Principles of Economics (1890)	Modern D&S theory; elasticity of demand, consumer surplus, partial equilibrium
J.M. Keynes ★	Father of Macroeconomics	General Theory of Employment, Interest & Money (1936)	Govt intervention needed → manage "Animal Spirits," revive economy in downturns; fiscal policy + public spending → ↑ demand/employment

Scarcity def of Economics ★ → by **Lionel Robbins ★** [B: 1932 book *An Essay on the Nature and Significance of Economic Science*] → science of human behaviour ↔ limited resources vs unlimited wants (alternative uses).

Quotes: "Animal spirits" → J.M. Keynes. "Managing animal spirits needs active govt role" → Robert J. Shiller (Nobel laureate). "Revive animal spirit in economy" → Manmohan Singh.

HOOK Invisible Hand ★ [B] → self-interest → market equilibrium via D&S, resource allocation w/o govt intervention (NOT monopoly control/govt control/trade regulation — tested distractors).

4 Classification of Goods

2 criteria → **Excludability** (can non-payers be excluded?) + **Rivalry** (does one's use reduce another's?).

- Excludable → must pay (ticket) | Non-excludable → can't prevent use (air, free YouTube)
- Rivalrous → my use blocks yours (apple, limited-edition car) | Non-rivalrous → doesn't (sunset, breathing) [B: reinforced — street light example]

	Rivalrous	Non-Rivalrous
Excludable	Private Goods → paid, ↓ availability for others → food, clothing, cars, parking	Club Goods → paid, shared w/o ↓ supply → cinemas, private parks, Netflix
Non-Excludable	Common Pool Resources → free, finite/depletable → fish stock, forest timber, coal	Public Goods ★ → free to all, non-rivalrous/non-excludable ★ → national defence, street lights, free-to-air TV

TRAP Public goods ★ [B]: correct statement = "benefits available to all" ★; NOT "clothes are a public good," NOT "provided via market mechanism," NOT "via individual buyer-seller transactions" (tested distractors — public goods bypass market provision).

Opportunity Cost → value of next-best alternative given up. Natural resources (sunlight) → zero opp. cost. **Free Rider Problem** → benefiting from public good w/o paying (street light w/o tax).

5 Sectors of the Economy — By Nature of Activity

Sector	Collar	Nature	Examples
Primary ★	Red	Directly env-dependent; "backbone of Indian economy" [B: also = natural-resource extraction/consumption, raw material supplier to Secondary]	Agri, fishing, hunting, forestry, mining
Secondary ★	Blue	= Manufacturing Sector; adds value to raw materials → "backbone of a country" (eg China); India → underdeveloped here (leaped to tertiary) [B: oil extraction from groundnut = Secondary, since it's processing/mfg not raw extraction]	Manufacturing, processing, construction, electricity
Tertiary	White	= Service Sector; mostly intangible	Teaching, transport, advertising, retail, hospitality, healthcare
Quaternary	—	= Knowledge Sector; knowledge-based/intellectual	Business Exec, Teaching, Manager, Banking, CA, Lawyer, Scientists

Quinary	Gold	High-level, decision-making	Media, Financial Services, Education, Research Scientists, IT, Policy makers, Politicians
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British-era: ~85% lived in villages, 70-75% agri-dependent (direct/indirect).

2011 Census ★: LFPR → Primary 54.6% (highest) / Secondary 24.3% / Tertiary 21.1%. %GDP → Primary 14.39% / Secondary 31.46% / Tertiary 54.15% (highest). Women in Primary Sector = 62.8%.

6 Sectors — By Employment & Ownership

	Organized	Unorganized
Employment	Regular	Small/scattered, outside govt control
Regulation	Registered; Factories Act, Min Wages Act, Gratuity, Shops & Establishments Act	No rules/regulations followed
Pay	Prescribed scale, regular/on-time	Low, irregular
Benefits	PF, paid leave/holidays, gratuity, medical, safe conditions	None (no OT/leave/sick pay)
Unions	Can form	Cannot

E-Shram Portal (2021) → National Database of Unorganised Workers (NDUW), Aadhaar-seeded.

Real Sector → actual goods/services production (land, labour). **Financial Sector** → financial assets (mutual funds, stocks, banking).

	Public Sector ("for society")	Private Sector ("for profit")
Def	Govt-owned orgs/services	Owned by individuals/companies
Examples	BHEL, SAIL, ONGC	Reliance, etc.
Focus	Tax-funded, public welfare, non-profit	Profit-driven, competitive, market-oriented
Benefits	Equal access, stability	Innovation, efficiency
Challenges	Public goods (funding burden)	Job insecurity

7 Normative vs Positive Economics & Parallel Economy

Normative	Positive
Opinion/value-based; not verifiable; idealistic; eg "unemployment must be $\leq 5\%$ "	Data/fact-based; verifiable; realistic; eg "current unemployment = 20%"

Parallel Economy → black-income generation, unaccounted (eg trafficking, illegal activity income).

8 Scarcity, Choice & PPF

Fundamental problem → scarcity (limited money/land/labour/time) vs unlimited wants → forces choice on resource allocation.

Production Possibility Frontier (PPF/PPC) → graph of max combos of 2 goods producible using available resources+tech, all resources used efficiently. Eg: ₹6000 → 6 pairs shoes OR 6 pairs jeans (all-or-mix).

Slope → downward/negative (trade-off: more of one = less of other). **MRT (Marginal Rate of Transformation)** = slope of PPC → amount of good sacrificed for 1 more unit of other.

On curve → full resource use | Under curve → under-utilisation | Beyond curve → not achievable.

Opportunity Cost → value of what's given up (eg buy jeans → shoes = opp. cost). **Free Goods** (air, sunlight) → zero opp. cost (abundant, no sacrifice needed).

9 Utility, Indifference Curve & Marginal Concepts

Utility → satisfaction from consumption. **Cardinal Utility** → numerical/quantitative, less realistic |

Ordinal Utility → ranked/qualitative, more realistic.

Indifference Curve (IC) → combos of 2 goods giving same satisfaction. Eg: (1 food+12 clothing) ~ (2 food+6 clothing) → same IC.

IC properties: convex to origin (rectangular hyperbola) [B: convexity = diminishing MRS]; slope = **MRS** (Marginal Rate of Substitution, formula: $\Delta \text{sacrifice} / \Delta \text{gain}$); 2 ICs never intersect.

Marginal Utility → extra satisfaction from 1 more unit. **Marginal Product (MP)** → extra output from 1 more input unit. **Marginal Cost (MC)** → $\Delta \text{total cost}$ from 1 more unit. **Marginal Revenue (MR)** → extra income from selling 1 more unit.

AFC (Average Fixed Cost) → total fixed cost (rent) ÷ output → curve downward-sloping. **AVC (Average Variable Cost)** → variable costs (raw material) vs output → curve U-shaped ★ [B: U-shape reason = Law of Variable Proportions ★]. $AVC + AFC = ATC$.

HOOK Law of Diminishing Marginal Utility ★ → each extra unit → ↓ additional satisfaction, ceteris paribus [B: propounded by **Hermann Heinrich Gossen** ★]. Graph: Zero MU = Point of Satiation; beyond → Negative MU.

Isoquant → combos of inputs (labour+capital) → same output; slope = **MRTS** (Marginal Rate of Technical Substitution).

10 Demand, Supply & Equilibrium

Demand → qty willing+able to buy at a price, in a period. **Law of Demand** → inverse price-qty relation, holds only if: income constant, other-goods' price constant, no preference change (Ceteris Paribus).

Movement on curve → price change | **Shift** of curve → other factors change (income/preference/related-good price). Rightward shift = demand ↑ | Leftward = demand ↓.

TRAP Exceptions to Law of Demand ★: **Giffen Goods** ★ → inferior/non-luxury, demand ↑ as price ↑ (no better alternative available); eg wheat price rise [B: income-effect reasoning — spends large income share on it, price ↑ → drops other items, MORE dependent on it, aka Giffen Paradox ★]. **Veblen Goods** ★ → luxury, demand ↑ as price ↑ (status symbol); eg iPhone, Mercedes. NOT exceptions: Substitute goods ★ [B — tested "which is NOT an exception"].

Demand function [B] → math relationship price↔qty; **demand curve** [B] → its graphical form, slopes down (Law of Demand).

Ex-Ante Aggregate Demand → intended expenditure; $AD = C(\text{intended consumption}) + I(\text{intended investment})$ [simplified, Parmar]. **Full macro identity** [B] ★: $AD = C + I + G + (X - M)$ ★ (consumption+investment+govt spending+net exports).

Equilibrium: $AD = AS$. $AD > AS$ → output ↑ | $AD < AS$ → inventory buildup → output ↓.

HOOK Single-commodity-as-aggregate-good (macro simplification) A-R [B] ★: Assertion (simplifies aggregate D/S analysis) = TRUE ★; Reason ("all goods behave identically under inflation") = FALSE ★ (real economy: some prices rise fast, others stable/fall) — tested "A true, R false."

Supply → amount available for purchase/use. **Supply curve** → price vs qty producers willing to supply; upward/positive sloping (producers maximise profit → more supply at better price).

Equilibrium = DnS curve intersection → equilibrium price/market-clearing price, $Q_d = Q_s$. Shifts if any factor shifts. Demand ↓ → shift left | Demand ↑ → shift right.

TRAP Market equilibrium statements [B] ★: "Qty firms want to sell = Qty consumers want to buy" → CORRECT ★. "Excess supply = demand > supply" → WRONG ★ (that's *excess demand*; excess supply = supply > demand — tested statement-pair).

11 Elasticity — Price, Income & Cross-Price

Price Elasticity of Demand: $E_d = \% \Delta \text{demand} / \% \Delta \text{price}$ ★ [B: eg price+10%, qty-20% → $E_d = 2$ → Elastic Demand ★].

Type	Meaning	Example
Perfectly Elastic ★	$e = \infty$; tiny price ↑ → demand to zero	Gold, cars (as printed — flagged inconsistent w/ Perfect Competition's own "perfectly elastic" claim elsewhere)

Relatively Elastic	small price Δ $\rightarrow$ large qty Δ ; $ed > 1$	—
Perfectly Inelastic	qty fixed regardless of price; $ed = 0$	Water, wheat, rice
Relatively Inelastic	qty $\Delta <$ price Δ ; $ed < 1$	—
Unitary Elastic	rectangular hyperbola; $ed = 1$; proportional Δ ; TR at max ★ (MR=0 at this point ★)	—

Income Elasticity: = $\% \Delta \text{qty demanded} / \% \Delta \text{real income}$. **Luxury Goods** $\rightarrow IE > 1$ (positive), demand rises more than income; eg luxury cars, designer clothes. **Inferior Goods** $\rightarrow IE < 0$ (negative), demand falls as income rises; eg low-quality foodgrains, public transport.

Cross-Price Elasticity $\rightarrow$ price Δ of Good A $\rightarrow$ demand Δ of Good B. Eg: Pepsi price +10% $\rightarrow$ Coke demand +5%. Negative cross-price elasticity = **Complementary Goods** ($P_y \uparrow \rightarrow Q_y \downarrow \rightarrow Q_x \downarrow$, consumed together).

Substitute Goods	Complementary Goods
Used in place of each other; competitive demand; price(A) $\uparrow \rightarrow$ qty demanded(B) $\uparrow$ (positive relation); eg tea $\leftrightarrow$ coffee, coke $\leftrightarrow$ pepsi	Used together; joint demand; price(A) $\uparrow \rightarrow$ qty demanded(B) $\downarrow$ (negative relation); eg tea + sugar, car + petrol

HOOK Substitute goods (tea/coffee) [B] $\rightarrow$ follow Law of Demand normally (price $\uparrow$ tea $\rightarrow$ demand shifts to coffee) — distinguish from Giffen/Veblen exceptions.

Elasticity of Supply [B] ★: $E_s = \% \Delta \text{qty supplied} / \% \Delta \text{price}$ ★. $E_s > 1 \rightarrow$ **Relatively Elastic Supply** ★ (proportionate supply $\Delta >$ price Δ).

12 Returns, Costs & Profit Concepts

HOOK Law of Diminishing Returns $\rightarrow$ after a point, extra input $\rightarrow$ smaller output gains; applies in short-run (≥ 1 fixed factor). Graph zones: Most Productive $\rightarrow$ Point of Diminishing Returns $\rightarrow$ Diminishing Returns $\rightarrow$ Point of Max Yield $\rightarrow$ Negative Returns. [B: aka **Law of Variable Proportions** ★ — 3 stages: (1) MP rises w/ input, (2) MP falls after a point, (3) MP turns negative ★ — matched to AVC's U-shape.]

Returns to Scale [B] ★ (long-run, all inputs vary):

Type	Meaning
Increasing (IRS) ★	Output $\uparrow >$ proportional input $\uparrow$ (eg inputs +50% $\rightarrow$ output +75% ★)
Constant (CRS)	Output $\uparrow =$ proportional input $\uparrow$
Decreasing (DRS)	Output $\uparrow <$ proportional input $\uparrow$

Economies of Scale [B] ★ $\rightarrow$ large-scale production $\rightarrow$ $\downarrow$ avg cost/unit (fixed costs spread over more units, bulk raw-material discount, division of labour) — distinct concept from Returns to Scale.

Abnormal Profit $\rightarrow$ profit above opp. cost of factor inputs. **Optimum Profit** ★ $\rightarrow$ max profit where $MR = MC$ ★ [B: NOT the break-even point]. **Regulated Profit** $\rightarrow$ govt-set max earnings/price/ROR, prevents monopoly abuse.

Bandwagon Effect (Demonstration Effect) $\rightarrow$ demand $\uparrow$ because others consume it; eg new phone everyone's buying. **Snob Effect** ★ $\rightarrow$ opposite; demand $\downarrow$ as good becomes common, consumer wants exclusivity ★; eg limited-edition watch.

TRAP Snob vs Bandwagon/Demonstration vs Veblen [B] ★: Snob = demand $\downarrow$ as good becomes common (exclusivity-seeking) ★; Bandwagon/Demonstration = imitate others' consumption ★; Veblen = demand $\uparrow$ from high price itself (status symbol) ★ — 3-way distinction, frequently confused.

Cost type	Meaning	Example
Fixed Cost	Constant regardless of output	Rent, licence, registration
Variable Cost	Fluctuates with output	Raw materials, shipping
Explicit Cost	Direct payment to others	Wage, rent, materials
Sunk Cost	Past cost, unrecoverable	Advertising, legal/accounting fees

Break-Even Point ★ → $TR=TC$ ★, no profit/no loss [B: confirmed distinct from $MR=MC$ which is optimum-profit point]. **Production Function** → input-output relationship.

13 Market Structures

Type	Sellers	Product	Entry	Elasticity	Example
Monopoly ★	One	No substitutes	High barriers	—	Indian Railways
Oligopoly	Few large firms	Similar/differentiated	No easy entry	—	Telecom, laptops
Monopolistic Competition	Many	Differentiated	Easy entry/exit	Highly elastic (not perfect)	Toothpaste
Perfect Competition ★	Many	Homogeneous	No barriers	Perfectly elastic ($ed=\infty$) ★	Agri products

14 Macroeconomic Concepts — MPC, Autonomous Expenditure

MPC (Marginal Propensity to Consume) = $\Delta C/\Delta Y$; $0 < MPC < 1$; ↓ at higher income. Eg: income + ₹10,000, spend + ₹1,000 → $MPC=0.1$.

Autonomous Expenditure → spending independent of income. Formula: $C=A+cY$ (A=autonomous consumption, $c=MPC$, Y =income). $Savings=1-c$. **Multiplier**= $1/(1-c)$. $MPC+MPS=1$.

Capital Formation [B] ★ → part of income used for investment (machinery/buildings/infra) instead of consumption → "net investment" ★ → ↑ future productive capacity (NOT ↓ FDI, ↑ consumer credit, or ↑ financial savings — tested distractors).

15 Lucent §2 — Economy, Economics & Economic Systems

Economy → state of a country: production/consumption/money supply. **Economics** → branch of knowledge: production/consumption/transfer of wealth. 3 systems evolved as historical stages.

Capitalistic Economy ← Adam Smith's *Wealth of Nations* (1776) [Adam Smith 1723-1790, Glasgow professor] → against heavy govt regulation → stressed division of labour, laissez-faire, invisible hand/market forces + need for competition. USA adopted (1 yr post-book) → by 1800 established globally as capitalism, aka Private Enterprise/Free Enterprise/Market Economy System. Production/qty/price decided by market/private enterprise; no state economic role.

State Economy ← Karl Marx (1818-1883) → first in USSR post-Bolshevik Revolution 1917 → ideal form in PRC 1949. Two versions: USSR=**Socialist** Economy (collective ownership, large state role) | pre-1985 China=**Communist** Economy (state owns ALL property incl. labour, absolute state power). Marx: socialism = transition stage → communism (never realized). Capitalist economies mocked socialist/communist ones as "state capitalism" (state = sole exploiter).

Mixed Economy ← Great Depression 1929 → Smith's self-correcting-market belief collapsed → US→W.Europe spread → unemployment, demand fall, lockouts. → Keynes' *General Theory* (1936), Cambridge economist (1883-1946) → questioned laissez-faire/invisible hand ("strangulates the poor," wages/prices not flexible enough for full employment) → proposed strong govt intervention: ↑ govt expenditure, discretionary fiscal policy (fiscal deficit, ↓ interest rates, cheap money supply) → pulled economies out of Depression → led to govt's active economic role → essential goods made free by state → Mixed Economy born.

Prof. Oscar Lange (1904-65, Polish) → 1950s → suggested capitalist-style reforms for socialist economies (parallel to Keynes for capitalism) → coined '**Market Socialism**' → rejected by state economies (seen as compromise toward democracy, "blasphemous" then).

Book/Theory	Author
The Wealth of Nations	Adam Smith
Money Illusion	Irving Fisher (printed "Irwin")
Capital and Growth	J.R. Hicks
General Theory of Employment, Interest and Money	J.M. Keynes
A Discourse on Political Economy	Jean-Jacques Rousseau

Planned Economy for India	M. Visvesvaraya
The Value and Capital	J.R. Hicks
The Canon of Consumer's Surplus	Marshall
Big Push Theory	A.R. Rodon (printed; usually P.N. Rosenstein-Rodan)
Datt & Sundharam's Indian Economy	Gaurav Datt & Ashwani Mahajan

16 Economic Growth vs Development

Economic Growth → ↑ econ variables over time → quantifiable (IMF/WB yardstick). Measured in: tonnes (food), km (roads), currency (production value), monetary terms (per capita income). Growth rate = annual concept, % of period-difference. Value-neutral but used positively by convention; negative case = "negative growth."

FY24-25 data: Q2 real GDP growth 5.4% (vs 8.1% Q2 FY23-24); H1 real GVA growth 6.2%; Real GDP Q2 FY25=₹44.10 lakh cr (vs ₹41.86 lakh cr); Nominal GDP Q2 FY25=₹76.60 lakh cr (vs ₹70.90 lakh cr, +8.0%). Retail inflation (CPI Combined, base 2012=100): 5.4% (2023-24) ↓ from 6.7% (2022-23); avg 4.8% (Apr-Oct FY25).

GDP growth Q1/Q2 FY25 = 6.7%/5.4% (2011-12 constant prices); H1 real GDP growth=6.0%. PFCE H1 FY25 growth=6.7% YoY (rural demand signals: 2/3-wheeler + tractor sales). NABARD survey (Jan 2025): 78.5% rural households reported ↑ consumption expenditure.

Manufacturing: industrial sector H1 FY25=6% (Q1=8.3%, Q2 moderated — oil/steel/cement sector challenges); Mfg PMI Dec 2024 = expansionary; RBI Industrial Outlook Survey → improved demand Q3/Q4 FY25. Services: H1 FY25=7.1%; PMI services expansionary; hospitality/air cargo/port/IT sectors performed well.

DOUBT All FY24-25 growth/inflation figures above are time-sensitive (BHARAT 2025/Economic Survey 2024-25/RBI Bulletin Dec 2024 sourced) — will not reflect current (Sept 2026) data; verify before relying.

Economic Development → pre-1950s: growth=development conflated. 1960s+: divergence noted (high growth ≠ high quality of life). Development variables: nutrition level, healthcare reach (hospitals/medicine/water/vaccination/sanitation), education level. Growth = precondition for development (income needed to fund quality-enhancing inputs); higher growth ≠ automatic higher development.

Appendix

A.1 — PYQ citation index (bucket "01 Fundamental Principles of Economy", 47 Qs)

Fact tested	Exam · Date · Shift
PESTAL: E=Economic	SSC CPO Tier-I, 12/12/2025 (Sh-01)
TR maximised at $Ed=1$	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Public goods = benefits available to all	SSC CHSL Tier-I, 14/11/2025 (Sh-03)
Elasticity calc (10% ↑ price, 20% ↓ qty → $Ed=2$)	SSC CGL Tier-I, 17/09/2025 (Sh-03)
Single-commodity-aggregate A-R	SSC CGL Tier-I, 20/09/2025 (Sh-02)
Opportunity cost = next best alternative	SSC CGL Tier-I, 20/09/2025 (Sh-01)
Snob effect definition	SSC CGL Tier-I, 25/09/2025 (Sh-02)
Break-even = $TR=TC$	SSC CGL Tier-I, 14/10/2025 (Sh-02)
Scarcity def = Lionel Robbins	SSC CGL Tier-I, 26/09/2025 (Sh-03)
Invisible hand = market equilibrium via self-interest	SSC Stenographer, 07/08/2025 (Sh-03)
Macroeconomic indicator = unemployment rate	SSC Phase XIII, 28/07/2025 (Sh-01)
Aggregate demand = $C+I+G+(X-M)$	SSC Phase XIII, 24/07/2025 (Sh-01)
Barter/double coincidence A-R	SSC Phase XIII, 29/08/2025 (Sh-01)
"What to produce" = capital vs consumer goods	SSC Stenographer, 08/08/2025 (Sh-03)
AVC U-shaped, Law of Variable Proportions	SSC Stenographer, 07/08/2025 (Sh-02)

Opportunity cost concept (repeat)	SSC Stenographer, 06/08/2025 (Sh-02)
Elasticity of supply formula	SSC Phase XIII, 30/07/2025 (Sh-03)
NOT exception to Law of Demand = substitute goods	SSC Phase XIII, 25/07/2025 (Sh-03)
Returns to scale (50%input→75%output=IRS)	SSC Phase XIII, 29/08/2025 (Sh-02)
Economies of scale definition	SSC Phase XIII, 02/08/2025 (Sh-02)
Diminishing Marginal Utility (LDMU) statement	SSC Stenographer, 06/08/2025 (Sh-01)
Match: Law of Demand/Diminishing MP/Variable Proportions	SSC Stenographer, 06/08/2025 (Sh-01)
Scarcity problem = limited resources, unlimited wants	SSC Stenographer, 07/08/2025 (Sh-01)
Capital formation definition	SSC Stenographer, 06/08/2025 (Sh-03)
Demand curve = graphical demand function	SSC PHASE XIII, 26/07/2025 (Sh-02)
LDMU explained (Gossen)	SSC Phase XIII, 29/07/2025 (Sh-02)
Demand function → demand curve terminology	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
Opportunity cost = best alternative forgone	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Law of demand statement (ceteris paribus)	SSC CGL Tier-I, 25/09/2025 (Sh-01)
India 1947-90 = mixed economy	SSC Phase XIII, 29/08/2025 (Sh-02)
Centrally planned vs market economy A-R	SSC Phase XIII, 29/07/2025 (Sh-02)
Bhutan = first GNH-over-GDP country	SSC Phase XIII, 28/07/2025 (Sh-02)
Macro-Micro pairing = Macro-National Income	SSC Stenographer, 08/08/2025 (Sh-01)
Indian economy 1947-90 system	SSC Phase XIII, 29/08/2025 (Sh-02)
Primary sector = natural resource extraction	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
Non-rivalrous definition	SSC CHSL Tier-I, 18/11/2025 (Sh-03)
Oil from groundnut = secondary sector	SSC CHSL Tier-I, 20/11/2025 (Sh-02)
Primary sector concern = agri/mining/fishing	SSC Phase XIII, 24/07/2025 (Sh-02)
Mixed economy Five-Year-Plan feature	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Socialist economy = centrally planned	SSC CPO Tier-I, 13/12/2025 (Sh-01)
Mixed economy definition (both sectors coexist)	SSC CGL Tier-I, 19/09/2025 (Sh-01)
Govt's basic economic role = laws/justice	SSC CGL Tier-I, 18/09/2025 (Sh-02)
Indifference curve = same-satisfaction combos	SSC CGL Tier-I, 19/09/2025 (Sh-03)
Law of demand statement, ceteris paribus (2)	SSC CPO Tier-I, 13/12/2025 (Sh-01)
Market equilibrium statement pair	SSC Phase XIII, 30/07/2025 (Sh-02)
Liquidity trap = perfectly elastic money demand	SSC Phase XIII, 24/07/2025 (Sh-03)
Liquidity trap illustration	SSC Phase XIII, 28/07/2025 (Sh-02)
Giffen paradox = essential+inferior good dependency	SSC CPO Tier-I, 13/12/2025 (Sh-01)

A.2 — Doubts carried forward from raw extraction

"Perfectly Elastic Demand — eg gold/cars" (p.253) conflicts with "Perfect Competition — perfectly elastic, eg agri products" (p.256) — both transcribed verbatim, not reconciled. 2011 Census sector data is time-sensitive. "Parallel Economy... renders punctuation by Government punctuation" is garbled in the source (likely "sanction"), transcribed as printed. Big Push Theory credited to "A.R. Rodon" in Lucent (standard attribution: P.N. Rosenstein-Rodan) — flagged, not corrected. Money Illusion author printed "Irwin Fisher" (standard: Irving Fisher).

ECONOMY — National Income

Batch 2/10 · Parmar Ch.3 (full) + Lucent §1+§5 (full) + PYQ bucket "02 National Income" · ★=PYQ-tested · [B]=PYQ-book-only fact

1 National Income — Definitions & Pioneers

- National Income → total value of goods+services by a country's residents in a year → macroeconomic concept
- Concept first given by → **Dadabhai Naoroji**
- National Income Committee (1949) → headed by **P.C. Mahalanobis**
- **V.K.R.V. Rao** → scientific approach to calc. National Income; also gave two-sector economy classification
- National wealth ↔ National income → wealth = present assets at a point in time; income = production power over a period
- Calculated on 1-year base → captures all seasons

DOUBT Data-issuing body conflict: Lucent §5 says "issued by Central Statistical Organisation (CSO)"; Lucent §1 (same book) attributes releases to NSO/MoSPI. CSO has since merged into NSO — both statements transcribed as printed, not reconciled.

$\text{NNP at Factor Cost} = \text{NNP at Market Price} - \text{Indirect Taxes} + \text{Subsidies} = \text{GNP at MP} - \text{Indirect Taxes} + \text{Subsidies} = \text{National Income}.$

2 Circular Flow of Income

- Def → continuous movement of goods/services/resources/money in an economy
- Households → provide land/labour/capital to Firms → get income (wages/rent/profit)
- Firms → produce goods/services → sell to Households (expenditure)
- **Real Flow** → movement of goods/services/factors of production | **Money Flow** → movement of money/payments

Factor of Production	Payment
Land	Rent
Labour	Wages
Capital	Interest
Entrepreneur	Profit

- **2-Sector Model** → Households+Firms (simplest)
- **3-Sector Model** → +Government
- **4-Sector Model** (Open Economy) → +Foreign trade
- **Injection** ★ → funds entering economy, ↑ spending/income → eg Investment, Govt Spending, Exports
- **Leakage** ★ → funds exiting circular flow, ↓ spending/growth → eg Savings, Taxes, Imports

HOOK 2-sector economy [B] ★: households save part of income → savings = **leakage** ★ from circular flow → ↓ total demand → must be balanced via investment (NOT "automatic firm-profit increase," inflation, or constant output — tested distractors).

3 Three Methods to Calculate National Income

Method	Mechanism
Value Added / Production / Output Method	Value at each production stage; Value Added = Output – Input
Income Method	Sum of all factor-of-production income in producing final goods/services
Expenditure Method	Sum of all spending on goods/services — most common GDP method; = C+G+I+(X–M)

Worked example (Value Added): Cotton ₹100 → Yarn ₹200 → Cloth ₹400 → Shirt ₹800 (output at each stage); value added at each stage = 100 / 100 / 200 / 400.

GVA → value producers add to goods/services bought+sold; $GVA = GVA_1 + GVA_2 + \dots + GVA_N$. Adopted by CSO in 2015 (as printed; CSO since merged into NSO).

Income Method components: (a) **Compensation to Employees** → total wages/salaries; (b)

Operating Surplus → profit+rent+interest after deducting employee compensation; (c) **Mixed Income** → self-employed/unincorporated business income, where labour+capital factor-income can't be separated → eg a doctor running their own clinic.

Orange Economy → creativity/culture/IP-based economy → eg film industry, music industry, fashion design.

4 Goods Classification & Economic Problems

Final Goods	Intermediate Goods
No further economic process; used for personal consumption/investment (direct)	Semi-finished, undergo further transformation; inputs for other goods, get customised
Eg: tea bought from shop for personal use	Eg: tea bought by a hotel to prepare+resell to customers [B: also — copper used to make utensils]

3 fundamental economic problems (scarcity-driven): **What to Produce?** (resource allocation across goods) · How to Produce? · For Whom to Produce?

Consumer Goods	Capital Goods
Finished, direct personal use, not used to produce other goods; eg clothes/food/smartphones	Used by businesses to produce other goods, not immediately consumed; eg machines/factory equipment/tools [B: durable, don't transform into final product]

- **Inventory** → stock held for sale/production (raw material/WIP/finished goods); sales ↑ → inventory decumulates, sales ↓ → accumulates; planned or unplanned
- **Auxiliaries to Trade** → services moving goods producer → consumer → eg transport, communication, banking, insurance, warehousing, advertising

Stock	Flow
Static; measured at a point in time; eg wealth, loan, inventory, capital, money supply	Dynamic; measured over a period; eg income, expenditure, inventory change, depreciation

5 GDP, GNP, NDP, NNP — Definitions & Core Formulas

- **GDP ★** → total value of final goods/services within a country's territory, in a financial year (1 Apr–31 Mar); second-hand goods never counted; only final goods counted (avoids double counting) [B: excludes intermediate goods' value — the "usually excluded" answer ★]
- GDP developed by → **Simon Kuznets** (Russian-American economist), 1934
- GDP full form ★ [B] = Gross Domestic Product

TRAP GDP's 5 limitations as a welfare measure: (1) ignores income distribution; (2) excludes non-market activities (household work/volunteering/caregiving); (3) ignores environmental damage; (4) excludes quality-of-life factors (health/education/leisure/safety/happiness); (5) excludes underground/black-market economy. [B ★ A-R: "GDP doesn't tell the whole wellbeing story" = TRUE; "doesn't count wear/tear, pollution, income distribution" = TRUE, correctly explains it ★.]

- **GNP ★** → total value of final goods/services by nationals of a country (residents, within+abroad) [B: "total global income of Indians" ★]; $GNP = GDP - \text{Factor Income to Abroad} + \text{FI from Abroad}$, OR $GNP = GDP + \text{NFIA}$ (Net Factor Income from Abroad)
- **NDP** → economic output after adjusting for depreciation; **NDP = GDP – Depreciation**
- Depreciation → asset's monetary value ↓ over time (wear & tear), seen in capital goods [B: replacement investment = depreciation; Gross Investment – Depreciation = Net Investment ★; worked example: machinery ₹50 lakh, depreciation ₹5 lakh → Net Investment = ₹45 lakh ★]
- **NNP ★** → monetary value of finished goods/services by a country's citizens in a period; **NNP = GNP – Depreciation** [B: GNP-NNP difference = Depreciation ★ — the tested distinguishing fact]

Market Price (MP)	Factor Cost (FC)
Final selling value, includes indirect taxes	Cost of factors of production; indirect tax NOT included [B ★: FC = ONLY payment to factors — land(rent)/labour(wages)/capital(interest)/entrepreneurship(profit); excludes product/production taxes, no subsidy subtracted ★]

$FC = MP - \text{Indirect Tax} + \text{Subsidy} = MP - \text{Net Indirect Tax}$. Basic Price = FC + Net Production Tax (Net Production Tax = Production Tax – Subsidy).

Product tax (per-unit, eg GST/excise/sales tax) ↔ **Production tax** (independent of output, eg land tax/stamp duty/licence fee).

Mnemonic: Gross→Net = subtract Depreciation | Domestic→National = add NFIA | MP→FC = subtract Net Indirect Tax.

Nation's Territory=GDP | Nation's People=GNP | Total Income=Total Expenditure=Total value of goods/services.

6 National Income — Full Formula Reference (advanced, Lucent)

Formula	Definition
GVA at basic prices (Production Approach)	= Output at basic price – Intermediate Consumption
GVA at basic prices (Income Approach)	= CE + Operating Surplus/Mixed Income + CFC + Production taxes less Production subsidies
GDP	= Σ GVA at basic prices + Product taxes less Product subsidies
NDP / NNI	= GDP/GNI – CFC (Consumption of Fixed Capital)
GNI	= GDP + Net Primary Income from Rest of World (Receipts – Payments)
Primary Incomes	= Compensation of Employees + Property & Entrepreneurial Income
NNDI	= NNI + other current transfers from RoW, net
GNDI	= NNDI + CFC = GNI + other current transfers from RoW, net
Gross Capital Formation (financing side)	= Gross Savings + Net Capital Inflow from RoW
GCF (expenditure side)	= GFCF + Changes in Stock (CIS) + Valuables
Gross Disposable Income of Govt.	= GFCE + Gross Saving of Central Govt.
Gross Disposable Income of Households	= GNDI – GDI of Govt. – Gross Savings of All Corporations

Production taxes/subsidies: independent of output volume; eg Land Revenue, Stamps & Registration fees, Tax on Profession (taxes); Railways subsidy, village/small-industries subsidy (subsidies). **Product taxes/subsidies:** per-unit; eg GST, Excise, Sales Tax, Service Tax, Import/Export duties (taxes); Food/Petroleum/Fertilizer subsidy (subsidies). "Other Current Transfers" = transfers other than primary incomes. GCF estimated 2 ways: flow-of-funds (Gross Saving + net capital flow from RoW) OR commodity-flow (by asset type).

7 Real vs Nominal GDP, Deflator & Income Measures

Real GDP	Nominal GDP
Base-year reference; constant prices; inflation-adjusted	Current prices; inflation NOT adjusted → higher than Real GDP due to inflation

GDP Deflator = $(\text{Nominal GDP} / \text{Real GDP}) \times 100$ → aka "Implicit Price Deflator" / "Price Index." Does NOT factor in import prices; accounts for value of all final goods incl. exports. India's GDP calculated by NSO under MoSPI.

HOOK Sectoral GDP-share shift [B] ★: **1950-51** → Industry ≈12-13% of GDP, Agriculture ≈53-59%, Services ≈27-30% (economy mainly agriculture-based then). **Today** → Services = highest GDP contributor, >**54%** of GDP ★ — even though Agriculture still employs the most people ★ (economic value-add ≠ employment share); within services, **Trade/Hotels/Transport/Communication/Financial Services** are the most significant contributors ★.

DOUBT Base-year conflict: Parmar states GDP base year = 2022-23 (as of 2026); Lucent's own data tables use the 2011-12 base series throughout (SAE/FRE/FE tables below). Both transcribed as printed, not reconciled — verify current official base year before relying on either.

- **Per Capita Income** → avg money earned per person in an area/period; = National Income / Population
- **Purchasing Power Parity** → goods/services buyable with given money ("common basket of goods")
- **Personal Income** → total individual income from all sources, before taxes; $PI = NI + \text{Income received but not earned} - \text{Income earned but not received}$, OR $PI = NI + \text{Govt transfers} + \text{Net interest paid by Govt} + \text{Corporate tax payment for social security}$ (garbled as printed); $PI = NI + \text{Transfer Payment} - \text{Undistributed Corporate Profit}$ (Transfer Payment eg = Govt subsidies/Scholarship/Pension)
- **Personal Disposable Income** ★ → money left after taxes+mandatory withholding; = **Personal Income** – **Tax** [B: belongs to households ★ — the tested "who does PDI belong to" answer]
- **Potential GDP** → total output if resources fully utilised; **Recessionary Gap** = **Potential GDP** – **Real GDP**
- **Green GDP** = **GDP** – **Environmental Damage**
- **Gross Domestic Capital Formation** → total investment to create/increase physical assets; eg factory building, new machinery

DOUBT India's global GDP rank conflict: Parmar (as of 2026) says India ranks **5th nominal, 3rd in PPP** (after USA, China); Parmar's own "Ranking of GDP (Nominal)" box: 1.USA 2.China 3.Germany 4.Japan 5.India. Lucent's Forbes India (28 Apr 2025) table (see Batch 6) shows India **4th nominal**. Both preserved verbatim — rankings are time-sensitive and disputed even within the source material.

8 India's National Income — Growth Data (FY2022-25, time-sensitive)

DOUBT Every figure in this section and the next is dated to NSO/MoSPI releases of 28 Feb 2025 and 30 May 2025 — superseded by later FY25 revisions (due 2026/2027) and FY26 estimates. Do not treat as current (today: Sept 2026); verify against the latest MoSPI release.

- NSO/MoSPI Press Note (28 Feb 2025): Second Advance Estimates (SAE) of National Income 2024-25; Quarterly Estimates of GDP for Q3 2024-25; First Revised/Final Estimates for 2023-24/2022-23
- SAE released at Constant (2011-12) + Current Prices, per National Accounts release calendar
- Real GDP growth FY24-25 = 6.5%; Nominal GDP growth = 9.9% (both revised up from First Advance Estimates)
- Real GDP FY23-24 (First Revised Est.) = 9.2% → highest in 12 yrs except FY21-22 (post-COVID); driven by Manufacturing +12.3%, Construction +10.4%, Financial/RealEstate/ProfServices +10.3%
- Real GDP FY22-23 (Final Est.) = 7.6% → driven by Trade/Hotels/Transport/Comm/Broadcasting +12.3%, Financial/RealEstate/ProfServices +10.8%, Electricity/Gas/Water/Utilities +10.8%
- Q3 FY24-25: Real GDP growth 6.2%, Nominal GDP growth 9.9%; Q2 FY24-25 Real GDP growth revised up to 5.6%
- 2024-25 sector growth: Construction 8.6%, Financial/RealEstate/ProfServices 7.2%, Trade/Hotels/Transport/Comm/Broadcasting 6.4%
- PFCE growth 2024-25 = 7.6% (vs 5.6% in 2023-24)
- Real GDP FY24-25 = ₹187.95 lakh cr (vs ₹176.51 lakh cr FY23-24 FRE) | Nominal GDP FY24-25 = ₹331.03 lakh cr (vs ₹301.23 lakh cr) — growth 6.5%/9.9%
- Real GVA FY24-25 = ₹171.80 lakh cr (vs ₹161.51 lakh cr), growth 6.4% (vs 8.6%) | Nominal GVA FY24-25 = ₹300.15 lakh cr (vs ₹274.13 lakh cr), growth 9.5%
- Q3 FY24-25 Real GDP = ₹47.17 lakh cr (vs ₹44.44 lakh cr), growth 6.2% | Nominal GDP = ₹84.74 lakh cr (vs ₹77.10 lakh cr), growth 9.9%
- Q3 FY24-25 Real GVA = ₹43.13 lakh cr (vs ₹40.60 lakh cr), growth 6.2% | Nominal GVA = ₹77.06 lakh cr (vs ₹69.90 lakh cr), growth 10.2%

- Q4 FY24-25 (Jan-Mar 2025) Real GDP growth = 7.4% (4-quarter high) → industrial growth (mfg/construction/mining) drove it; consumption demand slowed
- Full-year FY24-25 growth = 6.5% (4-year low), per NSO release 30 May 2025
- GDP grew 8.4% Q4 FY23-24, 9.2% full FY23-24; Q3 FY24-25 growth revised to 6.4% (from 6.2%)
- Industrial growth Q4 FY25 = 6.8% (from 5.1% Q3, vs 10.2% Q4 FY24) | Manufacturing Q4 FY25 = 4.8% (3-quarter high, vs 11.3% year-ago) | Construction Q4 FY25 = 10.8% (vs 8.7% year-ago)
- GVA growth Q4 FY25 = 6.8% (vs 6.5% Q3, vs 7.3% Q4 FY24); GDP=GVA+net product taxes(taxes–subsidies); net taxes grew 12.7% Q4 (vs 5% Q3, vs 18.7% year-ago). Full FY25 GVA growth = 6.4% (vs 8.6% FY24)
- Mining Q4 FY25 = 2.5% (vs 13% Q3, vs 0.8% Q4 FY24) | Agriculture Q4 FY25 = 5.4% (vs 6.6% Q3, vs 0.9% Q4 FY24) | Services Q4 FY25 = 7.3% (vs 7.4% Q3, vs 7.8% Q4 FY24)
- PFCE growth Q4 FY25 = 6.0% (5-quarter low, vs 8.1% Q3)
- MoSPI released 2 datasets 30 May 2025: Q4 FY25 growth estimate + provisional FY25 estimate
- 2 growth metrics: **GDP** (expenditure-side, sums individual/govt/business spending) vs **GVA** (supply-side, sums value-added per sector); **GDP = GVA + taxes earned by govt – subsidies provided by govt**
- Estimate revision cycle: Jan=First Advance Estimates(FAE) → end-Feb=Second Advance Estimates(SAE, +Q3 data) → end-May=Provisional Estimates(PE, +Q4 data) → +1yr=First Revised Estimates → +2yr=Final Estimates. For FY25: revisions due 2026 & 2027
- Nominal GDP FY25 = ₹330.7 trillion (lakh crore) per PE, +9.8% over FY24; in USD (+85.559 rate) = \$3.87 trillion
- FY25's 9.8% nominal growth = 3rd-slowest since 2014 (current govt), 6th-slowest since 1991 liberalisation; CAGR since 2014-15=10.3%; CAGR since 2019 (NDA 2nd term)=9.8%
- International growth comparisons use Real GDP (not nominal) since inflation differs by country
- Real GDP FY25 = ₹188 trillion, +6.5% (vs 9.2% FY24); CAGR of real GDP ≈5%+ since 2019, ≈6%+ since 2014
- 3 GVA sectors: Agriculture & allied (forestry etc.); Industry (mfg, construction etc.); Services (financial services, trade, hotels etc.)
- FY25 real GVA growth = 6.4% (vs 8.6% FY24); no sector's CAGR near 6% since 2019-20
- Since 2019-20: Manufacturing GVA CAGR = 4.04% — SLOWER than Agriculture & allied CAGR = 4.72% → explains high urban/youth unemployment + labour moving back to villages/agriculture

9 National Income Data Tables — Constant & Current Prices (2022-25)

DOUBT These tables (Lucent, NSO SAE 28 Feb 2025) are time-sensitive and read from a 120-dpi scan — spot-check individual cells against a primary source before relying on any single number. Discrepancy row's "% change" columns are printed as raw numbers even though the table's own note says shares should appear there instead — as printed, not corrected.

Constant (2011-12) Prices, ₹ crore — FE 2022-23 / FRE 2023-24 / SAE 2024-25 (%chg '24/'25)	
GVA at Basic Prices	1,48,78,028 / 1,61,51,477 / 1,71,79,842 (+8.6% / +6.4%)
Net Taxes on Products	12,86,885 / 14,99,114 / 16,15,253 (+16.5% / +7.7%)
GDP	1,61,64,913 / 1,76,50,591 / 1,87,95,095 (+9.2% / +6.5%)
NDP	1,40,76,950 / 1,54,21,624 / 1,64,24,210 (+9.6% / +6.5%)
PFCE	93,84,943 / 99,06,774 / 1,06,61,785 (+5.6% / +7.6%)
GFCE	15,43,991 / 16,69,675 / 17,32,611 (+8.1% / +3.8%)
GFCF	54,37,725 / 59,15,288 / 62,78,171 (+8.8% / +6.1%)
Changes in Stock (CIS)	1,99,177 / 3,05,610 / 3,18,839 (+53.4% / +4.3%)
Valuables	2,35,146 / 2,69,106 / 2,71,782 (+14.4% / +1.0%)
Exports	37,43,310 / 38,25,494 / 40,97,742 (+2.2% / +7.1%)
Imports	38,59,869 / 43,90,614 / 43,41,194 (+13.8% / -1.1%)
Discrepancies	-5,19,510 / 1,49,257 / -2,24,641
GNI	1,59,39,376 / 1,74,04,638 / 1,85,21,328 (+9.2% / +6.4%)
NNI	1,38,51,412 / 1,51,75,671 / 1,61,50,443 (+9.6% / +6.4%)

Population (mn)	1,383 / 1,395 / 1,408
Per Capita GDP (₹)	1,16,892 / 1,26,528 / 1,33,488 (+8.2% / +5.5%)
Per Capita GNI (₹)	1,15,261 / 1,24,764 / 1,31,544 (+8.2% / +5.4%)
Per Capita NNI (₹)	1,00,163 / 1,08,786 / 1,14,705 (+8.6% / +5.4%)
Per Capita PFCE (₹)	67,865 / 71,016 / 75,723 (+4.6% / +6.6%)

Share in GDP % (constant prices): PFCE 58.1/56.1/56.7 · GFCE 9.6/9.5/9.2 · GFCF 33.6/33.5/33.4 · CIS 1.2/1.7/1.7 · Valuables 1.5/1.5/1.4 · Exports 23.2/21.7/21.8 · Imports 23.9/24.9/23.1 · Discrepancies -3.2/0.8/-1.2.

Current Prices, ₹ crore — FE 2022-23 / FRE 2023-24 / SAE 2024-25 (%chg '24/'25)	
GVA at Basic Prices	2,46,46,698 / 2,74,12,888 / 3,00,14,893 (+11.2% / +9.5%)
Net Taxes on Products	22,43,775 / 27,10,068 / 30,88,322 (+20.8% / +14.0%)
GDP	2,68,90,473 / 3,01,22,956 / 3,31,03,215 (+12.0% / +9.9%)
NDP	2,37,61,232 / 2,67,62,544 / 2,94,23,836 (+12.6% / +9.9%)
PFCE	1,65,27,862 / 1,81,30,431 / 2,03,54,192 (+9.7% / +12.3%)
GFCE	27,57,628 / 31,04,298 / 33,58,066 (+12.6% / +8.2%)
GFCF	83,96,038 / 91,65,224 / 98,01,025 (+9.2% / +6.9%)
Changes in Stock (CIS)	2,99,851 / 4,59,571 / 4,97,703 (+53.3% / +8.3%)
Valuables	3,44,489 / 4,24,919 / 4,96,532 (+23.3% / +16.9%)
Exports	62,52,449 / 64,60,982 / 70,10,639 (+3.3% / +8.5%)
Imports	72,13,027 / 70,92,192 / 77,76,928 (-1.7% / +9.7%)
Discrepancies	-4,74,817 / -5,30,277 / -6,38,014
GNI	2,65,20,166 / 2,97,10,786 / 3,26,24,918 (+12.0% / +9.8%)
NNI	2,33,90,925 / 2,63,50,374 / 2,89,85,539 (+12.7% / +9.8%)
GNDI	2,73,39,378 / 3,05,94,001 / 3,35,83,538 (+11.9% / +9.8%)
NNDI	2,42,10,137 / 2,72,33,589 / 2,99,04,160 (+12.5% / +9.8%)
Per Capita GDP (₹)	1,94,451 / 2,15,935 / 2,35,108 (+11.0% / +8.9%)
Per Capita GNI (₹)	1,91,773 / 2,12,981 / 2,31,711 (+11.1% / +8.8%)
Per Capita NNI (₹)	1,69,145 / 1,88,892 / 2,05,579 (+11.7% / +8.8%)
Per Capita GNDI (₹)	1,97,697 / 2,19,312 / 2,38,519 (+10.9% / +8.8%)
Per Capita PFCE (₹)	1,19,516 / 1,29,967 / 1,44,561 (+8.7% / +11.2%)

Share in GDP % (current prices): PFCE 61.5/60.2/61.5 · GFCE 10.3/10.3/10.1 · GFCF 31.2/30.4/29.6 · Exports 23.3/21.4/21.2 · Imports 26.8/23.5/23.5.

Appendix

A.1 — PYQ citation index (bucket "02 National Income")

Fact tested	Exam · Date · Shift
PDI belongs to households; PDI=PI-Direct Tax	SSC CHSL Tier-I, 27/11/2025 (Sh-02)
Intermediate good = copper for utensils	SSC CHSL Tier-I, 25/11/2025 (Sh-02)
Replacement investment = depreciation	SSC CHSL Tier-I, 18/11/2025 (Sh-03)
Depreciation: GVA→Net Value Added	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
Intermediate/Capital goods statement pair	SSC Phase XIII, 30/07/2025 (Sh-02)
2-sector: savings=leakage	SSC Stenographer, 07/08/2025 (Sh-02)
GNP interpretation (residents+non-residents)	SSC Stenographer, 08/08/2025 (Sh-02)
Services sector = highest GDP contributor	SSC Stenographer, 07/08/2025 (Sh-03)
GDP full form	SSC Phase XIII, 29/07/2025 (Sh-01)
Personal income/private-public income statement	SSC CHSL Tier-I, 22/11/2025 (Sh-02)

Sum of GVA of all firms = GDP	SSC CHSL Tier-I, 14/11/2025 (Sh-01)
1950-51 industry GDP share = 13%	SSC CHSL Tier-I, 13/11/2025 (Sh-01)
GNP-NNP difference = Depreciation	SSC CPO Tier-I, 12/12/2025 (Sh-02)
A-R: autonomous investment multiplier effect	SSC CGL Tier-I, 21/09/2025 (Sh-01)
A-R: GDP doesn't reflect wellbeing	SSC CGL Tier-I, 21/09/2025 (Sh-03)
GDP excludes intermediate goods value	SSC CGL Tier-I, 22/09/2025 (Sh-01)
Net Investment worked example (₹50L-₹5L=₹45L)	SSC Stenographer, 08/08/2025 (Sh-02)
Factor cost = only factor payments	SSC CHSL Tier-I, 26/11/2025 (Sh-02)

A.2 — Conflicts flagged (both sources' figures kept, not reconciled)

- GDP base year: Parmar says 2022-23; Lucent's tables use 2011-12 base series throughout
- Data-issuing body: Lucent §5 says CSO; Lucent §1 says NSO/MoSPI (same book, internally inconsistent)
- India's global GDP rank: Parmar says 5th nominal/3rd PPP (as of 2026); Lucent's Forbes India table (Batch 6) shows 4th nominal (28 Apr 2025)

ECONOMY — Budget, Taxation & Fiscal System

Batch 3/10 · Parmar Ch.4 (full) + Lucent §10+§12 (full) + PYQ buckets "04 Indian Tax System" + "05 Public Finance" · ★=PYQ-tested · [B]=PYQ-book-only

1 Budget — Constitution, History & Records

- Budget → approximation of revenue+expenses over a period; official constitutional term = "**Annual Financial Statement**" (AFS) ★ [B: "Budget" itself NOT in Article 112's text ★]
- Article 112** → govt must present AFS to Parliament; **Article 202** → same requirement for States (state legislature)
- AFS presented by → **President** to both Houses; prepared by → Dept of Economic Affairs (Min. of Finance); presented (read out) by → **Finance Minister**
- AFS = estimated receipts+expenditure for FY (1 Apr–31 Mar) [B, reinforced]; every budget gives 3 figure-sets → actual (preceding yr), budget+revised (current yr), estimates (following yr) [Lucent]; based on figures of 2 previous years [Lucent]
- First Budget → **R.K. Shanmukham Chetty**; Second → **John Mathai**
- Most budgets presented: Morarji Desai=10 (record, 6 in a row) → P. Chidambaram=9 → Nirmala Sitharaman=9 (incl. 9 consecutive) → Pranab Mukherjee=8 → Yashwant Sinha=8
- Gender Sensitive Budget → 2005-06 [also cross-ref Gender Budget Parts below]; Indira Gandhi = 1st (temporary) female FM
- Child Budgeting → introduced 2008-09 [B ★, reinforced: financial-inclusion step after gender budgeting; covers schemes with ≥30% or 100% child benefit ★]
- Railway Budget: **Acworth Committee (1921)** → recommended separation from General Budget; **Bibek Debroy Committee (2016)** → recommended merger back; merged from **FY2017-18**

HOOK Budget 2017-18 reforms (3 major) [Lucent]: (1) presentation date advanced to **1 Feb** ★ (from last working day of Feb) → avoids Vote-on-Account, single Appropriation Bill passed before FY starts; (2) **Railway Budget merged** with General Budget → ended colonial practice since 1924; (3) plan/non-plan expenditure classification abolished.

2 Budget Functions & Basic Concepts

- Allocation Function** → dividing resources between public/private goods
- Redistribution Function** → ↓ income inequality via progressive taxation + welfare programs
- Stabilisation Function** → adjust spending/taxation → counter recession (↑ spending) or inflation (↓ spending)
- Asset** → economic-value resource owned/controlled for future benefit; eg gold, property
- Liability** → obligation to fulfill a debt/duty; eg loan repayment

TRAP Budget's main objective [B] ★ → allocate public funds/limited resources across sectors (education/health/defence) for growth+welfare — NOT "increase unemployment," "decrease taxes," or "promote private sector" (tested distractors).

3 Revenue vs Capital Budget

Budget divided into **Revenue** + **Capital** heads. Revenue → funds financing activities/public services, mainly from taxes+fees+finances+duties.

Revenue Receipts	Revenue Expenditure
Don't create liabilities/reduce assets; non-redeemable, no claim on govt [B ★: eg tax/fees, don't need repayment] — Tax Revenue eg: wealth tax — Non-Tax Revenue eg: interest on loans, PSU earnings, railway tickets	Doesn't ↑ assets or ↓ liabilities [B ★: salaries/pensions/interest payments = revenue expenditure, recurring, normal govt functioning ★] — Plan eg: govt grants/financial assistance — Non-Plan eg: salary/pension, interest payment (largest component), infra maintenance

Capital Receipt	Capital Expenditure
Creates liability OR reduces asset value; eg loan, disinvestment [B ★: sale of PSU shares = capital receipt (reduces assets, NOT revenue receipt) ★; main sources = borrowings, small savings, recovery of loans ★; loan from RBI = capital receipt (creates future liability) ★]	Acquire/upgrade/maintain long-term assets; creates new assets, reduces liabilities; eg loan repayment, developmental expenditure, infra (roads/schools/hospitals) [B ★: purchase of machinery = capital expenditure ★ — NOT "doesn't create assets," tested false statement]

TRAP Grants given BY Centre FOR asset creation (eg to states) → still classified as **Revenue Expenditure** in the Centre's own books ★ [B] — because no direct physical/financial asset is created for the Centre itself, even though the recipient gets a capital asset.

Capital Account (govt budget) [B] → records transactions changing assets/liabilities: capital receipts (loans/disinvestment/loan recovery) + capital expenditure (infra/machinery/loan repayment). **Revenue Budget** = another name for the Revenue Account [B] → shows day-to-day, recurring, no asset/liability change.

4 Taxation — Direct, Indirect, Types

Direct Tax	Indirect Tax
Directly payable, cannot be passed on, progressive , marginal rate > average rate; eg income/wealth/gift/capital-gain/corporate tax	Indirectly payable, CAN be passed on, regressive/proportional ; eg GST, excise duty (petrol/diesel/ATF), customs duty

TRAP Indirect tax = regressive ★ [B] because it's based on commodity price, not income → rich+poor pay the SAME tax amount for the same good (NOT "varies with income"/"only wealthy"/"only corporations"/"equal impact across income groups" — tested distractors ★). Progressive taxation ★ = most countries' income-tax system, for social justice (wealthy pay more, poor's burden reduced) ★.

Paper Tax → significant only on paper, no real revenue yield; eg wealth tax, gift tax, estate duty (not levied now) [B ★: called "paper tax" because widely evaded, generates little revenue, admin significance limited to paperwork ★].

Laffer's Curve → graph of tax rate vs govt revenue; ↑ tax beyond a point → ↓ revenue (discourages investment/consumption/work effort); bell-shaped.

CBDT administers direct taxes (Income Tax etc.) — cross-ref §12 below for full CBDT detail.

5 Goods and Services Tax (GST)

- Introduced via **101st Constitutional Amendment Act**; effective **1 July 2017** ★ [B: replaced VAT/Service Tax/Excise ★]
- Article 279A** → GST Council = constitutional body, **33 members** (2 Centre+31 States/UTs), Chairman=FM
- Cascading Tax (Tax on Tax)** → tax levied at every stage without credit for tax already paid → inflates final price
- Legislative timeline: first mooted 2006-07 → GST Council constituted 2016 (Art 279A(1), 12 Sept 2016) → 101st Amendment presidential assent 8 Sept 2016 → IGST launched midnight 1 July 2017
- 3-tier levy: Central GST + State GST + Integrated GST; IGST = seamless input-tax-credit flow across states
- Coverage: all goods/services EXCEPT alcoholic liquor (human consumption); petroleum products excluded until GST Council notifies a date

HOOK GST's purpose [B] ★ = "One Nation, One Tax" — uniform tax system across states, simple/transparent structure, easier inter-state trade (NOT "new direct tax," "more duty on luxury goods," or "differentiate goods vs services" — tested distractors ★). Subsumed 17+ taxes/cesses.

Taxes subsumed — Central	Taxes subsumed — State
--------------------------	------------------------

Central Excise Duty, Additional Excise Duty, Service Tax, Countervailing Duty (Addl. Customs Duty), Special Addl. Duty of Customs

VAT/Sales Tax, Entertainment Tax (non-local-body), Central Sales Tax, Octroi/Entry Tax, Purchase Tax, Luxury Tax, Lottery/Betting/Gambling Tax

States compensated for GST-implementation revenue loss. **GST Collection:** April 2024 gross=₹2.10 lakh cr (record high, +12.4% YoY); net (after refunds)=₹1.92 lakh cr (+15.5% YoY).

HOOK CENVAT ★ [B]: introduced via Union Budgets 2000-01/2001-02 → multiple excise rates collapsed to a single rate of **16%** ★ (2001-02) → objective: simplify tax, reduce cascading, pave way for GST. **Entertainment tax + Entry tax** ★ → historically STATE-levied (NOT Central) ★, both now subsumed into GST — a tested "which was Central" trap where the answer is NEITHER.

Customs duty = indirect tax on imports+exports, Customs Act 1962; most exports exempt (promote exports); imports get Basic Customs Duty (BCD)+cesses (protect domestic industry).

6 Other Taxes & Externalities

- **Surcharge** → additional tax ON income tax, above an income threshold
- **Cess** → tax on tax liability, for a specific purpose
- Surcharge+Cess → levied by Centre, NOT shared with states
- **Pigouvian Tax** → tax on negative-externality-causing activities, to reduce the externality
- **Externality** → indirect cost/benefit to an uninvolved third party from another's activity; positive or negative

7 "Rupee Comes From / Goes To" (Budget 2025-26)

Rupee Comes From	Share
Borrowing & Other Liabilities	24%
Income Tax	22%
GST & other taxes	18%
Corporation Tax	17%
Non-Tax Receipts	9%
Union Excise Duties	5%
Customs	4%
Non-Debt Capital Receipts	1%

Rupee Goes To	Share
States' share of taxes/duties	22%
Interest payments	20%
Central Sector Schemes (excl. defence capital/subsidy)	16%
Defence	8%
Finance Commission/other transfers	8%
Centrally Sponsored Schemes	8%
Other expenditure	8%
Subsidies	6%
Pensions	4%

8 FRBM Act, 2003

- Enacted 2003, for fiscal discipline/responsible financial management
- Original aim: limit fiscal deficit to **~3% of GDP** ★, prudent public-debt management [B: mandates fiscal deficit ≤3% of GDP ★]
- **FRBM Review Committee** → formed May 2016, headed by **N.K. Singh**
- NK Singh Committee recommendations: Debt-GDP target 60% (40% Centre+20% States); Fiscal deficit target 2.5% of GDP by 2023 (medium term); **Escape Clause** = deviate up to 0.5% of GDP in

exceptional situations ★ [B: grounds = national security, war, national calamity, severe agriculture situation ★]

HOOK 3 mandatory documents with AFS ★ [Parmar+B, both confirm]: (1) **Medium Term Fiscal Policy Statement** (3-yr rolling target); (2) **Fiscal Policy Strategy Statement** (govt's financial goals/methods); (3) **Macroeconomic Framework Statement** (GDP growth overview) — NOT the Monetary Policy Statement ★ (that's RBI's own, independent document). FM's role = present these to Parliament ★.

FRBM also mandates revenue-deficit reduction by **0.5% of GDP every year** ★ [B]. Objective: control govt expenditure+fiscal deficit, inter-generational equity, long-term financial stability, ↓ public debt/borrowing. Post-1991: Centre linked state loans to states' fiscal-discipline performance → states had to adhere to fiscal targets [B].

TRAP Gross fiscal deficit reached **~8.4% (~10% rounded)** of GDP by 1990-91 ★ [B] → forced the 1991 liberalisation reforms.

Year	Fiscal Deficit	Revenue Deficit	Debt
2017-18	3.0%	2.1%	47.3%
2018-19	3.0%	1.8%	45.5%
2019-20	3.0%	1.6%	43.7%
2020-21	2.8%	1.3%	42.0%
2021-22	2.6%	1.1%	40.3%
2022-23	2.5%	0.8%	38.7%

9 Crowding In/Out, Budget Types & Deficit Financing

- **Crowding In** → govt spending (infra/public investment) → stimulates private investment → ↑ overall economic activity
- **Crowding Out** ★ → ↑ govt borrowing/expenditure → ↑ interest rates → ↓ private investment (govt competes for funds) [B ★: NOT competition increase/export decline/inflation-from-printing — tested distractors ★]
- **Balanced Budget** (Receipt=Expenditure) | **Surplus Budget** (Receipt>Expenditure) | **Deficit Budget** (Expenditure>Receipt)
- **Deficit Financing** (concept by **J.M. Keynes**) → govt expenditure>revenue, gap financed via new money creation or borrowing [B: objective = stimulate/accelerate economic growth via ↑ public investment — NOT reduce inflation/control black money/decrease money supply ★]
- **Debt Financing** → raise funds via borrowing (banks/FIs/bonds), repay with interest
- **Equity Financing** → raise funds via issuing shares, investors become owners, share profits via dividends, no repayment obligation

HOOK Keynes ★ [B, reinforced]: during recession, most effective tool = **↑ govt expenditure** (creates demand/employment via multiplier effect) ★ → "**expansionary fiscal policy**" = ↓ taxes + ↑ govt spending ★ — NOT characterised by ↓ govt spending (a tested "NOT" question ★). Fiscal Policy's primary objective ★ = influence aggregate demand/economic activity via govt spending+taxation (NOT money supply/interest rates=monetary policy; NOT trade/BoP/stock market ★). Fiscal-policy example = govt spending on infrastructure (repo rate/forex/money-supply = monetary policy, not fiscal ★).

10 Types of Deficit

Deficit	Formula (Parmar)
Budgetary Deficit	Total Expenditure – Total Receipt [B ★: aka "Fiscal Deficit" in common usage — indicates borrowing need ★]
Revenue Deficit ★	Revenue Expenditure – Revenue Receipt ★ [B, reinforced repeatedly: concern because govt borrows for consumption, no asset creation, ↑ future interest burden — called "dis-saving" ★]
Effective Revenue Deficit	Revenue Deficit – Grant given for developmental purpose

Fiscal Deficit ★	Total Exp – (Total Receipt – Debt-creating Capital Receipt), OR Total Expenditure – (Revenue Receipts + Non-debt Capital Receipt) ★ [B ★ worked example: Revenue Receipts ₹50L cr, Total Exp ₹75L cr, Borrowings ₹20L cr → $FD = 75 - 50 = ₹25L \text{ cr}$ ★]
Primary Deficit ★	Fiscal Deficit – Interest Payment ★ [B ★, reinforced: = borrowing for current expenses EXCLUDING interest on past/previous loans; "indicator capturing borrowing excl. past-debt interest" = Primary Deficit ★]

DOUBT Primary Deficit conflict: Parmar and most PYQ explanations use **Fiscal Deficit – Interest Payment**. Lucent §10 prints its own formula as "**Revenue Deficit – Interest Payments**" — which also contradicts Lucent's OWN prose definition on the same page ("fiscal deficit minus interest payments"). A triple internal inconsistency; all three versions preserved verbatim, not silently corrected.

DOUBT Fiscal Deficit formula conflict: Lucent's own version reads "Revenue Receipts + Capital Receipts (only loan recoveries+other receipts) – Total Expenditure" — different sign/ordering from Parmar's version above. Both preserved.

Deficit (general) = expenses exceed revenue — the term itself, tested directly [B]. Revenue deficit ONLY covers current income/expenditure transactions (excludes capital-asset creation/borrowing) — distinguishes it from fiscal/primary/trade deficit [B ★]. Continuous borrowing → debt accumulation/"**debt trap**" (new loans repay old ones) → ↑ interest burden [B ★]. **Monetised Deficit** (Lucent) = Increment in Net RBI Credit to Central Govt.

11 Finance Commission — 15th & 16th

- Constitutional body, **Article 280**, constituted by President every **5 years**, recommends Centre-States tax-revenue distribution
- 16th FC** → constituted 31 Dec 2023 (Parmar)/Dec 2023 (Lucent), Chairman **Arvind Panagariya** (Lucent spells "Pangariya"); 1 Chairman+4 Members; period 2025-2030
- Vertical Devolution** → share of divisible pool to States collectively — retained at **41%**
- Horizontal Devolution** criteria (16th FC): Income Distance 42.5%, Population 17.5%, Area 10%, Forest & Ecology 10%, Demographic Performance 10%, **Contribution to GDP 10%** (new, added by 16th FC)
- FC also recommends: Grants-in-aid to states (Art 275, Consolidated Fund of India); measures improving Panchayat/Municipality finances
- ₹1.34 lakh crore provision for states, FY2026-27, as FC grants (incl. Rural/Urban Local Body + Disaster Management grants)

Criteria	15th FC (2021-26)	16th FC (2026-31)
Income Distance	45%	42.5%
Population (2011)	15%	17.5%
Demographic Performance	12.5%	10%
Area	15%	10%
Forest	10%	10%
Tax & Fiscal Efforts	2.5%	—
Contribution to GDP	—	10%

- 1st FC → Chairman **K.C. Neogi**
- 15th FC (2020-25 period) → constituted Nov 2017, Chairman **N.K. Singh**; award period stated elsewhere as 2021-22 to 2025-26 [internal inconsistency, both preserved]
- 15th FC recommendations: devolution to all Panchayati Raj tiers incl. Traditional Bodies (5th/6th Schedule areas); grants in 2 parts — **Basic (Untied) Grant** [RLBs, 29 subjects under 11th Schedule, excl. salaries] + **Tied Grant** [sanitation/ODF/waste management, drinking water/rainwater harvesting]; **Health Grants** (2021-26) — diagnostic infra, block-level public health units, sub-centre/PHC/CHC buildings, PHC→Health & Wellness Centre conversion
- Since Independence: "15 Finance Commissions have submitted reports" (Lucent, as printed — odd phrasing given 16th FC already exists)

- 15th FC funds: ₹1,49,570.41 cr released of ₹1,79,140.00 cr allocated for 2023-24; +₹1,048.50 cr from National Disaster Response Fund for calamities
- Finance Commission Division (Dept of Expenditure) processes/follows up FC recommendations incl. grant releases

12 Fiscal System, Revenue Sources & Public Debt

- **Fiscal System** → state's management of revenue+capital expenditure finances (revenue-raising, borrowing, spending)
- **Fiscal Policy** → use of taxation+public expenditure+public-debt management for specified objectives
- Centre's revenue: Tax revenue (income/expenditure taxes; property/capital-transaction taxes; commodity/services taxes) + Non-tax revenue (currency/coinage/mint; interest receipts/dividends; other)
- State's revenue: state tax revenue (land revenue/stamp/registration/estate duty), share in central taxes, income from state enterprises/services
- Centre's expenditure: Plan (agri/rural dev/irrigation/flood control/energy/industry/transport/comm/S&T/environment) + Non-plan (interest payments/defence/subsidies/general services)
- State's expenditure: Non-Development + Development Expenditure

Internal Debt	External Debt
Open-market loans, compensation/prize bonds, treasury bills (91/182/364-day + 14-day for states only) to RBI/banks, cash management bills, special RBI securities, compensation/other bonds, non-negotiable non-interest rupee securities to int'l FIs, market-stabilization-scheme securities (↓ gold/import dependency)	World Bank/IMF/ADB/foreign govts; Centre doesn't borrow directly from int'l capital markets — borrows via multilateral/bilateral ODA channels

"Other liabilities" (NOT part of public debt): post office savings deposits, small-savings scheme deposits, post office cash certificates, provident funds, other deposits. **RBI** manages Central+State public debt, acts as their banker (RBI Act 1934, Sections 20/21 for Centre, 21A for States by agreement).

13 Annual Financial Statement — Structure & Related Bills

- AFS kept in 3 parts: **Consolidated Fund, Contingency Fund, Public Account**
- **Consolidated Fund** → all revenues+loans raised+loan-recovery receipts; all expenditure from it; needs Parliament authorisation to withdraw
- **Contingency Fund** → imprest at President's disposal for urgent unforeseen expenditure pending Parliament authorisation; corpus (from India 2023, effective April 2021) = **₹30,000 crore**; amount recouped after subsequent Parliamentary approval
- **Public Account** → govt acts as banker (provident funds, small savings, deposits); no Parliamentary authorisation needed for these payments
- Budget = **Revenue Budget** (current receipts/expenditure — taxation, PSU surplus) + **Capital Budget** (capital receipts/expenditure — domestic/foreign loans, loan repayments, foreign aid)
- **Demands for Grants** → Consolidated-Fund expenditure estimates voted by Lok Sabha, per Article 113; presented alongside AFS

HOOK Finance Bill ★ → a Money Bill (Article 110); presented with AFS; details tax imposition/abolition/alteration [B ★: role = tax changes/new tax proposals/rate amendments/tax-rule changes, needs both Houses' approval; also relates to Article 117, regulates financial matters beyond a plain Money Bill ★]. **Appropriation Bill ★** → separately empowers withdrawal from Consolidated Fund for voted Demands-for-Grants amounts + charged expenditure; Article 114(3) — no withdrawal without such enacted law ★.

Constitution (80th Amendment) Act, 2000 (retrospective from 1 Apr 1996): most Union-List taxes (excl. Art 268/269 duties, Art 271 surcharges, specific cesses) collected by Centre, distributed Centre-States per President's order on FC recommendation. Union tax revenue sources: Customs, Union Excise, Service Tax, Corporate+Income Tax; Non-tax: interest receipts, dividends/profits, fines, regulatory/licence/user charges.

14 Budget 2025-26 — Summary (time-sensitive)

DOUBT Every figure below is from Union Budget 2025-26 and will be superseded by later budgets (including 2026-27, presented before today). Verify against the current budget before relying on any figure.

- No income tax on avg monthly income up to ₹1 lakh; salaried NIL tax up to ₹12.75 lakh/annum (new regime, standard deduction ₹75,000)
- 4 engines of development: **Agriculture, MSME, Investment, Exports** ("Sabka Vikas" theme — balanced regional growth)
- KCC loans up to ₹5 lakh under modified interest subvention scheme
- FY25 fiscal deficit estimated 4.8%, target 4.4% in FY26 [DOUBT: conflicts with Parmar's separate BE2026-27=4.3%/RE2025-26=4.4% figures under §8's Fiscal Consolidation heading — different budget-year framings, both preserved]
- MSME credit-guarantee cover enhanced ₹5cr→₹10cr
- National manufacturing mission (small/medium/large industries) for "Make in India"
- 50,000 Atal Tinkering Labs in govt schools over 5 years; AI Centre of Excellence for education, ₹500 crore outlay
- PM Svanidhi enhanced loans + UPI-linked credit cards, ₹30,000 limit
- Gig workers: identity cards, E-Shram Portal registration, healthcare under PM Jan Arogya Yojana
- ₹1 lakh crore Urban Challenge Fund for "Cities as Growth Hubs"
- Nuclear Energy Mission (small modular reactors R&D), ₹20,000 crore outlay
- Modified UDAN: enhance regional connectivity to 120 new destinations
- Gyan Bharatam Mission: survey/conserve 1 crore+ manuscripts
- FDI limit for Insurance: 74%→100%
- Jan Vishwas Bill 2.0: decriminalise 100+ legal provisions; Updated ITR time limit 2yrs→4yrs; TCS-payment delay decriminalised
- TDS on rent: ₹2.4 lakh→₹6 lakh; senior citizens' TDS-exempt interest limit doubled ₹50,000→₹1 lakh
- BCD exempted on 36 lifesaving cancer/rare/chronic-disease drugs
- BCD on IFPD ↑to 20%; on open cells ↓to 5%; open-cell parts exempted (domestic mfg); EV/mobile battery manufacturing capital goods exempted; shipbuilding raw materials/components BCD-exempt 10yrs
- BCD: frozen fish paste 30%→5%; fish hydrolysate 15%→5%
- Cobalt powder/waste, lithium-ion battery scrap, Lead, Zinc +12 critical minerals: fully BCD-exempt; 2 more shuttle-less loom types added to exempted textile machinery
- RE 2024-25: total receipts(ex-borrowings) ₹31.47 lakh cr (net tax receipts ₹25.57 lakh cr); total expenditure ₹47.16 lakh cr (capex ₹10.18 lakh cr)
- BE 2025-26: total receipts(ex-borrowings) ₹34.96 lakh cr; total expenditure ₹50.65 lakh cr; net tax receipts ₹28.37 lakh cr; new-regime revenue loss ≈₹1 lakh crore

Total Income/annum	Rate
₹0-4 Lakh	Nil
₹4-8 Lakh	5%
₹8-12 Lakh	10%
₹12-16 Lakh	15%
₹16-20 Lakh	20%
₹20-24 Lakh	25%
Above ₹24 Lakh	30%

Fiscal Consolidation (Parmar, separate framing): Debt-GDP target $50\pm 1\%$ by 2030; 55.6% BE2026-27 vs 56.1% RE2025-26; fiscal deficit RE2025-26=4.4% (par with BE), BE2026-27=4.3%.

15 Gender & Child Budgeting

- Statement 13 (Gender Budget) → from 2005-06; Statement 12 (Children's Welfare schemes) → from 2009-10

- FY2024-25: ₹3.3 lakh crore allocated for women welfare/empowerment (Economic Survey 2023-24: shift from women's development→women-led development)
- Children's budget FY2024-25: ₹1,09,921 crore = 2.28% of total budget (+5.51% from ₹1,04,180 crore prior year)

HOOK Gender Budget Parts (PYQ) [B] ★: **Part A** = 100% women-specific; **Part B** = pro-women (30-99% allocation); **Part C** = <30% allocation (from 2024-25) ★.

16 Economic Committees on Taxation & Fiscal Reform

Committee	Focus/Recommendations
Raja/R. Chelliah Committee (1991) ★	Tax-system reform ★ [B: Chairman = "Father of Indian Tax Reforms" ★]; recommended ↓ personal/corporate income tax rates, widen tax base (remove exemptions), simplify structure, expand MODVAT (avoid cascading), gradually ↓ high customs duties; also: Income Tax on agri income >₹25,000 p.a. [Lucent]; lower rates/fewer slabs
K.L. Rekhi Committee (1992)	Uniform regulations for indirect taxation (Customs+Excise Duty)
Kelkar Committee (2002-03) ★	Vijay Kelkar chairman, Task Force on fiscal reforms (direct+indirect tax) ★; recommendations: simplify tax admin, broaden tax base, ↑ personal-income-tax exemption limit; role in FRBM Act implementation + GST roadmap
Kelkar Committee (2015)	Recommended PPP-model reforms for infra-project efficiency/transparency

WMA 1997 (Ways and Means Advances) → RBI-provided temporary mismatch-financing for Centre; NOT a permanent finance source. **Operation Twist** → RBI monetary tool — buys long-term G-secs + sells short-term simultaneously → ↓ long-term interest rates/manages yield curve; buying long bonds → prices↑, yields↓ → cheaper long-term loans.

17 Financial Institutions & Central Govt Schemes (2016+) — Reference Tables

Institution	Year Established
ICICI	Jan 1955
IFCI	1948
UTI (HO Mumbai)	1 Feb 1964
NABARD	12 July 1982
Industrial Reconstruction Bank of India	20 Mar 1985
SIDBI (HO Lucknow)	1990
EXIM Bank	1 Jan 1982
RRB (HO Kolkata, as printed)	2 Oct 1975
LIC (HO Mumbai)	Sept 1956
Imperial Bank of India	1921
RBI (HQ Mumbai)	1 Apr 1935
SBI	1 July 1955
National Housing Bank	July 1988
GIC	1 Nov 1972

DOUBT The original Lucent table (16 rows) duplicates ICICI (rows 1 & 12) and NABARD (rows 4 & 16, once as "National Agriculture and Rural Development Bank") — condensed above to unique entries.

Scheme (launched after 2016)	Date
SAUBHAGYA – Pradhan Mantri Sahaj Bijli Har Ghar Yojana	2017
World Class Institutions Scheme	2017
Anaemia Mukt Bharat	2018

Ayushman Bharat - PMJAY	2018
National Viral Hepatitis Control Programme	2018
Fit India Programme	2019
Jal Jeevan Mission	2019
Rashtriya Gokul Mission	2019
Dekho Apna Desh	Jan 2020
PM Garib Kalyan Package Insurance Scheme	Mar 2020
SVAMITVA	24 Apr 2020
PM Matsya Sampada Yojana	2020
VISVAS Yojana	2020-21
Ayushman Bharat Digital Mission	Sept 2021
MusQan Initiative	2021
SVAnidhi Se Samriddhi	2021
Jal Shakti Abhiyan: Catch the Rain	22 Mar 2021
PM Vishwakarma Scheme	17 Sept 2023

18 Tax System — Additional Detail (CBDT, Revenue, Rupee Symbol)

- Tax def: compulsory citizen/org contribution to govt, funds welfare work; imposed/collected at 3 levels — Central, State, Local
- Centre's taxes: Custom Duty, Income Tax, Corporate Tax etc.; State collects+spends its own category
- Centre empowered for customs+excise (except alcohol/narcotics); Sales tax = exclusive State jurisdiction

Category	Examples
Direct	Income Tax, Property Tax, Gift Tax
Indirect	Sales Tax, Excise Duty, Custom Duty
Central	Income/Corporate/Property/Succession/Wealth/Gift Tax, Customs Duty, agri-wealth tax
State	Land Revenue Tax, Agri Income Tax, Agri Land Revenue, State Excise, Entertainment Tax, Stamp Duty, Road Tax, Motor Vehicle Tax

Progressive Tax (Lucent's framing): higher income-proportion taken as income rises; Indian Income Tax = progressive+direct. **Agricultural income** = free from income tax [note: this sits alongside Chelliah Committee's recommendation to tax agri income >₹25,000 — different contexts, both preserved].
Corporate Tax: on Registered Companies/Corporations; uniform rate across companies but with rebates/exemptions.

DOUBT Lucent's §12 still lists VAT/Sales Tax/Service Tax/Entertainment Tax as current "indirect taxes" and calls Excise Duty "the largest source of Central revenue" and Export Duties "more important than Import Duties" — all outdated, pre-GST framing preserved from the source without correction. Import duties = generally ad-valorem (percentage-based) in India. All items except liquor/opium/drugs are Excise-taxable per this (outdated) framing.

CBDT → created by Central Board of Revenue Act 1963; apex direct-tax-law administration body; cadre-controlling authority for IRS officers + Income Tax Dept officials.

Revenue Collection: FY2023-24 net Direct Tax=₹19,60,166 crore (provisional); FY2024-25 (to Nov 2024)=₹12,46,229 crore = 56.47% of BE ₹22,07,000 crore.

Rupee symbol: contest announced 5 March 2009; new symbol = Devanagari 'Ra' + Roman 'R' (no stem); designed by **D. Udaya Kumar** (IIT Bombay postgrad); selected by Union Cabinet **15 July 2010**. Coin + ₹1 note = "Legal Tender Money" category. M1 = Narrow Money; M3 = Broad Money (cross-ref Batch 5).

Appendix

A.1 — PYQ citation index (buckets "04 Indian Tax System" + "05 Public Finance")

Fact tested	Exam · Date · Shift
Chelliah Committee chairman/role	SSC CHSL Tier-I, 25/11/2025 (Sh-01)
Progressive taxation = most-used income-tax system	SSC Phase XIII, 29/07/2025 (Sh-02)
Direct tax collected by govt (Income Tax)	SSC Phase XIII, 02/08/2025 (Sh-01)
Direct taxes collected from individuals+companies	SSC Phase XIII, 01/08/2025 (Sh-01)
Corporate Income Tax = direct tax example	SSC Phase XIII, 31/07/2025 (Sh-02)
Paper tax = wealth tax (not GST)	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
GST = indirect tax example	SSC Phase XIII, 29/08/2025 (Sh-03)
GST purpose = uniform tax system	SSC Phase XIII, 24/07/2025 (Sh-02)
Kelkar Committee 2002-03 chairmanship	SSC CHSL Tier-I, 29/11/2025 (Sh-01)
Entertainment/Entry tax = subsumed into GST	SSC CHSL Tier-I, 25/11/2025 (Sh-03)
GST amalgamated central+state taxes	SSC CHSL Tier-I, 21/11/2025 (Sh-03)
Customs duty on imports/exports	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
CENVAT single rate 16% (2001-02)	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Indirect tax regressive reasoning	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Indirect tax example (Excise Duty)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
PSU share sale = capital receipt	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Capital receipt example (disinvestment)	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Budget's main objective	SSC Phase XIII, 01/08/2025 (Sh-03)
AFS = official name, not "Budget"	SSC Phase XIII, 30/07/2025 (Sh-01)
Fiscal deficit worked calculation	SSC Phase XIII, 31/07/2025 (Sh-02)
Budgetary Deficit = Fiscal Deficit (alt name)	SSC Phase XIII, 30/07/2025 (Sh-02)
Revenue expenditure = normal-functioning cost	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
Gender Budget Parts A/B/C	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Capital expenditure statement pair	SSC CHSL Tier-I, 25/11/2025 (Sh-01)
Salaries/pensions/defence = revenue expenditure	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
Subsidy=welfare instrument, Defence=committed exp.	SSC CHSL Tier-I, 21/11/2025 (Sh-01)
Revenue receipts include Finance Bill effects	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
Traditional view: tax cuts+deficit = spend more	SSC CHSL Tier-I, 19/11/2025 (Sh-02)
Interest payment = revenue expenditure	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
Child Budgeting adopted 2008-09	SSC CHSL Tier-I, 13/11/2025 (Sh-03)
Revenue deficit = only current transactions	SSC CHSL Tier-I, 13/11/2025 (Sh-03)

By 2030, >40% urban population (Eco Survey 2023-24)	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Capital account = assets/liabilities	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Budget deficit vs revenue definitions	SSC CPO Tier-I, 11/12/2025 (Sh-02)
Finance Bill contents/Article 117	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Capital receipt example (RBI loan)	SSC CGL Tier-I, 22/09/2025 (Sh-03)
Revenue account/budget alt name	SSC CGL Tier-I, 21/09/2025 (Sh-02)
Union Budget period = Apr-Mar	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Budget deficit vs surplus statement pair	SSC CPO Tier-I, 11/12/2025 (Sh-02)
FRBM enacted 2003	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
FRBM escape clause grounds	SSC CHSL Tier-I, 18/11/2025 (Sh-02)
FRBM: revenue deficit -0.5%/yr	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
FRBM: fiscal deficit $\leq 3\%$ of GDP	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
FRBM: NOT laid before Parliament = Monetary Policy Stmt	SSC CHSL Tier-I, 15/11/2025 (Sh-01)
FRBM: 3 mandatory statements	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
FRBM main purpose	SSC Stenographer, 08/08/2025 (Sh-01)
FM's role under FRBM	SSC Stenographer, 07/08/2025 (Sh-02)
FRBM aim: decrease fiscal deficit+public debt	SSC Phase XIII, 01/08/2025 (Sh-02)
Fiscal discipline reforms: states adhere to targets	SSC Stenographer, 08/08/2025 (Sh-03)
Keynes: expand govt expenditure in recession	SSC Stenographer, 08/08/2025 (Sh-01)
Crowding out definition	SSC Phase XIII, 29/08/2025 (Sh-03)
Keynesian recession response = $\uparrow$ spend, $\downarrow$ tax	SSC Stenographer, 06/08/2025 (Sh-03)
Fiscal policy's primary objective	SSC Stenographer, 07/08/2025 (Sh-01)
PSU disinvestment reduces financial assets	SSC CPO Tier-I, 10/12/2025 (Sh-01)
Keynes' most effective tool in depression	SSC Stenographer, 08/08/2025 (Sh-01)
Post-1991 fiscal reform: states + fiscal targets	SSC Stenographer, 08/08/2025 (Sh-03)
Fiscal policy example = infra spending	SSC Phase XIII, 25/07/2025 (Sh-01)
Deficit financing objective = stimulate growth	SSC Phase XIII, 25/07/2025 (Sh-02)
NOT a reason for fiscal deficit = BoP surplus	SSC Phase XIII, 25/07/2025 (Sh-02)
Kelkar Committee 2002-03 year confirmed	SSC CHSL Tier-I, 25/11/2025 (Sh-02)
Continuous borrowing = debt accumulation/trap	SSC CHSL Tier-I, 24/11/2025 (Sh-01)
Fiscal deficit = expenditure-receipts(ex-borrowing)	SSC CPO Tier-I, 12/12/2025 (Sh-02)
Revenue expenditure example (interest paid)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
Revenue deficit calculation formula	SSC CGL Tier-I, 20/09/2025 (Sh-03)
Expansionary fiscal policy NOT characterised by	SSC CGL Tier-I, 26/09/2025 (Sh-01)
Primary deficit = borrowing excl. past-debt interest	SSC CGL Tier-II, 18/01/2026
Gross fiscal deficit 1990-91 crisis level	SSC CHSL Tier-I, 28/11/2025 (Sh-02)
Revenue receipts A-R (non-redeemable)	SSC CGL Tier-I, 25/09/2025 (Sh-01)
Capital receipts definition	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Grants for asset creation = still revenue expenditure	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Revenue receipts vs disinvestment statement pair	SSC CGL Tier-I, 26/09/2025 (Sh-02)
Revenue deficit = why a concern	SSC CGL Tier-I, 23/09/2025 (Sh-02)

A.2 — Conflicts flagged (both sources' figures kept, not reconciled)

- Primary Deficit formula: Parmar/most PYQs = Fiscal Deficit – Interest; Lucent's own printed formula = Revenue Deficit – Interest (also contradicts Lucent's own prose definition)
- Fiscal Deficit formula: Parmar's ordering vs Lucent's differently-signed version
- Budget 2025-26 fiscal-deficit figures under Lucent's Budget Summary (4.8%→4.4%) vs Parmar's separate Fiscal Consolidation figures (4.4% RE→4.3% BE) — different budget-year framings
- 15th FC period: "2020-25" vs "award period 2021-22 to 2025-26" (Lucent, same book)

- 15 Finance Commissions "have submitted reports" (Lucent) sits oddly alongside the 16th FC's existence

ECONOMY — Inflation, Unemployment & Employment Schemes

Batch 4/10 · Parmar Ch.5 (full) + Lucent §7 (full) + PYQ buckets "07 Inflation" + "08 Poverty & Unemployment"
· ★=PYQ-tested · [B]=PYQ-book-only

1 Inflation — Basics

- Inflation → ↑ general price level of goods/services → purchasing power decreases
- During inflation → **debtor/borrower benefits more than lender** (repaid money worth less than when borrowed)
- Real Interest Rate = Nominal Interest Rate – Inflation
- **Fisher's Quantity Theory**: $MV=PT$ (M=Money Supply, P=Price Level, V=Velocity, T=Transactions) → $M↑ \rightarrow P↑$ (V,T constant) → direct M-inflation link
- Irving Fisher → gave "Money Illusion" concept
- **Seigniorage** → central bank's profit from currency issue = Face Value – Production Cost

Type	Range
Creeping	3-4%
Walking	4-10%
Running	10-20%
Galloping	20-100%
Hyper	>100%

DOUBT "Inflationary Gap" is defined twice in Parmar: (1) "Demand exceeds Supply → Actual GDP exceeds Potential GDP" (p.266); (2) "excess of aggregate demand over aggregate supply at full-employment level → upward price pressure" (p.268). Both preserved verbatim, essentially the same concept stated twice.

2 Causes of Inflation

Demand-Pull Inflation	Cost-Push Inflation
Demand-side; strong growth/↑ govt spending/↑ exports; short-term; "too much money chasing too few goods"	Supply-side; ↑ wages/raw-material prices/indirect taxes; long-term

HOOK Demand-pull mechanism [B] ★: govt ↑ spending/↓ taxes → ↑ aggregate demand → firms can't scale production fast enough → shortage → prices rise = **Demand-Pull Inflation** ★.

3 Measuring Inflation — WPI, CPI & Related Indices

WPI	CPI
Wholesale-level, pre-consumer prices; published by Office of Economic Adviser , Min. of Commerce & Industry; base year 2022-23 (prev. 2011-12); monthly (14th)	Consumer/retail-level, cost-of-living; released by NSO/MoSPI ; base year 2023-24 [see DOUBT]; monthly (12th)
Weights: Manufactured 64.2%, Primary articles 22.6%, Fuel&Power 13.15%	Weights: Food&Beverages 45.8% (highest), Housing 10%, Fuel&Power 6.8%

Both formulas: $\text{Index} = 100 \times (\text{current-year basket cost} / \text{base-year basket cost})$. **Inflation Rate** = $[(\text{Current Index} - \text{Previous Index}) / \text{Previous Index}] \times 100$.

DOUBT Parmar states CPI base year as **2023-24** on p.266, then as **2024** for "CPI (Rural/Urban/Combined)" on p.267 — internal inconsistency in the same book, both preserved.

4 types of CPI: CPI-IW (base 2016), CPI-AL (base 2019), CPI-RL (base 2019) — all released by Labour Bureau; CPI (Rural/Urban/Combined, base 2024, by NSO/MoSPI) — **used by RBI for inflation targeting**.
PPI (Producer Price Index) → seller's-perspective price change (vs CPI = buyer's perspective); captures "factory gate" prices before tax/distribution costs; a *leading indicator* (cost passed to consumers later).

MPFA (Monetary Policy Framework Agreement) → signed Govt+RBI, **Feb 2015**; mandates RBI maintain price stability + CPI inflation target of **(4±2)%**.

Core Inflation → excludes food+energy prices (via CPI); = Headline Inflation – Volatile Inflation.

IIP → industrial-production growth indicator; base year 2012-13; by NSO/MoSPI. **8 core industries** = 40% of IIP weight, decreasing order: Refinery Products → Electricity → Steel → Coal → Crude Oil → Natural Gas → Cement → Fertilizers.

4 Inflation Dynamics — Glossary

Term	Meaning
Disinflation	↓ rate of inflation (prices may still rise); measured yr-on-yr; cause = tighter monetary policy/slower money-supply growth
Deflation	General price decrease; purchasing power ↑; cause = ↓ money supply/investment/production
Shrinkflation	Same price, reduced qty/size → ↑ price-per-unit
Bottleneck Inflation	Restricted production/supply at a stage → shortages/price rise
Skewflation	Essential-goods (food) prices rise sharply vs non-essentials stable — uneven pattern
Reflation	Deliberate govt policy → ↑ economic activity/prices via ↑ money supply/govt spend/↓ taxes, to recover from recession
Imported Inflation	↑ import/raw-material prices → ↑ domestic price level
Inflation Target	Specific rate central bank aims to maintain via monetary policy

HOOK **Phillips Curve** → unemployment↔inflation graph, inverse relationship (High inflation=Low unemployment, Low inflation=High unemployment). **Stagflation** ★ = Stagnation+Inflation → high inflation+low growth → high unemployment (cause: production slowdown/decline) [B ★: "high inflation combined w/ stagnant growth" = Stagflation ★ — a lethal combo of high unemployment+rising prices; policy dilemma since controlling inflation worsens unemployment ★].

TRAP Keynesian recession response [B] ★, reinforced across multiple Qs: govt should **↑ spending + ↓ taxes** → stimulate aggregate demand = "**Expansionary Fiscal Policy**" ★ (NOT ↑ interest rates/promote imports/↓ spending — tested distractors).

5 Unemployment — NSSO Measurement Methods

- Unemployment (Parmar) → actively seeking job, unable to find work
- NSSO's 3 methods: **Usual Status, Current Weekly Status, Daily Status**

Method	Detail
Usual Status (US)	Reference: last 365 days; identifies chronic/long-term unemployment; 2 components — Principal Status (PS) : majority-time activity in the year; Subsidiary Status (SS) : ≥30 days/yr additional activity apart from PS; combined = "Usual Status (PS+SS)"
Current Weekly Status (CWS)	In labour force last 1 week; employed if worked ≥1hr on any 1 day
Current Daily Status (CDS)	Measures unemployment <i>intensity</i> ; in labour force 1 day: >4hrs=100% engaged, 1-4hrs=50% engaged, <1hr=unemployed

LFPR = % of population in labour force (working/available) | **WPR** = % of population employed | **UR** = % unemployed among labour force.

TRAP **Elderly Dependency Ratio** ★ [B] = ratio of elderly (65+) to **working-age population** (NOT children-to-working-age, elderly-to-children, or urban-rural elderly ratio — tested distractors ★).

6 Types of Unemployment (Parmar + Lucent, merged)

Type	Meaning & Example
Structural	Skill mismatch vs job requirements; eg tech replacing farm labour

Educated	Degree-holders unable to find work (graduate unemployment); urban India; eg engineering grad lacking practical skills
Frictional	Short-term, job-search driven (Search/Voluntary unemployment); eg switching jobs in cities; [Lucent's phrasing: new industries drive out old ones, workers change over]
Disguised / Under-employment	More workers than needed, removal wouldn't hurt productivity; eg farm family of 5 needing only 3; [Lucent: person contributes less than capable of, eg engineer working as clerk]
Cyclical	Labour force reduced due to business cycles; opportunity returns when economy revives; mostly urban; eg Great Recession [Lucent: "result of depression in an economy"]
Seasonal	Unemployment at specific times of year; mostly rural [Lucent: farmers/farm labourers between harvest and next sowing]; eg firework sellers off-season
Classical (Real Wage)	Real wage too high → more job-seekers than openings; eg workers demand more than company can pay
Natural	Lowest unemployment level a healthy economy sustains without causing inflation
Open Unemployment [Lucent, new]	Able+willing but NO work at all available
Compulsory Unemployment [Lucent, new]	Willing to work at the current (prevailing) rate but simply can't get work

Great Recession def: prolonged downturn ≥ 2 consecutive quarters, eg US Subprime crisis; a prolonged recession = **Depression**, eg Great Depression USA 1929-1939.

Marginal Worker: employed < 6 months/183 days; eg landless agri labourers, low-wage industry workers. **Main Worker**: employed > 6 months/183 days; eg construction workers, seasonal employees, independent contractors.

Unemployment in India (Lucent) = structural (capital/resource shortage), NOT Keynesian demand-deficiency. Main causes: slow economic development, population explosion, outdated technique, improper education system, limited govt-planning effect.

7 Unemployment Data — Measurement History & Recent Trends

- **Lakdawala Formula** → used by Planning Commission (pre-NITI Aayog) for unemployment data, effective **11 March 1997**; prior method = NSSO surveys
- NSSO's own 3 concepts (Lucent's distinct wording): **General Status** (> 1 yr unemployed, long-term); **Weekly-unemployment** (no work even 1hr/week); **Daily unemployment** (considered the "best" concept)
- Ninth Plan: 3.6 crore fresh unemployed began seeking jobs

DOUBT All figures below are time-sensitive (dated 2023-2025) — verify against current releases.

- Unemployment rate (15+) fell 7.7% (May 2023) from 8.5% (Apr 2023) — CMIE data, due to ↓ labour participation (441.9 million, LPR fell 1.1pt to 39.6%)
- PLFS 2023-24: unemployment rate (15+) declined 6% (2017-18)→3.2% (2023-24); LFPR+WPR also increased
- Q2 FY25: urban unemployment rate (15+) improved to 6.4% (vs 6.6% Q2 FY24)
- EPFO net subscriptions: 61 lakh (FY19)→131 lakh (FY24), more than doubled; Apr-Nov 2024 net additions=95.6 lakh, youth-driven (18-25yrs=47% of net payroll additions)

8 Migration & MoSPI Reports (PYQ-only)

TRAP Migration's economic consequence for destination regions [B] ★ = exploitation of migrant labour + informal-sector growth (NOT ↑ per-capita income from skilled inflow, NOT ↓ land pressure, NOT balanced regional development — tested distractors ★). Migration A-R [B] ★: driven by **push** (negative, drives people away) + **pull** (positive, attracts) factors — both TRUE, R correctly explains A ★.

MoSPI-published reports [B] ★ — BOTH correct: **Periodic Labour Force Survey (PLFS)** by NSO (tracks LFPR/WPR/UR, monthly bulletins since 2025) AND **Monthly Infrastructure Performance Review Report** by IPMD (tracks 11 key infra sectors — electricity/coal/steel etc.) ★.

Rangarajan Committee (2012, Planning Commission, Dr. C. Rangarajan) → report 2014 → revised Tendulkar's poverty-line estimates → MPCE ₹972 rural/₹1,407 urban — full detail in Batch 6 §1, cross-referenced, not repeated here.

9 Central Govt Schemes 2014-16 — Full Reference Table (Lucent)

Scheme	Date
Digital India Programme	21 Aug 2014
Deendayal Upadhyay Antyodaya Yojana	25 Aug 2014
Pradhan Mantri Jan-Dhan Yojana	28 Aug 2014
Swachh Bharat Mission	2 Oct 2014
Sansad Aadarsh Gram Yojana	11 Oct 2014
HRIDAY	21 Jan 2015
Beti Bachao Beti Padhao	22 Jan 2015
Sukanya Samriddhi Yojana	22 Jan 2015
Mrida Swastha Card (Soil Health Card)	19 Feb 2015
Pradhan Mantri Kaushal Vikas Yojana	20 Feb 2015
Janani Suraksha Yojana	12 Apr 2015
Pradhan Mantri Jeevan Jyoti Bima Yojana	9 May 2015
Atal Pension Yojana	9 May 2015
Ustad (Minority Artisans)	14 May 2015
Kayakalp (Public Health)	15 May 2015
AMRUT	25 June 2015
Smart City Project	25 June 2015
Digital India (2nd entry, as printed)	1 July 2015
Swarn Maudrikaran Yojana	5 Nov 2015
Start Up India	16 Jan 2016
Shyama Prasad Mukherji National Rurban Mission	21 Feb 2016
Setu Bharatam Yojana	4 Mar 2016
Stand Up India	5 Apr 2016
Gramoday Se Bharat Uday	14-24 Apr 2016
Pradhan Mantri Ujjwala Yojana	1 May 2016
Namami Gange	7 July 2016

Sukanya Samriddhi Account → part of Beti Bachao Beti Padhao; girls <10yrs; min ₹1,000/max ₹1.5 Lakh deposit.

10 MGNREGS / NREGA — Full Detail

- NREG Bill passed Parliament **7 Sept 2005**; Presidential assent same year → NREGA
- Act provides **≥100 days** employment/yr to 1 able-bodied person per rural household
- Came into force **2 Feb 2006**; initially 200 districts → now covers all **740 rural districts**

- Renamed **MGNREGA** — 2 Oct 2009
- Cost sharing: **Centre 75% + State 25%** (material + skilled/semi-skilled wages)
- FY2025-26 wage hike: 2.33%-7.48% range, ₹7-₹26 increase; ₹7 hike in 5 states; highest ₹26 in Haryana (→₹400)

HOOK Employment Guarantee Act 2005 — full 9-point features: (1) ≥100 days/yr guaranteed casual manual labour at statutory min wage, paid within 7 days; (2) work provided within 15 days of demand, within 5km; (3) unemployment allowance (≥1/3 min wage) if work delayed; (4) medical treatment/hospitalisation + daily allowance ≥half min wage for injury; ex-gratia to legal heirs on death/disability; (5) 5% wage deduction possible for welfare schemes (health/accident/survivor/maternity insurance); (6) strict penalties for non-compliance; (7) full transparency/public scrutiny of accounts; (8) District Collector/CEO responsible at district level; (9) Gram Sabha monitors Gram Panchayat via social audit.

11 Development & Employment Programmes — Full Detail

AIM (Atal Innovation Mission) → NITI Aayog flagship, promotes innovation/entrepreneurship; umbrella org aligning Central/State/sectoral innovation policies.

PMKVY → Union Cabinet cleared 21 Mar 2015; skill training for 1.4 million youth, ₹1,120 crore outlay; via Min. of Skill Development & Entrepreneurship + NSDC; targets Class-X/XII dropouts/fresh labour-market entrants; 1.56 crore trained since 2015 (till 8 Oct 2024), 54% aged 15-29.

ABRY (Aatmanirbhar Bharat Rojgar Yojana) → part of AB 3.0 package, post-COVID employment recovery/incentive; via EPFO; till Mar 2024: 1,52,517 establishments claimed ₹10,188.50 crore benefits for 60.49 lakh beneficiaries.

PAHAL (DBTL) → launched 1 June 2013, 291 districts; relaunched 15 Nov 2014 (54 districts) + 1 Jan 2015 (rest of country); transfers LPG subsidy directly to 15crore+ consumers' bank accounts; **Guinness World Record** — largest DBT scheme.

Beti Bachao Beti Padhao → launched 22 Jan 2015, Panipat, Haryana, by PM; addresses gender imbalance/discrimination; Mahendergarh+Jhajjar (Haryana) = worst sex ratio (775 girls:1,000 boys, lowest in India); Haryana CM's own scheme = "Aapki Beti Humari Beti".

Sukanya Samridhi Accounts → interest 9.1% p.a. (2014-15), yearly compounded; min ₹1,000/max ₹1,50,000 per FY, multiples of ₹100, lump-sum allowed, no deposit-count limit; opens only ≤age 10 (from DoB); closes after 21 years.

Atal Pension Yojana → launched 2015, targets unorganised-sector workers w/o statutory social security; via National Pension System (NPS), administered by PFRDA.

PMJDY → National Mission on Financial Inclusion, announced 2014; objectives: universal banking access (branch/BC within reasonable distance) + ≥1 basic bank account/household w/ RuPay Debit card (₹1 lakh accident insurance); slogan "*Mera Khata - Bhagya Vidhaata*"; accident cover via HDFC Ergo; life insurance ₹30,000 via LIC.

PMMY → launched 2015, administered by MUDRA Ltd (SIDBI subsidiary); collateral-free credit up to ₹10 lakh; 3 categories — Shishu (≤₹50,000), Kishore (₹50,000-5,00,000), Tarun (₹5,00,000-10 lakh).

Stand-Up India → launched 2016; promotes SC/ST+women entrepreneurship; bank loans ₹10 lakh-₹1 crore, ≥1 SC/ST borrower + 1 woman borrower per Scheduled Commercial Bank branch, for Greenfield enterprises (trading/mfg/services/allied-agri); extended 2019-20 to align with 15th FC period (2020-25); margin money ≤15% of project cost (convergence allowed), borrower's own contribution ≥10%.

DIGIDHAN Mission → from Union Budget 2017-18; target 2,500 crore digital transactions/yr via UPI/USSD/Aadhaar Pay/IMPS/debit cards; transferred MeitY→Dept of Financial Services, July 2023.

UPI → indigenous digital payment system; transactions grew 92 crore (FY17-18)→13,116 crore (FY23-24), CAGR 129% (cross-ref Batch 5).

SAGY (Saansad Adarsh Gram Yojana) → launched 11 Oct 2014; MPs to make 1 model village/constituency by 2016, +2 more by 2019; Adarsh Gram population 3,000-5,000 (plain)/1,000-3,000 (hilly/tribal/difficult); new-village-identification window ended March 2024.

AYUSH → Dept of Indian System of Medicine & Homeopathy (ISM&H) established 1995 in Min. of Health & Family Welfare; rechristened AYUSH (Ayurveda/Yoga/Naturopathy/Unani/Siddha/Homeopathy) 2003.

Ayushman Bharat-PMJAY → ₹5 lakh/family/yr health cover, secondary+tertiary care, poor/vulnerable; launched 2018, subsumed Rashtriya Swasthya Bima Yojana (RSBY).

SPMRM (Shyama Prasad Mukherji Rurban Mission) → launched 2016 by Min. of Rural Development; "Rurban clusters" — 25,000-50,000 population (plain/coastal) or 5,000-15,000 (desert/hilly/tribal).

Swachh Bharat Mission (Gramin) → rural sanitation, eradicate open defecation; renamed from Nirmal Bharat Abhiyan (NBA, w.e.f. 1 Apr 2012) → SBM(G) w.e.f. 2 Oct 2014; Phase II launched 2020-21 (post-ODF) → target: Sampurna Swachhata + ODF→ODF Plus by 2024-25.

Aadhaar → world's first on-scale digital ID service (formless/paperless); 80crore+ cards issued; world's largest biometric programme; identity infra for welfare-scheme delivery.

DBT → launched 2013 via Aadhaar Payment Bridge (APB) + other channels; 35 centrally-sponsored schemes under its purview (LPG/PDS/MGNREGA linked).

DAY-NRLM → flagship poverty-reduction programme, Min. of Rural Development, 2011; world's largest livelihood-improvement initiative; capacity-building focus (trained manpower). **AGEY** → sub-scheme under DAY-NRLM from FY2017-18. **SHGs** → community-based women's groups for mutual support/savings/credit. **WEAF** → under Aajeevika-NRLM, empowers women entrepreneurs in SHGs; loans ≤₹5 lakh/5yrs w/ 2% interest subvention (prompt repayment); also ≤₹1.5 lakh/borrower for ≤3yrs; special focus: "**Lakhpati Didis**".

Social Sector 7 flagship programmes: Sarva Shiksha Abhiyan, Mid-Day Meal Scheme, National Health Mission, Integrated Child Development Services, Swachh Bharat Abhiyan, MGNREGS, 100 Smart Cities.

PMJJBY → started 2015; ₹2 lakh renewable 1-yr life cover, ages 18-50 (cover till 55), any-cause death, premium ₹330/yr. **PMSBY** → brought 2015; ₹2 lakh accidental-death/disability cover + ₹1 lakh partial-disability, ages 18-70, premium ₹12/yr. **APY** → launched May 2015; fixed pension ₹1,000/2,000/3,000/4,000/5,000/month from age 60, based on contribution option (entry age 18-40). PMJJBY+PMSBY+APY launched simultaneously at 115 locations.

PMUY → launched 1 May 2016, Ballia UP; LPG connections for BPL households (women's names), replaces unclean cooking fuel; target 5 crore connections. **Ujjwala 2.0** → launched 2021; +1 crore additional LPG connections for poor households' adult women.

PM Surya Ghar Muft Bijli Yojana → rooftop solar scheme, launched 13 Feb 2024; solarize 1 crore households; 300 units free electricity/month; ₹75,000 crore investment.

PM Vishwakarma Scheme → launched 17 Sept 2023 (Vishwakarma Jayanti); for traditional artisans (18 identified trades); free registration via CSCs (biometric portal); PM Vishwakarma certificate+ID card; skill upskilling (basic+advanced) + ₹15,000 toolkit incentive; collateral-free credit ≤₹1 lakh (1st tranche)/≤₹2 lakh (2nd tranche) at 5% concessional rate; digital-transaction incentive + marketing support; nodal ministry = MSME.

PM-JANMAN → Pradhan Mantri Janjatiya Unnat Gram Abhiyan — improves PVTG quality of life, 11 critical interventions via 9 line ministries; based on PM-JAN-MAN (launched 2023); India's ST population = 10.45 crore (2011 census); 75 PVTG communities across 18 states + Andaman & Nicobar UT.

Appendix

A.1 — PYQ citation index (buckets "07 Inflation" + "08 Poverty & Unemployment")

Fact tested	Exam · Date · Shift
Stagflation definition	SSC Phase XIII, 02/08/2025 (Sh-02)
WPI reform: Abhijit Sen Committee, 2008	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
Demand-pull mechanism (govt spending→shortage→prices)	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
CPI definition	SSC Phase XIII, 26/07/2025 (Sh-02)
Inflation→money value falls (macro concept check)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
2024 core-inflation decline = commodity price drop	SSC CGL Tier-I, 19/09/2025 (Sh-01)
Keynesian recession response	SSC Stenographer, 06/08/2025 (Sh-03)
Rangarajan Committee constituted 2012	SSC CHSL Tier-I, 28/11/2025 (Sh-03)
Elderly Dependency Ratio definition	SSC Phase XIII, 30/07/2025 (Sh-02)
MoSPI reports: PLFS + Infra Performance Review	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
Migration consequence = labour exploitation	SSC Stenographer, 08/08/2025 (Sh-03)
Migration push/pull A-R	SSC Stenographer, 08/08/2025 (Sh-01)

A.2 — Conflicts & doubts carried forward

- CPI base year: "2023-24" (p.266) vs "2024" (p.267, same book, same chapter)
- Inflationary Gap defined twice with different wording (p.266 vs p.268) — same concept, not merged, both preserved
- All scheme dates/figures/targets are as printed in a mid-2025-dated source; verify current status before relying on any specific number

A.3 — Scope note

Lucent §7's scheme catalogue overlaps with a future Static GK "Government Policies" build; transcribed once here per the raw extraction's own build note, not duplicated elsewhere.

ECONOMY — Banking, Monetary Policy & Financial System

Batch 5/10 · Parmar Ch.6-8 (full) + Lucent \$9+\$11 (full) + PYQ bucket "03 Money and Banking" (30 Qs) · ★=PYQ-tested · [B]=PYQ-book-only

1 RBI — Establishment & Governance

- RBI ← Royal Commission on Indian Currency & Finance (chair: Hilton Young, 1926) → RBI Act 1934 → ops 1 Apr 1935, Calcutta → nationalised 1 Jan 1949 → HQ→Mumbai 1937
- First Governor: Sir Osborne Smith | First Indian Governor: Sir C.D. Deshmukh | Emblem: tiger+palm tree
- RBI (Lucent, merged): capital ₹5 crore at founding; nationalised per Parliamentary Committee (1948); FY 1 July-30 June (as printed)
- Central Board of Directors → apex body, RBI Act 1934, GOI-appointed 4-yr terms → Governor(Chair)+4 full-time Dy.Governors+10 non-official directors+2 Finance Ministry officials+4 Local Board directors
- Banking Ombudsman scheme ★ → introduced by RBI, 1995 ★ [B: Section 35A, Banking Regulation Act 1949, for expeditious/inexpensive complaint resolution ★]
- Fixed Rate Repo → announced by Govt, 1997
- Lead Bank Scheme → launched Dec 1969 → 1 bank/district → "Area Approach" for rural credit/financial inclusion/PSL

HOOK RBI Functions: (1) Regulator of Banks (Banking Regulation Act 1949, "Bank of Banks" — licensing, CRR/SLR, repo rate); (2) Monetary Authority (inflation/money-supply/credit control); (3) Currency Printing (except ₹1 note/coins, by Min. of Finance) — printed at Nasik/Dewas/Mysore/Salboni, coins minted Mumbai/Hyderabad/Calcutta/Noida; (4) "Lender of Last Resort".

Bimal Jalan Committee (2018-19) → Economic Capital Framework (ECF) → surplus reserves→govt, Contingency Risk Buffer (CRB) 5.5-6.5% of RBI balance sheet.

HOOK RBI Governors' chronology ★ [B]: Dr. Y.V. Reddy (2003-08) → Dr. D. Subbarao (2008-13) → Dr. Urjit R. Patel (2016-18) → Shri Sanjay Malhotra (2024-present) ★ [exact chronological-order matching question].

2 Narasimham Committees & Post-1991 Banking Reform

Committee	Focus → Recommendations
Narasimham-I (1991) ★	Banking reform/liberalisation → ↓ SLR/CRR; prudential norms (income recognition/asset classification/provisioning); capital adequacy norms (Basel-aligned); bank autonomy; competitive banking; entry of private banks [B ★: also encouraged foreign banks to EXPAND in India ★ — tech/mgmt practices, NOT restrict, tested distractor]
Narasimham-II (1998) ★	Strengthening/global competitiveness → ↓ NPAs; strengthen supervision; merger/consolidation of PSBs ★ (→3-4 globally competitive banks); ARCs for NPAs; ↓ govt shareholding to 33% ★; 3-tier banking structure [B: NOT "reduce lending"/"privatize all"/"↑ govt ownership" — tested distractors ★]

Post-1991 reform objective [B] ★: prudential norms+CRAR → transparency, asset quality, global-standard competitiveness.

HOOK Board for Financial Supervision (BFS) ★ [B, PYQ-book-only] → established within RBI, **1994**, post-1991 reforms → supervises banks/FIs/NBFCs for financial stability (NOT NABARD/SAT/MSME Credit Bureau — tested distractors ★).

3 Banking History, Nationalisation & RRBs

- Bank of Hindustan → first bank, 1770, Calcutta
- Presidency Banks: Calcutta(1806)+Bombay(1840)+Madras(1843) → merged → Imperial Bank of India 1921 → nationalised → SBI 1955
- First Indian-owned bank → Allahabad Bank, 1865

HOOK Bank nationalisation ★ → 14 banks, **19 July 1969** ★ (deposits > ₹50cr) [B: objective = extend rural banking, agri/small-industry credit, reduce private monopoly ★] → 6 more banks, 1980 Act (deposits > ₹200cr): Andhra Bank/Corporation Bank/New Bank of India/Oriental Bank of Commerce/Punjab & Sind Bank/Vijaya Bank.

Banking classification per RBI Act 1934 → Scheduled Banks (Commercial → Profit → Public Sector ["12 Nationalised Banks" as printed]/Private Sector [Indian eg HDFC, Kotak; Foreign eg Citigroup, HSBC]) + Non-Scheduled (Cooperative → Non-Profit, "depositors are owners").

RRB Act 1976 → ownership: Centre 50%, sponsor bank 35%, State 15% → supervised by NABARD, regulated by RBI. First RRB → Pratham Grameen Bank, 2 Oct 1975, Moradabad UP. RRBs set up per Narasimham Committee on Rural Credit; consolidation began 2005 per Dr. Vyas Committee (2001). Kelkar Committee (1986) → strengthen RRBs: authorised capital → ₹5cr, paid-up → ₹1cr, merge weak RRBs.

Commercial Bank functions: Primary = deposits (savings/current/fixed) + loans (cash credit/overdraft/bill discounting) | Secondary = agency services (cheque collection/bill payment) + utility services (lockers/DDs/forex/cards/online banking).

4 Other Financial Institutions — Establishment Reference

Institution	Established / HQ / Role
NABARD	12 July 1982, B. Sivaraman Committee (1979), NABARD Act 1981; HQ Mumbai; agri/rural finance, regulates coop banks + RRBs, no direct public dealing; PMAY/KCC/RuPay Kisan Cards; 2015: E-Shakti + LEDP initiatives
National Housing Bank	1988, Act of 1987; HQ New Delhi
SIDBI	2 Apr 1990; HQ Lucknow
SEBI	Statutory body 12 Apr 1988, SEBI Act 1992; HQ Mumbai; Chairman Tuhin Kanta Pandey; safeguards investor interests
IRDAI	Statutory body Apr 2000, IRDAI Act 1999; HQ Hyderabad
NAFED	2 Oct 1958; apex agri-marketing coop body; HQ New Delhi
IDBI	1964, GOI subsidiary of RBI; LIC later took 51% stake; HQ Mumbai

5 Microfinance & NBFCs

- MFI → micro-credit + savings/insurance/remittances to low-income population; collateral-free loans ≤ ₹3 lakh/annum household income
- Father of Microfinance → Muhammad Yunus (2006 Nobel Peace Prize, Grameen Bank) | First MFI in India → SEWA Bank, Ahmedabad, 1974
- SHG → 10-20 BPL people; collateral-free loans, lower interest than informal sector; empowers women/marginalised
- JLG → 4-10 people; collateral-free loans; individuals/tenant farmers/sharecroppers/small-marginal farmers
- PMMY loan categories: Shishu (≤ ₹50,000), Kishor (₹50,000-5 lakh), Tarun (₹5-10 lakh), Tarun Plus (₹10-20 lakh)
- NBFC → aka NBFI; no banking licence; Companies Act 1956, regulated by RBI (RBI Act 1934); can't accept demand deposits/issue cheques; Gold Loans; deposits NOT govt-guaranteed; exempt from CRR/SLR
- NBFC-MFI → registered + regulated by RBI; micro loans to low-income rural individuals; per Malegam Committee (2010)
- Microfinance-loan asset caps: non-NBFC-MFI entities ≤ 25% of total assets; NBFC-MFI needs ≥ 75% of assets as microfinance loans (was 85%, revised 2022)
- NBFC-MFI min Net Owned Fund (NOF): ₹5cr general, ₹2cr North-East
- Payment & Settlement Systems Act 2007 → governs UPI/NEFT/RTGS/Credit Cards, RBI-regulated

HOOK PSL: Commercial Banks (domestic + foreign) = **40% of ANBC**; RRBs/SFBs = **75%**; NBFCs = no fixed target; sub-targets Agriculture = 18%, Weaker Sections (SC/ST/Women) = 12%; shortfall → RIDF (managed by NABARD). **SLR** ★ [B] = mandatory liquid-asset (gold/G-Sec) requirement ★ — the tested answer, not CRR/current-ratio/margin-ratio.

UCBs → regulated by both RBI + Registrar of Cooperative Societies (RCS). MUDRA (Micro Units Development & Refinance Agency Ltd) → launched 8 April 2015, 100% funded by SIDBI.

6 Monetary Policy — Balance Sheet, Reserves & MPC

- Bank Balance Sheet: Liabilities=Deposits(Demand[savings/current]+Time/Term[FDs/RDs]) | Assets=Loans granted
- NDTL = total deposits determining lendable funds+reserve requirements → Demand Liabilities(withdraw anytime) + Time Liabilities(fixed tenure)

CRR	SLR ★
Cash with RBI, no interest	Liquid assets (cash/gold/securities) held by the bank, interest earned

MPC ← Urjit Patel Committee recommendations → 6 members (3 RBI: Governor+Dy.Governor+Executive, Governor=Chair; 3 GoI) → meets bimonthly. [B ★: Keynesian theory alt-name = **Liquidity Preference Theory** ★ — not Cambridge/Cash-Balance/Classical.]

7 Monetary Policy Tools — Quantitative & Qualitative

- Quantitative:** CRR, SLR, Bank Rate (long-term loan to banks, NO collateral), OMO (=sterilization: Outright Purchase[no repurchase agreement] + Repo["Rere"=Repurchase Obligation, banks borrow w/ G-Secs collateral] + Reverse Repo[RBI borrows from banks])
- Repo + SDF (Special Depository Facility, no-collateral bank deposit w/ RBI) together = **LAF** (Liquidity Adjustment Facility)
- MSF → emergency overnight bank borrowing from RBI, above repo rate; CRR/SLR-default penalty=3% above Bank Rate/day; uses G-Secs within SLR quota; only scheduled commercial banks
- Base Rate → minimum rate below which banks can't lend
- Interbank Lending Market/Call Money Rate → decided on RRR+MSF basis; short-term overnight interbank loans; limit=2% of NDTL
- MCLR → introduced by RBI, April 2016; transparent/policy-responsive minimum lending rate

TRAP Money Multiplier(MM) = $1/CRR$ ★; NBFCs/NBFC-MFIs exempt from CRR/SLR; ↑CRR→↓MM (and vice versa) [B ★: inverse CRR-multiplier relationship ★; cash held by public = "leakage" reducing multiplier ★].

Situation	RBI Action	Effect	Stance
Inflation	↑CRR/SLR/BR/RRR/RR	↓ money supply	Contractionary/Tight/Dear/Hawkish
Deflation	↓CRR/SLR/BR/RRR/RR	↑ money supply	Expansionary/Easy/Dovish ★ [B: cuts rates to stimulate growth in a slowdown ★]

- Qualitative:** (1) Changing Margin Requirements(↑ for non-essential, ↓ for agri); (2) Consumer Credit Regulation(loan instalment/down-payment/repayment rules); (3) Moral Suasion(persuasion/implicit threats); (4) Credit Rationing(limits loans per bank/sector)

Fiscal Policy anti-inflation steps: ↑ Taxes(↓ disposable income), ↓ Subsidies(↑ prices, discourage consumption), ↓ MSP(discourage overproduction, control food prices). Monetary Policy=RBI's tool; Fiscal Policy=Govt's tool.

HOOK Debt Monetisation ★ [B] = RBI directly buys govt bonds to fund fiscal deficit, prints currency → ↑ money supply → often high inflation ★ (not ↑ interest rates/↓ money supply/foreign borrowing — tested distractors). A-R ★ [B]: Financial intermediaries essential in transmitting monetary policy (TRUE) — because they adjust lending/deposit rates per MPC's policy rate (TRUE, correct explanation) ★. A-R ★ [B]: "CRR/SLR increase lending capacity" = FALSE (they actually REDUCE it — reserve requirements reduce banks' surplus lendable funds, Reason correct) ★.

8 Financial Inclusion Index, Disinvestment & PSU Categories

HOOK FI-Index(RBI) parameters ★ [B]: **Access, Usage, Quality** ★ — Access+Usage both correct in a tested "which is a parameter" question. RBI publishes ★ [B]: **Financial Stability Report**(FSR, biannual, banking-system risk) + **Database on Indian Economy**(DBIE, macro data) — BOTH correct ★. **Disinvestment** ★ [B] = govt selling its own PSU shares (LIC/BPCL/Air India) → raises resources, brings private efficiency+tech ★ (NOT purchasing shares/allowing FDI — tested distractors). CPSE match ★ [B]: Maharatna=SAIL; Navratna=MTNL; Miniratna(Cat-I)=IRCTC ★.

9 Liquidity, Money Functions & Theories

- Liquidity order: Cash>Gold>Cheque>Bond; Demand Deposit>Term Deposit
- Barter limitations: Double Coincidence of Wants, Lack of Divisibility, Lack of Store of Value [B ★: money eliminates double-coincidence problem via "measure of value"+"medium of exchange" ★ — barter itself DECREASES efficiency, not increases, tested A-R]
- Money functions: Primary=Medium of Exchange; Secondary=Medium of Value/Unit of Account→(a)Standard of Deferred Payment,(b)Store of Value(no intrinsic value, paper value from govt backing),(c)Portable/Durable

HOOK **Liquidity Preference Theory** = Keynes's money-demand theory — rates determined by money D/S not just savings/investment. **Cambridge Cash Balance Approach** ← Marshall, Pigou, Keynes → value of money ← demand to hold cash balances (not transaction velocity) [B ★: Cambridge approach's alt-name = "Cash Balance Approach" ★ vs Fisher's = velocity-of-transactions approach ★].

3 reasons to hold money: Transaction Motive(daily spending), Precautionary Motive(emergencies), Speculative Motive(by J.M.Keynes, investment timing). Paradox of Thrift(Keynesian) → individual ↑ savings in downturn → collectively ↓ aggregate demand+total savings economy-wide.

Speculative Demand for Money $\propto 1/\text{Interest Rate}$ → rates ↑ → bonds preferred → speculative demand ↓; rates ↓ → more cash held → speculative demand ↑; "interest = opportunity cost of holding money". Liquidity Trap → rates low, people hold cash not invest → monetary policy ineffective; horizontal LP-curve portion = infinitely/perfectly elastic money demand.

10 Money Aggregates, Interbank Rates & Markets

- Types of Money in economy: (1)Currency in Circulation[Banks+Public]; CDR=Currency held by public/Deposits held by public; (2)Deposits with Banks[Demand+Term]; (3)Deposits with RBI[Bank Deposits(CRR)+Other Deposits(govt/foreign central banks/int'l orgs/private)]; (4)Postal Deposits(via POSB)

Aggregate	Components	Alt. name ★
M0	Currency in circulation + Banker's deposits w/ RBI	High-Powered/Base/Reserve Money — total money printed by RBI
M1 ★	Currency w/ public + other RBI deposits + Demand Deposits	Narrow Money
M2	M1 + PO savings deposits	—
M3 ★	M1 + Net time deposits of comm. banks	Broad Money /Aggregate Monetary Resource
M4	M3 + Total PO deposits	—

TRAP "Does NOT refer to reserve money" ★ [B] = **"Savings Money"** ★ (M0 aliases: Central Bank/Base/High-Powered Money — all valid; Savings Money is NOT).

Interbank Offer Rate("Offer Rate") → rate banks lend each other for short-term needs (eg CRR fulfilment). LIBOR → global base rate, discontinued after 31 Dec 2021 → replaced by SOFR(USD). MIBOR → India's LIBOR-equivalent, replaced by FBIL-Overnight MIBOR in 2015. Asia's oldest stock exchange → BSE, 1875.

Money Market(short-term,<1yr): Call Money(repay in 1 day), Notice Money(2-14 days). Capital Market(long-term,>1yr): stocks/bonds. Treasury Bills → issued by GOI through RBI; aka Zero Coupon Securities; 3 tenures(91/182/364 days); money-market instrument(<1yr maturity); issued at discount, no interest paid.

11 NPA Classification, Bad Banks & Banking Regulation Laws

- Assets: Regular(consistent returns, on-time) → Stressed(overdue<90days) → NPA(overdue>90days)→Substandard(>90d,<12mo), Doubtful(>12mo), Loss(uncollectible)
- Wilful Defaulter → capacity to repay but deliberately doesn't
- Bad Bank → specialises in NPAs, buys+recovers value; 2021 Budget: NARCL + IDRCL
- SARFAESI Act 2002 → Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act; lets banks seize defaulters' property
- IBC 2016 → resolves Twin Balance Sheet Problem(stressed banks+corporates) via CIRP; moratorium("calm period")=180 days(extendable to 270); NCLT(initial)→NCLAT(appeals)

12 Basel Norms

Accord	Year	Key point
Basel-I	1988 (India adopted 1999)	Focus: credit risk; min. capital = 8% of RWA
Basel-II	2004	$CAR/CRAR = (Tier1+Tier2 \text{ Capital})/RWA \times 100$
Basel-III	2010	$CAR = 10.5\%$ (Tier1/Core 6%+Tier2/Supplementary 2%+Capital Conservation Buffer 2.5%); India's RBI-mandated CAR = 11.5%

Basel Norms/Accords ← Central Bank Governors, G-10 countries, 1974 → HQ = BIS (Bank for International Settlements, printed "Bureau of...", Basel, Switzerland; issued by BCBS.

13 Indian Financial System — Structure & Markets

- Indian Financial System: demand side(individuals/businesses/govt)↔supply side(banks/insurers/MFs/FIs); channels via saving-investment/capital formation
- 2 parts: money market(short-term)+capital market(medium/long-term)
- Classification: Industrial/Agricultural/Development/Government finance
- Devaluation → ↓ local currency's official value vs foreign currency/gold
- BoP → record of all economic transactions, country↔rest of world; current+capital account
- BoT → exports–imports value (goods only, services excluded)
- EXIM Policy 2000-01 → introduced SEZ Scheme; 1994-95 → Rupee fully convertible on current account
- Money market: organised(RBI apex+PSB/Pvt/Foreign banks+FIs) + unorganised(indigenous bankers+NBFCs)
- Indian Capital Market: Govt Securities(Gilt-edged)+Industrial Securities Market+Development FIs(IFCI/IDBI/ICICI/SFCs/IIBI/UTI)+Financial Intermediaries(Merchant banks)

World Index	Exchange/Country
Bovespa	Brazil
Dow Jones	New York
FTSE-100	London
HANG SENG	Hong Kong
I.P.C.	Mexico
Jakarta Composite	Indonesia
KLSE Composite	Malaysia
KOSPI	Korea
MIBTel	Italy
MID DAX	Frankfurt
NASDAQ	U.S.A.
Nikkei	Tokyo
S&P	Canada
Seoul Composite	S. Korea
SHANGHAI Com	China

SET	Thailand
Straits Times	Singapore (SGX/SIMEX)
TAIEN	Taiwan

UTI = India's biggest Mutual Fund Institution. BSE = first organised exchange (formed by 'Native Share Brokers' Association', 1875) = Asia's oldest. Ahmedabad Stock Exchange 1894(textile mills); Calcutta Stock Exchange 1908(plantation/jute). Exchange count: 7(1939)→21(1945); Securities Contracts(Regulation)Act 1956 → 23 exchanges recognised. BSE became a corporate entity mid-Aug 2005 (from brokers' association); SEBI rolling settlements from 2 July 2001; brokers-stake dilution to 49% obligation.

BSE SENSEX: 30 shares, base yr 1978-79. BSE 200: base 1989-90. DOLLEX: 200-share \$ index, base 1989-90. NSE-50→S&P CNX Nifty(28 Jul 1998); replaced NSE-100(Apr 1996); Ferwani Committee(1994) founded NSE. CRISIL(1988). CRISIL 500(18 Jan 1996). NEAT=NSE online trading software.

Credit Rating Agencies(13 July 2023): CRISIL(HQ Mumbai, largest, >60% market share per SEBI), ICRA(HQ Delhi), CARE(HQ Mumbai), ACUITE(HQ Mumbai), BRICKWORK(HQ Bangalore), INFOMERICS(HQ Delhi), India Ratings(ex-FITCH, HQ Mumbai), SMERA(HQ Mumbai), S&P/Moody's/Fitch(HQ NY).

DOUBT Regulators table (as on 29.05.2025, time-sensitive): RBI(Sanjay Malhotra), SEBI(Tuhin Kanta Pandey), IRDAI(Debashish Panda), PFRDA(Sivasubramanian Ramann), NABARD(Shaji KV), SIDBI(Manoj Mittal), TRAI(Anil Kumar Lahoti), CBFC(Prasoon Joshi), FSSAI(Punya Salila Srivastava), BIS(Pralhad Joshi), BCCI(Roger Binny), AMFI(Navneet Munot), FIEO(S.C.Ralhan), NASSCOM(Sindhu Gangadharan), CDSCO(Rajeev Singh Raghuvanshi), IBBI(Ravi Mital) — verify current incumbents before relying.

India's world-index rankings (as on 25.05.2025, time-sensitive): Edelman Trust Barometer2025(India 3rd); CPI2024(96/180); Gender Gap2024(129/146); GHI2024(105/127); HDI2023-24(134/193); World Press Freedom2025(151/180); GPI2024(116/163); GII2024(39/133); WHR2025(118/147).

HCES 2023-24(75th NSS round): Rural MPCE ₹4,122(+9.3%); Urban MPCE ₹6,996(+8.3%); gap narrowed to 69.7%(from 71.2%/83.9%-2011-12); Rural 47.04% food-spend, Urban 39.68%; highest MPCE Sikkim, lowest Chhattisgarh; Odisha=highest rural-MPCE growth, Punjab=urban.

14 Public/Private Sector Banks & Banking Ecosystem

First bank of limited liability managed by Indians → **Oudh Commercial Bank, founded 1881**; subsequently → **Punjab National Bank established 1894**. Swadeshi movement(1906) spurred commercial bank formation. Banking Companies Act(Feb 1949)→amended→Banking Regulation Act 1949.

Monetary Policy Transmission → RBI cut the repo rate by **250 bps since Feb 2019** (the current easing cycle, as printed); transmission weak on credit quantity but improved on rate/term structure.

DOUBT Total scheduled-commercial-bank count conflict: 137 (BHARAT 2025, p.275 — PSB12/Pvt21/SFB11/PaymentsBanks6/RRB43/Foreign44) vs 136 (RBI's own pink box, p.276, same components +2 Local Area Banks) — both preserved verbatim.

- 4 bank categories: Commercial(incl PSB/Pvt/RRB/Foreign), Small Finance Banks, Payments Banks, Co-operative(Urban+Rural)
- PSBs: majority(>50%) govt stake; Apr2019: Vijaya+Dena merged into Bank of Baroda; 30Aug2019: FM announced 6 PSB→4 anchor-bank mergers, reduced PSB count 27→12

MUDRA Bank: statutory enactment, runs PMMY(8 Apr 2015); Shishu(≤₹50,000)/Kishor(₹50,000-5lakh)/Tarun(≤₹10lakh); proposed Budget 2015-16, ₹20,000cr corpus+₹3,000cr credit guarantee fund; by Aug2023: 43.09cr+ loans worth ₹24.99 lakh cr, 68% to women, 51% to SC/ST/OBC.

PSB (12, as on 31 Mar 2025)	Estd.	Merged Bank(s)	HQ
Bank of Baroda	1908	Dena, Vijaya	Vadodara
Bank of India	1906	—	Mumbai
Bank of Maharashtra	1935	—	Pune
Canara Bank	1906	Syndicate	Bengaluru
Central Bank of India	1911	—	Mumbai
Indian Bank	1907	Allahabad Bank	Chennai
Indian Overseas Bank	1937	—	Chennai

Punjab & Sind Bank	1908	—	New Delhi
Punjab National Bank	1894	OBC, United Bank	New Delhi
State Bank of India	1955	8 associate banks	Mumbai
UCO Bank	1943	—	Kolkata
Union Bank of India	1919	Andhra, Corporation	Mumbai

Scheduled Private Banks (22, 31.03.2025) — key entries: Axis(1993, ex-UTI Bank renamed 2007), HDFC(1994), ICICI(1994), IndusInd(1994), Kotak Mahindra(2003), Yes Bank(2004), IDBI Bank(1964), Federal Bank(1931), South Indian Bank(1929), Karnataka Bank(1924), J&K Bank(1938), Bandhan Bank(2015), IDFC First(2015), Lakshmi Vilas Bank(1926, merged into DBS India 27Nov2020), Nainital Bank(1922, BoB holds 98.57%).

State Bank of Sikkim = state-govt-owned bank; RRBs=43; Foreign Banks=44(31Mar2025). PSBs account for >92% of India's banking business. Oudh Commercial Bank = first complete commercial bank of India; Imperial Bank(1921, 3 Presidency Banks merger)→nationalised 1955 per Gorewala Committee→SBI; 1959: 7 regional banks became SBI Associate Banks.

Nationalisation counts: 19Jul1969=14 banks($\geq$ ₹50cr deposits); 15Apr1980=6 more→total 27(19+SBI+7 associates); pre-1993(New Bank of India→PNB merger)=28; post-2008(Saurashtra)/2010(Indore) mergers→5 associates; all 5 associates+Bhartiya Mahila Bank merged into SBI w.e.f. 1 Apr 2017→0 associates.

Reforms: JAM linkage, Bank Mitras, UPI/DBT; EASE(Enhanced Access & Service Excellence) Reforms for PSBs; Prevention of Corruption Act 1988 amendments(protect bona-fide banking decisions); Banking Regulation(Amendment)Act 2020(co-op bank regulation). Digital Banking Units(DBUs): announced Budget 2022-23; 75 DBUs in 75 districts, dedicated by PM 16 Oct 2022(Azadi Ka Amrit Mahotsav).

UPI growth: 92cr(FY17-18)→13,116cr(FY23-24) transactions, CAGR129%; live in UAE/Bhutan/Nepal/Singapore/Mauritius/France/SriLanka; RuPay live in Nepal/Bhutan/Singapore/Mauritius/UAE.

Scheduled banks → 2nd Schedule of RBI Act 1934; paid-up capital+reserves $\geq$ ₹5 lakh; all commercial(Indian/foreign)+RRBs+state coop banks=scheduled; only 1 non-scheduled bank currently.

RRBs: first estd 2 Oct 1975; RRB Act 1976; ownership GOI50%/State15%/sponsor bank35%; targets small/marginal farmers/agri labourers/rural artisans; 43 RRBs(DoFS); Economic Survey2024-25: 22,069 branches/700 districts/26 states+3UTs.

Co-op Banks: state Co-op Credit Societies laws; mainly agri/rural benefit; first estd 1904; agri(dominant)+non-agri kinds; structure=State Coop Bank(apex)→Central Coop Banks(district)→PACS(village); long-term via Land Development Banks; 1991: Narasimham Committee on banking reconstruction.

15 Development Banks & International Financial Institutions

Bank	Detail
IDBI	1964, large/medium industry finance
IFCI	1948, project finance+promotional services
ICICI	1955, term loans+underwriting
SIDBI	1989 (this section) — DOUBT: vs 1990 elsewhere in source; small-scale industry finance
EXIM Bank	1982, GOI-owned trade finance; authorised capital ₹20,000cr; net worth ₹22,299cr (31.12.2023)
NHB	1988, housing finance development
NABARD	1982, initial capital ₹100cr; paid-up ₹17,080cr vs authorised ₹30,000cr (31Mar2024)

- **NDB** (New Development Bank): instituted 2015; BRICS founding members; USD1bn initial capital
- **AIIB**: set up 2016; India=founding member+2nd-largest shareholder; India+20 countries signed founding MoU, Beijing
- **IFAD**: set up 1977, 13th specialised UN agency; fights rural poverty/hunger; 176 members(Lists A-Developed/B-OilProducing/C-Developing); India in List-C, founder member, contributed US\$147.0mn
- **IMF**: India founder member; 188 member nations; Board of Governors(1 Governor+1 Alt.Governor/country); India's FM=ex-officio Governor, RBI Governor=Alt.Governor; India's constituency also incl Bangladesh/Bhutan/SriLanka

- **World Bank:** India founder member of IBRD(189 members), w/ IDA(173 members)="World Bank"; IBRD serves middle-income/creditworthy-low-income; IDA serves poorest via "credits"/grants
- **ADB:** established 1966; India founding member; 68 members(49 regional+19 non-regional); HQ Manila; India held 6.32% shares(6,72,030 shares),5.35% voting rights(31Dec2021); India borrowing since 1986

16 Insurance Sector & Postal Financial Services

- Public insurers: LIC, National Insurance Co, Oriental Insurance Co, United India Insurance Co, New India Assurance Co, GIC, Agriculture Insurance Co of India, ECGC; growth ~11% CAGR/5yrs; total premium ~₹10 lakh cr(FY22-23); AUM ~₹60 lakh cr(Mar2023)
- Insurance = spreading loss of few over many; Life+General sectors; British-introduced; Oriental Life Insurance Co, Calcutta, 1818
- LIC established Sept1956; GIC established Nov1972

HOOK Committee on Insurance Sector Reforms ★, reinforced: constituted **1993**, chairman **R.N. Malhotra** (former RBI Governor), report **1994** ★ → recommendations → IRDA Act 1999 → sector opened to private cos 2000 ★. IRDA HQ Hyderabad.

LIC(per INDIA 2023): Central Office Mumbai, 8 Zonal Offices, 113 Divisional Offices, 73 Customer Zones, 2,048 Branch Offices, 1,401 Satellite Offices, 1,240 mini offices(21Sept2022); international ops in 14 countries — Branch Offices Fiji/Mauritius/UK, JVs Bahrain/Nepal/SriLanka/Kenya/SaudiArabia; LIC(Singapore) subsidiary(Apr2012).

Post Office financial services: Small Savings Schemes for Min.of Finance; POSB via 1.57 lakh post offices; Savings/RD/TD/MIS/PPF/NSC/KVP/SCSS/Sukanya Samriddhi accounts. PMSBY+PMJJBY launched 2015 in all CBS post offices; APY also launched 2015; Sukanya Samriddhi launched 2015.

PLI(Postal Life Insurance): introduced 1 Feb 1884(postal employees), extended to telegraph employees 1888; >49 lakh policyholders by Mar2023, sum assured ₹2.56 lakh cr; premium income FY22-23=₹10,253.26cr. RPLI: started 1995; >55 lakh policyholders by Mar2023, sum assured ₹1.73 lakh cr; premium income FY22-23=₹3,992.72cr.

17 Banking Terminology Glossary & Payment Systems

Term	Meaning
Bank Rate	Rate at which central bank finances commercial banks; short-term tool; upward revision signals ↑ deposit/base rates too
Basis Points	1 percentage point = 100 bps
LRR	= CRR + SLR
Repo Rate ★	Rate at which comm. banks borrow from RBI ★; ↓repo→cheaper borrowing; ↑repo→costlier, controls inflation ★ [B: major monetary-policy instrument ★]
Reverse Repo Rate	Rate at which RBI borrows from banks; "always 1% less than Repo" (as printed)
NEFT	Began ops 21Nov2005(1 settlement/day, 8 banks)→216 banks, half-hourly batches; ~10.5mn transactions/day, ~₹80,000cr avg value; charges waived from 1Jul2019; 24×7 from 16Dec2019
RTGS	Min ₹2 lakh, no upper limit
LAF	Repo+Reverse Repo operations, day-to-day liquidity management
MSF	"Always 1% more than Repo" (as printed)
NOSTRO/VOSTRO	An Indian bank's account abroad / a foreign bank's account in India
CRAR	Capital / aggregated risk-weighted assets
SDR	Created by the IMF, 1967
NPA	90-day default rule

DOUBT "Fifth Monetary Policy of FY23-24" rate table (8 Dec 2023, time-sensitive): Repo 6.50%, SDF 6.25%, MSF 6.75%, Bank Rate 6.75%, Reverse Repo 3.35%, CRR 4.50%, SLR 18.0% — this table's own Reverse Repo/MSF values (3.15-point and 0.25-point gaps from Repo) directly contradict the glossary's "always ±1%" claims above; both preserved verbatim, not reconciled.

SPMCIL: only PSU under Dept of Economic Affairs; formed from 9 units(4 mints+4 presses+1 paper mill); incorporated 2006(Companies Act1956); 2010: 50:50 JV w/ BRBNMPL → Bank Note Paper Mill India Pvt Ltd(BNPMIPL), capacity 12,000MT/yr. Demonetisation: ₹500&₹1,000 notes demonetised 8Nov2016; ceased legal tender 9Nov2016; new ₹500&₹2,000 Mahatma Gandhi New Series issued; ₹100/50/20/10/5 unaffected.

18 PYQ-Only Institutional Facts

HOOK [B, PYQ-book-only, not in Parmar/Lucent]: **BCSBI** (Banking Codes & Standards Board of India) → set up **18 Feb 2006** by RBI ★, independent body ensuring transparency/fairness ★; "Code of Bank's Commitment to Customers" → released **July 2006** ★ (voluntary min-standards document). **BRBNMPL** → established **3 Feb 1995** ★, wholly RBI-owned subsidiary; manages 2 currency presses — Mysore(Karnataka)+Salboni(West Bengal) ★. **CCIL** → established **30 April 2001** ★, RBI initiative; safe clearing/settlement for money/G-Sec/forex markets. **India Post Payments Bank (IPPB)** → uses QR-card technology for cashless withdrawal (scan+biometric/OTP) ★.

Modern currency systems ★ [B] = fiat money, no intrinsic value, not backed by gold/silver, regulated by govt order+public trust ★.

Appendix

A.1 — PYQ citation index (bucket "03 Money and Banking", 30 Qs)

Fact tested	Exam · Date · Shift
Modern currency = fiat money	SSC CGL Tier-I, 25/09/2025 (Sh-03)
Reserve Money NOT = "Savings Money"	SSC Phase XIII, 29/07/2025 (Sh-03)
Cambridge approach = Cash Balance Approach	SSC Phase XIII, 31/07/2025 (Sh-03)
Keynesian theory of demand for money = Liquidity Preference	SSC Phase XIII, 28/07/2025 (Sh-03)
Financial intermediaries transmit MPC policy (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-01)
CRR/SLR ↑ reduces lending capacity (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Money multiplier factors (leakage, reserves, CRR)	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Post-1991 banking reform = prudential norms/CRAR	SSC Stenographer, 08/08/2025 (Sh-02)
Narasimham-II: merge/consolidate PSBs	SSC Stenographer, 07/08/2025 (Sh-01)
BFS established 1994	SSC Stenographer, 06/08/2025 (Sh-03)
Bank deposits=liability; OMO; Bank Rate statements	SSC Stenographer, 06/08/2025 (Sh-02)
Narasimham-I: foreign banks encouraged to expand	SSC Stenographer, 06/08/2025 (Sh-02)
Bank nationalisation year = 1969	SSC Phase XIII, 29/08/2025 (Sh-01)
Banking Ombudsman first introduced 1995	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
Malhotra Committee report year = 1994	SSC CHSL Tier-I, 28/11/2025 (Sh-02); 24/11/2025 (Sh-02)
BCSBI set up 18 Feb 2006	SSC CHSL Tier-I, 25/11/2025 (Sh-03)
BCSBI Code of Commitment, July 2006	SSC CHSL Tier-I, 22/11/2025 (Sh-03)
BRBNMPL established 3 Feb 1995	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
IPPB QR-card cashless withdrawal	SSC CPO Tier-I, 09/12/2025 (Sh-01)
SLR = mandatory liquid-asset requirement	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Expansionary monetary policy = rate cut	SSC Phase XIII, 28/07/2025 (Sh-02)
Repo rate definition	SSC Stenographer, 08/08/2025 (Sh-03)
RBI Governors chronological order	SSC Stenographer, 06/08/2025 (Sh-03)
Debt monetisation = RBI buys govt bonds directly	SSC Phase XIII, 26/07/2025 (Sh-02)
RBI publishes FSR + DBIE	SSC CHSL Tier-I, 22/11/2025 (Sh-02)
FI-Index parameters: Access, Usage	SSC CHSL Tier-I, 19/11/2025 (Sh-01)

Disinvestment = selling PSU shares	SSC CHSL Tier-I, 17/11/2025 (Sh-03)
Maharatna/Navratna/Miniratna match	SSC Stenographer, 07/08/2025 (Sh-03)
CCIL established 2001	SSC CHSL Tier-I, 18/11/2025 (Sh-01)

A.2 — Conflicts & doubts carried forward

- SCB totals: 137 (BHARAT 2025) vs 136 (RBI pink box)
- SIDBI founding year: 1989 (\$11) vs 1990 (\$9/elsewhere)
- Reverse repo/MSF "always $\pm 1\%$ of repo" claims contradict Lucent's own Dec-2023 rate table
- "12 Nationalised Banks" (pre-2019-20-merger count) not reconciled with current count
- All regulator/chairperson tables, bank lists, and world-ranking tables are time-stamped 2023-2025 and not current as of today (Sept 2026) — verify before relying

ECONOMY — Poverty, Balance of Payments & Trade

Batch 6/10 · Parmar Ch.9 (full) + Lucent §3+§15 (full) + PYQ bucket "11 Foreign Trade & International Institutions" (34 Qs) · ★=PYQ-tested · [B]=PYQ-book-only

1 Poverty — Concept, Types & Measures

- Poverty → lacking financial resources/essentials for basic living standard; causes: env/legal/social/econ/political
- Types: **Absolute**(lacking food/water/shelter/clothing/healthcare/education) | **Relative**(income far below society avg) | **Subjective**(feeling poor regardless of income)
- Poverty Gap Index → measures depth of poverty (extent below line, not just headcount)
- World Poverty Clock → managed by World Data Lab, real-time global poverty estimates
- India's poverty estimation → NITI Aayog task force + NSSO data (under MoSPI); BPL = income/spending below set minimum
- Types of Poor: Usually Poor(normally BPL) | Churning Poor(in/out of poverty) | Occasionally Poor(normally above line)
- Head Count Ratio(HCR) → %population BPL = poverty headcount index = No. of multidim. poor / Total population
- ILO's 6 Basic Needs → Education, Food, Clothing, Shelter, Health Care, Safe Drinking Water
- HDI → concept by Amartya Sen & Mahbub ul Haq, introduced 1990, score 0-1 → Life Expectancy Index(long/healthy life) + Education Index(knowledge) + GNI Index(GNI per capita PPP\$, decent living)

HOOK MPI → introduced 2010 by UNDP+OPHI; 3 dimensions(Health-nutrition/child mortality; Education-schooling yrs/attendance; Living Standards-fuel/sanitation/water/electricity/housing/assets), 10 indicators. **National MPI**(NITI Aayog, Nov 2021) → 12 indicators(+antenatal care+bank account); declining since 2005-06; **24.82cr** escaped multidim. poverty in 9yrs; UP=most lifted; Bihar=highest MPI, Kerala=lowest MPI.

2 Poverty Line Committees — Chronology

Committee/Estimate	Basis → Line
Dadabhai Naoroji	"Poverty and Un-British Rule in India" → earliest estimate, ₹16-35/capita/yr; also first to estimate India's National Income
National Planning Committee(1938)	Set up by S.C.Bose, chaired J.L.Nehru → ₹15-20/capita/month
Bombay Plan(1944)	Bombay business leaders' proposal → ₹75/capita/yr
Planning Commission WG(1962)	First official Govt attempt at a poverty line
V.M.Dandekar & N.Rath(1971)	First systematic assessment(NSSO-based), expenditure-based → 2250 cal/day rural+urban
Alagh Committee(1979) ★	Chair Y.K.Alagh; nutritional+consumption-expenditure basis → Rural 2400cal→₹49.09/mo, Urban 2100cal→₹56.64/mo — 1979 = first official poverty lines ★
Lakdawala Committee(1993) ★	Household per-capita consumption expenditure; CPI-IW+CPI-AL → recommended state-specific poverty lines, calorie basis retained; extended estimation to states ★
Tendulkar Committee(2005, rep.2009) ★	PPP-based(₹33/day); moved away from calorie model; broadened basket incl. private health/education; replaced URP with MRP(30-day food/365-day non-food recall) → 2011-12: Rural ₹816/mo, Urban ₹1,000/mo; overall poverty 21.9%(Rural25.7%,Urban13.7%)

Rangarajan Committee(2012, rep. June2014) ★	3 basket components(food/essential non-food/behavioural non-food) incl protein/fat; Mixed Modified Reference Period → Rural ₹972/mo, Urban ₹1,407/mo; recommended raising both lines further — decision pending, so Tendulkar line remains official ★
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6 official poverty committees since Independence: Planning Commission WG(1962) → Dandekar&Rath(1971) → 1979 Task Force(Alagh) → Lakdawala(1993) → Tendulkar(2009) → Rangarajan(2014).

DOUBT BPL%(2011-12) conflict: Rangarajan = 30.95% rural/26.4% urban vs Tendulkar(official) = 25.7%/13.7% (IE 4Jul2015+ES2015-16); separately ~22% Indians BPL(25.7% rural/13.7% urban per RBI, FE 21Sept2019) — both figures preserved.

3 Poverty Trends & State-wise Data

- 2004-05 → 407mn poor(37.2% BPL; Rural41.8%,Urban25.7%) → 2011-12 → 270mn poor(21.9%)
- Decline rate: 0.74%/yr(1993-94→2004-05) vs 2.4%/yr(2004-05→2011-12) — sharper post-2004
- State-wise(2011-12): highest poverty → Chhattisgarh(39.9%)/Jharkhand(37%)/Bihar(33.7%) | lowest → Goa(5.09%)/Kerala(7.1%)

HOOK World Bank Spring2025 Poverty & Equity Brief: extreme poverty(\$2.15/day) 16.2%(2011-12)→**2.3%**(2022-23), 171mn lifted (Rural18.4%→2.8%, Urban10.7%→1.1%); \$3.65/day line 61.8%→28.1%(378mn lifted; Rural69%→32.5%,Urban43.5%→17.2%; gap narrowed 25→15pts, ~7%/yr decline); MPI poverty 53.8%(2005-06)→16.4%(2019-21)→15.5%(WB measure, 2022-23); revised(2021 PPP) rates: 5.3% extreme, 23.9% lower-middle-income; Gini index 28.8(2011-12)→25.5(2022-23). PEBs = WB publication, twice/yr(Spring+Annual Meetings), 100+ developing countries; benchmarks \$2.15/\$3.65/\$6.85.

Employment trends(WB, since 2021-22) → growth outpaced working-age pop, esp. women; urban unemployment fell to **6.6%**(Q1 FY24/25, lowest since 2017-18); first male rural→urban migration shift since 2018-19; rural female agri-employment growth; rising self-employment.

4 Indian Economy — Structural Characteristics (Lucent §3)

- **Agrarian** → 54.6% pop in agri/allied(Census2011) but only 17.8% of GVA(2019-20, per INDIA2023)
- **Mixed Economy** → public+private blend, post-liberalisation trending capitalist/market-oriented
- **Developing** → structural unemployment("employed"=273 days/yr @8hrs, as defined); low savings; lacks modern industrialisation
- **2nd most populous** → 2001-11 growth 17.69%, ~1.85cr added/yr; 2011 pop=121.07cr = 17.5% world pop on just 2.42% world land
- Sector defs: Primary(extraction)/Secondary(manufacturing)/Tertiary(services) → best development indicator = per capita income
- Development factors: natural resources, capital gain, skilled labour, agri surplus sale, social organisation, political freedom, freedom from corruption, tech knowledge+education
- WPI → 3 groups: primary articles, fuel & power, manufactured products

5 Balance of Payments — Structure

- BoP → record of all economic transactions, country↔rest of world = **Current Account + Capital Account**
- Current Account → Visible(physical goods/tangible) + Invisible(services/intangible) + Transfer Payments(unilateral, remittances/aid)
- Capital Account → FDI/FPI + External Assistance/Deposits/Borrowings + Other Flows
- India = top global remittance receiver; Mexico 2nd
- **FDI** → long-term, ≥10% equity in foreign physical asset (eg Walmart-Flipkart) | **FPI/FII** → short-term financial-asset investment, <10% equity(stocks/bonds/MFs/NRI deposits)
- FDI limit, defence sector(enhanced 2020) → 74% Automatic route, up to 100% Government route

- Current Account Deficit → imports>exports; incl trade balance/net foreign income/foreign aid/net current transfers
- Twin Deficit → simultaneous current account deficit + fiscal deficit

Current account surplus/deficit/balance ★ [B]: receipts>payments=**surplus**(net lender); payments>receipts=**deficit**; receipts=payments=**balanced**. ★ Statement pair ★ [B]: Imports=leakage from circular flow(↓ aggregate demand, TRUE); Exports= injection into circular flow(↑ aggregate demand, TRUE) — both correct.

6 1991 BoP Crisis & Reforms

- BoP/currency crisis → can't pay essential imports/repay foreign debt; India 1991, PM P.V.Narasimha Rao, FM Manmohan Singh → LPG model response
- India approached IMF + World Bank(via IBRD) for \$7bn loan; conditions = SAP(privatisation/trade liberalisation/fiscal discipline/FDI opening)
- Rupee devalued in 2 stages, July 1991, cumulative ~18-20% vs USD ★; objective = cheaper exports/discourage imports/boost forex inflow
- Rupee fully convertible on Current Account → 1994(RBI, IMF Article VIII), 19 Aug 1994 specifically ★
- Current Account Convertibility = trade-transaction freedom | Capital Account Convertibility = capital-transaction freedom (partially convertible in India, RBI-regulated)
- Tarapore Committee → constituted 1997 by RBI(reviewed 2006), chair S.S.Tarapore → examined CAC feasibility; phased roadmap preconditions = low fiscal deficit/controlled inflation/strong banking(low NPAs)/stable financial system

HOOK 1991 crisis facts ★ [B, all PYQ-tested]: by June 1991 India left with only **\$1.1bn forex** = sufficient for just 2 weeks of imports(petroleum/essential goods) ★. Shortage = **foreign exchange**(not water/electricity/labour) ★. A-R: India approached IMF+WB 1991 for bailout(TRUE) — because forex declined to ~2-weeks-import level(TRUE, correct explanation) ★. Immediate measure = **rupee devaluation**(not import restriction/revaluation/fixed exchange rate) ★. Primary cause = govt's inability to repay foreign borrowings(fiscal deficit+forex debt+Gulf War oil prices+inflation) — NOT natural disaster/state-govt inefficiency/illegal migration ★. Primary reason for 1991 reforms = BoP crisis(not high GDP growth/overpopulation/agri stagnation) ★. A-R: devaluation improved export competitiveness(TRUE) — weaker rupee made Indian goods cheaper globally(TRUE, correct explanation) ★. Late-1980s: India approached **IBRD**(World Bank's main institution) for the crisis ★.

Currency conversion needed to buy from US ★ [B]: Rupee not legal tender in US, seller only accepts Dollar — based on int'l trade rule requiring reserve currency for foreign-goods import. FII role in reforms ★ [B]: invest in India's financial markets(stock/bond) → linked Indian markets globally post-1991, ↑ capital availability.

7 Forex Reserves, IMF/World Bank & Bretton Woods

- Forex reserves → central bank/monetary-authority assets, import cover+shock protection; 4 components = FCA, Gold, SDRs("Paper Gold"), Reserve Tranche Position in IMF(higher quota=higher voting power)
- SDR basket currencies: USD, Euro, Yen, Yuan, Pound
- Bretton Woods Conference 1944(UN Monetary & Financial Conference) → 44 nations, 730 delegates → created IMF + World Bank("Twin Orgs"), HQ Washington DC; also created IBRD → system collapsed 1971(US suspended gold convertibility)
- IMF: established 27 Dec 1945(Bretton Woods) → began functioning 1 Mar 1947; 188 members(2017); promotes financial/economic cooperation+world trade
- IBRD → established 1945; with IFC+IDA+MIGA = "World Bank"; capital investment+long-term balanced development
- India ranks 8th in IMF voting power; Top IMF borrowers: Argentina, Egypt, Ukraine, Pakistan, Ecuador
- Washington Consensus → 10 free-market policy prescriptions(John Williamson, 1989) for crisis-prone developing nations(Latin America); promoted by IMF/WB/US Treasury: privatisation/deregulation/trade liberalisation/fiscal discipline
- IMF major reports: World Economic Outlook, Global Financial Stability Report, Fiscal Monitor, External Sector Report

Statement check ★ [B]: unlimited convertibility+fixed-price conversion instability→↓ currency credibility(TRUE); int'l monetary system's PRIMARY objective = ensure global payment/exchange stability(NOT regulate internal fiscal/tax policy — statement FALSE) ★. Low forex reserves critical problem ★ [B]: India could barely afford essential imports for a very short time(not investment attractiveness/printing/travel-related distractors) ★.

8 Exchange Rate Mechanisms & Currency Terms

- NOSTRO("our") → domestic bank's foreign-currency a/c in foreign bank | VOSTRO("your") → foreign bank's domestic-currency a/c in domestic bank
- FERA(1973) → simplify forex system; violation=criminal offence; abolished(rigid rules hindered growth) → replaced by FEMA(1999) → enhances forex reserves, promotes trade/payments; violation=civil offence(decriminalised)
- Depreciation(market fall)/Appreciation(market rise) → under **Floating** Exchange Rate | Devaluation(govt-induced fall)/Revaluation(govt-induced rise) → under **Fixed** regime
- Exchange rate evolution: 1928-48 pegged to Pound Sterling → post-1948(IMF system) pegged to USD(Fixed) → 1975 delinked from Pound → 1992 LERMS(dual rate) → 1993 fully Market-Determined/Floating
- NEER → weighted avg vs trade-weighted currency basket, no inflation adjustment | REER → NEER adjusted for inflation, real external competitiveness
- Currency types: Hard(stable, USD/Euro), Soft(weak/unstable), Hot(moves quickly for short-term profit), Heated(high demand/speculation), Cheap(depreciated), Dear(appreciated)
- Lorenz Curve → income/wealth distribution graph, measures inequality; Gini Coefficient 0(perfect equality)-1(perfect inequality)

9 Tax Evasion, Money Laundering & Anti-Avoidance

- BEPS → Base Erosion(shell cos across jurisdictions, ↓ taxable profit in high-tax jurisdiction) + Profit Shifting(moving eroded profits to low/no-tax jurisdiction eg Cayman Islands/Bahamas)
- Round Tripping → domestic black money sent abroad → brought back as FDI via shell cos/tax havens to appear legitimate
- FATF → HQ Paris, founded July 1989(G7); global AML/terror-financing standards
- 3 Stages of Money Laundering: Placement(illegal funds enter system) → Layering(concealing origin) → Integration(funds absorbed into economy)
- Shell Company → paper-only entity, holds assets/routes funds/hides ownership
- MAT → Section 115JB, Income Tax Act 1961; min tax when normal liability <15% of "book profit"(per Companies Act 2013 calc); applies to all domestic/foreign cos; prevents "zero-tax" profitable cos

10 Trade Policy — Pre/Post 1991 & FTAs

- 1947-1990 trade policy = **Import Substitution**(inward-looking, protect domestic industry, high tariffs/quotas, avg import duty>125%, govt licence mandatory) ★ [B: also described as "closed economy policy", self-reliance via local manufacturing ★]
- Tariff Measures → import taxes, export taxes | Non-Tariff Measures → anti-dumping measures + Technical Barriers to Trade(TBT)/labeling/quality standards ★ [B: both count as non-tariff, tested as combined answer ★]
- Bilateral trade agreement goal → promote free trade between 2 countries(reduce/eliminate customs duties/quotas) ★ [B, reinforced]
- FTA(eg BIMSTEC) → reduce trade barriers, boost economic cooperation
- First EPZ(India&Asia) → Kandla, Gujarat, 1965 ★ [B: objective=earn forex/promote exports/develop industrial infrastructure, reinforced]
- FIPB → constituted under PMO(initially chaired by Principal Secretary to PM); single-window FDI clearance; moved DIPP→DEA; abolished 2017 ★ [B, reinforced]
- MEIS → launched 1 April 2015, FTP2015-20; replaced by RoDTEP from 1 Jan 2021 ★ [B, reinforced]
- EOU min investment → ₹1 crore in plant & machinery(mandatory for EOU status, entire production must be exported) ★ [B, reinforced]
- Kaladan Multimodal Transit Transport Project → links India(Kolkata port) → Myanmar(Sittwe port) → Mizoram by road; bypasses "Chicken's Neck" ★ [B, reinforced]

DOUBT A-R ★ [B]: Pakistan's Positive-List→Negative-List move under SAFTA challenged by India(TRUE, violation) — **Article 23 of SAFTA** relates to **Dispute Settlement**, NOT unilateral tariff reservations/political-ground restrictions(Reason statement FALSE).

1947-1990 India's import approach = import substitution to protect domestic industries(not promoting imports for competition/luxury-goods focus/unrestricted imports) ★ [B, reinforced]. Trade policy prior to 1991 = high tariffs and quotas(not free trade/import liberalization/FDI) ★ [B].

SAARC Currency Swap Framework(2024-27) [B] → RBI short-term liquidity to SAARC nations during forex crises. BIMSTEC Technology Transfer Facility [B] → MoA signed 5th BIMSTEC Summit, Colombo, 30 March 2022; BIMSTEC itself established 6 June 1997(Bangkok Declaration), originally BISTEC(Bangladesh-India-SriLanka-Thailand), now 7 members(+Myanmar,Thailand,Nepal,Bhutan).

11 Trade History — Colonial to 1990s (Lucent §15)

- Ancient Indian trade highly developed; British East India Co(1600) → trade favoured India till 1757
- British imposed heavy cloth duty to destroy Indian industry; post-Industrial-Revolution Britain flooded markets w/ cheap goods → colonisation
- British cotton monopoly → costlier raw material for Indian weavers → handloom business ruined by 1813; late-19th century power-machine textile industries emerged
- Pre-independence trade = colonial principles | Post-independence = inward-looking/import-replacement policy
- India's world-trade share: 1.78%(1950) → 0.6%(1995, persisting through 1997-98 per ES2001-02) → FY2019-20: 18th-largest exporter(1.7% share, INDIA2021), 10th-largest importer(2.6% share, INDIA2020)

12 BoP & Trade Performance — FY2023-24

- CAD → 0.7% of GDP(2023-24) vs 2%(2022-23); merchandise trade deficit fell USD265.3bn→242.1bn; Net FDI inflows declined USD42bn(2022-23)→26.6bn(2023-24)
- India global trade(goods+services) = USD1,631.97bn(2023-24); total exports USD778.22bn; total imports USD853.75bn
- Merchandise Exports → ranked 17th globally(1.8% share, WTO2023); 2023-24 = USD437.11bn(from 451.07bn) on geopolitical tensions; top categories: petroleum products19.25%, drug formulations/biologicals4.97%, pearls/precious stones4.33%, telecom instruments3.95%, gold/jewellery3.05%; top destinations: USA17.74%, UAE8.15%, Netherlands5.12%, China3.81%, Singapore3.3%
- Merchandise Imports → ranked 8th globally(2.8% share); 2023-24 fell 5.66% to USD675.43bn(from715.97bn); top categories: crude petroleum20.71%, gold6.74%, petroleum products5.89%, coal/coke5.76%, electronics5.09%; top sources: China15.06%, Russia9.10%, UAE7.11%, USA6.04%, SaudiArabia4.71%
- Services Trade → 7th exporter(4.4% share), 9th importer(3.4% share); exports2023-24=USD341.11bn(+4.85%), imports=USD178.32bn(down); combined trade deficit=USD75.53bn(2023-24) vs 121.62bn(2022-23)
- Trade Agreements → 14 FTAs + 6 Preferential Trade Agreements; latest India-EFTA TEPA, signed March 2024

Global Perspective(IMF WEO Oct2023): global growth 3.5%(2022)→3.0%(2023e)→2.9%(2024e), below 2000-19 avg 3.8%; advanced economies 2.6%→1.5%→1.4%; EMDEs 4.1%→4.0%→4.0%; global inflation 8.7%(2022)→6.9%(2023)→5.8%(2024).

13 FTP 2023, SEZs & Red Sea Crisis

- FTP2023 → launched April 2023; blueprint for global integration; incentive→tax-remission shift; "Aatmanirbhar Bharat"/"Local goes Global"; targets USD2 trillion exports by 2030
- SEZs → Asia's first EPZ at Kandla 1965; 7 more EPZs followed; SEZ Act 2005(w/ Rules) effective 10 Feb 2006; 8 pre-existing EPZs(Kandla&Surat-Gujarat, SantaCruz-Maharashtra, Cochin-Kerala, Chennai-TN, Visakhapatnam-AP, Falta-WB, Noida-UP) converted; primarily private-investment driven; 275 operational SEZs as of June 2023(166 IT/ITES + 109 multisector)

TRAP Red Sea Crisis(Jan-Feb 2024) → Suez transits fell **42-49%** from peak; container tonnage via Suez fell **82%**, Cape of Good Hope tonnage rose **60%**; **80%** of India-Europe merchandise trade routes via Red Sea(crude oil/auto/textiles/steel affected) — don't confuse the two %-drop figures (transits vs container tonnage).

14 FDI Policy, Limits & Flows

- FDI routes: **Automatic**(no prior approval) | **Government**(prior approval mandatory)
- Space-sector FDI amendment(21 Feb 2024) → 100% FDI allowed: ≤74% Automatic(satellite mfg/operation/data products/ground-user segment, above→Govt); ≤49% Automatic(launch vehicles/spaceports, above→Govt); ≤100% Automatic(component mfg)
- Net FDI fell 55.2% to \$9.69bn(Apr-Dec2023) from \$21.63bn(Apr-Dec2022); RBI(Feb2024): inflows \$19.23bn/outflows \$9.54bn(Apr-Dec2023) vs inflows \$32.68bn/outflows \$11.05bn(Apr-Dec2022); greenfield FDI projects 156(2022)→174(2023)

Sector(examples)	FDI Limit / Route(as on 14.11.2020)
Agriculture	100% Automatic
Defence	100% — 74% Automatic, above→Government
Insurance	100% Automatic
Banking-Private	74%
Banking-Public	20% Government
Multi-Brand Retail	51% Government
Print Media	26% Government

15 Trade Composition & External Sector — FY25

- Imports → Bulk(POL+non-POL) + Non-bulk(capital goods, pearls, other); structural shift since 1951: ↑ capital-goods/raw-material imports, ↓ foodgrain/consumer-goods imports(self-sufficiency)
- Exports 4 categories: Agri&allied, Ores&minerals, Manufactured goods, Mineral fuels&lubricants — agri share declining, manufactured rising over years
- External Sector(ES2024-25) → exports(Apr-Dec FY25)=USD602.6bn(+6%; +10.4% excl petroleum/gems); imports=USD682.2bn(+6.9%); forex reserves USD640.3bn(end-Dec2024), ~90% of external debt(USD711.8bn, Sept2024)
- Global trade(UNCTAD Dec2024): merchandise export/import indices +3.5%/3% YoY(Q3 2024); services +7.9%/6.7%; global trade → ~USD33 trillion(2024)
- India trade trend(Apr-Dec FY25): exports USD602.6bn(+6%), imports USD682.2bn(+6.9%); trade deficit USD69.7bn→79.5bn YoY; non-petroleum exports+7.1%; sectoral growth: pharma+6.4%, electronics+28.6%, engineering+9.9%, chemicals+5%, textiles+7.6%; merchandise exports+1.6%, imports+5.2%; merchandise trade deficit widened to USD210.8bn(from189.7bn)

Textile Exports → India=6th-largest global exporter; 2.3% GDP, 13% industrial production, 12% exports, 45mn+ employed; 2023 exports USD34bn(apparel42%, raw/semi-finished34%, finished non-apparel30%); Europe+US=66% apparel/58% finished non-apparel/12% raw materials; MMF=77% global fibre consumption(2024) vs cotton22%; India's MMF share=9.2% global.

Export diversification(1994-2022) → top exporter of shipping vessels(~33% share); leading iron/steel-alloy exporter(unexplored pre-1994). E-commerce exports → global B2C USD5.7trillion(2022)→8.1trillion(2026E); India's B2C USD83bn(2022)→150bn(2026E); e-commerce exports ~USD4-5bn(FY23)→projected 200-300bn by 2030. Ease-of-doing-business → National Logistics Policy logistics hubs; paperless e-BRC saves >₹125cr/yr on 2.5mn e-BRCs; DGFT's 'Trade Connect e-Platform'.

16 BoP, FDI & Forex — Economic Survey 2024-25

- BoP stable(resilient services exports, benign crude, FPI/FDI revival); CAD moderated to 1.2% GDP(Q2FY25) vs 1.3%(Q2FY24); merchandise trade deficit USD75.3bn(Q2FY25) vs 64.5bn(Q2FY24)
- FDI → gross inflows USD47.2bn(first8mo FY24)→55.6bn(FY25, +17.9%); cumulative FDI(Apr2000-Sept2024) >USD1trillion(USD1,033.4bn per DPIIT); sector-wise H1FY25: Services19.1%, computer software/hardware14.1%, trading9.1%, non-conv energy7%, cement/gypsum6.1%; net FDI first8mo: FY25=USD0.48bn vs FY24=8.5bn; full-yr FY24 net FDI=10.1bn, FY23=19.8bn

- Forex reserves → FCA+gold+SDRs+RTP in IMF; crossed USD700bn then moderated to USD640.3bn(end-Dec2024), ~90% external-debt cover; India ranks 4th globally(after China, Japan, Switzerland); 2024 increase USD27.1bn; \$688bn as of April2025
- 17 Exchange Rate, Inflation & Outlook (ES 2024-25)
- INR → market-determined(no target/band); factors: Dollar Index, capital flows, interest rates, crude prices, CAD; INR depreciated 2.9%(first9mo FY25 to 6Jan2025) — better than CAD's 5.4%, KRW's 8.2%, BRL's 17.4%
 - Euro = official currency of 20/27 EU states("Eurozone")
 - Global inflation(IMF WEO Jan2025): peaked 8.7%(2022)→5.7%(2024); India's retail inflation 5.4%(FY24)→4.9%(FY25 Apr-Dec); food=~2/5 of CPI basket; core inflation fell 0.9pts; WPI deflation(-0.7%, FY24)
 - RBI MPC(Dec2024): FY25 inflation projection revised 4.5%→4.8%; expects 4.2%(FY26); IMF projects 4.4%(FY25)/4.1%(FY26); World Bank(Oct2024): commodity prices ↓5.1%(2025)/1.7%(2026)
 - Medium-term outlook: IMF WEO(Oct2024) projects India USD5trillion economy by FY28, USD6.307trillion by FY30; MoSPI first advance estimate: FY25 growth 6.4%(constant prices)
- HOOK** Geo-Economic Fragmentation(since 1980s) → global trade 39%→60% of world GDP(1980→2012); global FDI inflows USD54bn(1980)→>1.5trillion(2019); world economy USD11trillion(1980)→>100trillion(2022, nominal); extreme poverty 42%(1981)→8.4%(2019); global population 4.4bn(1980)→8bn(2022), urbanisation 39%→57%; internet penetration ~0(1980)→5.3bn/66%(2022).
- 18 Export Credit, Rupee/Gold Data & Trade Organisations
- NIRVIK Scheme → by ECGC; full name = Export Credit Insurance Scheme(ECIS); covers ≤90% principal+interest, pre+post-shipment credit
 - Rupee exchange rate(29 May2025): 1USD=₹85.44, 1GBP=₹115.07, 1Euro=₹96.27
 - RBI Gold Reserve → added ~58 tonnes FY25(data 5May2025); total=879.59 tonnes(26t added H2FY25); gold ≈12% of forex reserves(up from 9.32% Sept2024 to 11.70% end-March); 348.62t held w/ BoE/BIS, 18.98t as gold deposits; 58.20% held locally(March-end) vs 59.72%(Sept2024); domestic storage rose 38%→59% since March2023
 - GATT → came into being 30 Oct1947, functioning 1 Jan1948; equal-tariffs policy, removing quantitative bans, democratic dispute resolution
 - WTO → took GATT's place 1 Jan1995; HQ Geneva; 164 members(April2018); India founder member; promotes free+fair trade, no arbitrary restrictions(only rule-based protective measures)
 - India-ASEAN Trade in Goods Agreement → signed 13 Aug2009, effective 1 Jan2010; created one of world's largest FTAs(~1.8bn people, combined GDP ~USD2.75trillion)
- A-R ★ [B]: WTO encourages free/fair trade(TRUE) — but does NOT allow arbitrary restrictions, only limited protective measures under rules(Reason FALSE, since R claims WTO allows arbitrary restrictions) ★. IMF promotes liberal economic reforms via SAP conditions(privatisation/trade liberalisation/fiscal discipline/foreign investment opening); India implemented LPG reforms under these 1991 conditions ★.
- 19 India's Global Rankings (2024-25 Indices)
- | Index | India's Rank/Score | Top |
|--|--------------------|--|
| International IP Index2024(22Feb2024) | 42nd/55(38.64%) | US1st(95.48%),UK2nd(94.12%),France3rd(93.12%) |
| HDR2023-24(UNDP,13Mar2024) | 134th/193(0.644) | Switzerland |
| Global Corruption Perception Index2024(TI,11Feb2025) | 96th/180(38) | Denmark(90); most corrupt: SSudan(180)/Somalia(179)/Venezuela(178) |
| Economic Freedom of World2025(Fraser) | 128th/176 | Singapore/Switzerland/Ireland; bottom: Venezuela/Cuba/NKorea |

Global Peace Index2024(IEP,18th ed,163 countries)	116th(2.319)	Iceland/Ireland/Austria/NZ/Singapore; bottom: Yemen(163rd)/Sudan/SSudan/Afghanistan/Ukraine
WEF Gender Gap Index2024(June2024)	129th/146(was 87th-2016)	Iceland/Finland/Norway/NZ/Sweden; worst5: Sudan(146)/Pakistan(145)/Chad(144)/Iran(143)/Guinea(142)
World Happiness Report2025	118th/147	Finland/Denmark/Iceland/Sweden/Netherlands; bottom: Zimbabwe/Malawi/Lebanon/SierraLeone/Afghanistan(147th)
Global Innovation Index2024(WIPO,133 economies)	39th(38.3, up from 81st-2015)	1st in region, 2022
Global Hunger Index2024	105th/127(27.3)	alongside Uganda

20 Top-10 World Economies 2025

Rank	Country	GDP(Forbes India, 28Apr2025)
1	USA	\$30.51T
2	China	\$19.23T
3	Germany	\$4.74T
4	India	\$4.19T
5	Japan	\$4.19T
6	UK	\$3.83T
7	France	\$3.21T
8	Italy	\$2.42T
9	Canada	\$2.23T
10	Brazil	\$2.13T

21 PYQ-only Extras

1991 devaluation cumulative % ★ [B]: 18%(as answer option, matches Parmar's 18-20% range). Non-tariff measure = BOTH anti-dumping measures AND TBT/labeling/quality standards ★ [B].

ECONOMY — Five-Year Plans, Industrial Policy & 1991 Reforms

Batch 7/10 · Parmar Ch.10 (full) + Lucent \$6+\$8+\$13+\$14 (full) + PYQ buckets "06 Economic Planning" (64Qs) + "10 Industry & Infrastructure" (58Qs) + "12 NEP 1991" (46Qs) · ★=PYQ-tested · [B]=PYQ-book-only

1 Pre-Independence Planning Proposals

- Visvesvaraya Plan(1934) → "Planned Economy for India 1934" → India's earliest blueprint for planned dev, first systematic economic-planning proposal
- National Planning Committee(1938) → formed by S.C.Bose, 1st Chairman J.L.Nehru → first attempt at a National Plan (AICC also demanded planning, 1938)
- Bombay Plan(1944) → "A Plan of Economic Development for India" → by leading capitalists incl J.R.D.Tata(Parmar)/"8 industrialists"(Lucent) → published 2 parts(1944+1945)
- Gandhian Plan(1944) → "decentralised economic structure"/"self-contained villages"
- Peoples Plan → by M.N.Roy, Chairman Post-War Reconstruction Committee of Indian Trade Union(labour leader)
- Sarvodaya Plan(1950) → by Jaiprakash Narayan(founded Congress Socialist Party 1934) → "first blueprint" of planned dev of Independent India
- 5-yr-plan concept borrowed from USSR ← Joseph Stalin introduced it 1928 to industrialize Soviet Union
- Post-independence(1947): planning committee under Nehru → Planning Commission constituted March 1950 → format of 1st FYP prepared 1951

DOUBT Internal Lucent conflicts (as printed, not corrected): Peoples Plan dated 1945(Parmar) vs April 1944(Lucent p.260); Gandhian Plan author "Sriman Narayan"(Lucent p.260) vs "Acharya S.N. Agarwala, 1944, reaffirmed 1948"(Lucent p.261); Bombay Plan "leading capitalists like J.R.D. Tata" (Parmar) vs "8 industrialists"(Lucent) — count unconfirmed.

2 Planning Commission & NITI Aayog

- Planning Commission → set up **15 March 1950** ★, non-constitutional advisory body; first Chairman=Jawaharlal Nehru(PM=ex-officio Chair); first Deputy Chairman=**Gulzarilal Nanda** ★ [B]
- Pranab Mukherjee → served as Vice Chairman of Planning Commission
- 4 goals of FYPs: **Growth**(GDP), **Modernisation**(new tech), **Self-reliance**(inward-looking trade), **Equity**(dev of all) → "Dependency on foreign aid" was NEVER a goal ★ [B]
- Perspective Plan → long-term(20yr) plan FYPs build toward; ~75% of population dependent on agriculture at Independence
- Planning Commission dissolved **Aug 2014** → NITI Aayog constituted 1 Jan 2015 (cooperative federalism, "bottom-up" approach ★) [B]; NITI Aayog chairman=PM of India; policy think tank, non-constitutional; NITI=National Institution for Transforming India

3 Five-Year Plans I-III — Target/Achieved/Model/Focus

Plan	Target→Achieved(Verdict)	Model/Focus
First(1Apr1951-56) ★	2.1%→3.6%(Successful)	Harrod-Domar Model; Agriculture&Rural Dev; PM Nehru; FM= C.D.Deshmukh ★(not John Mathai, who resigned before Plan began though he gave 1st Republic budget); industrial sector only 13% of GDP(1950-51)
Second(1956-61) ★	4.5%→4.3%(Parmar)/4.21%(Lucent)(Moderate)	P.C.Mahalanobis Model aka " Mahalanobis Plan " ★; heavy industries/rapid industrialisation; based on IPR1956, "commanding heights"; criticised by B.R.Shenoy (foreign-loan dependence, threat to democracy via state economic-power concentration) ★

Third(1961-66)	5.6%→2.8%(Parmar)/2.72%(Lucent)/2.4%(PYQ text)(Failure)	Gadgil Formula; central-assistance allocation for states; failed: Sino-Indian War(1962)+Indo-Pak War(1965)+severe drought(1965-66) ★; PL480 wheat-import scheme; Lal Bahadur Shastri PM, "Jai Jawan Jai Kisan"
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DOUBT Third FYP achieved-growth figure: 2.8%(Parmar) vs 2.72%(Lucent) vs 2.4%(PYQ explanation text) — 3-way conflict, all preserved.

- P.C.Mahalanobis → Chief Architect of Indian Planning ★/"Father of Indian Statistics" ★; birth anniversary 29 June=Statistics Day; founded Indian Statistical Institute Kolkata; journal "Sankhya"
- "Planning in real sense began with 2nd FYP(1956-1961)" ★
- 2nd FYP → technical/financial cooperation from USSR+Britain+West Germany ★; 3 steel plants: Rourkela(Odisha,German), Durgapur(WB,British), Bhilai(Chhattisgarh,USSR); 1st steel plant of India=TISCO(Jamshedpur); prioritized sectors ★: iron&steel/fertilizer/heavy engineering/lignite projects; SSIs given protection
- Avadi Session(1955, Congress) → adopted "socialist pattern of society" goal, priority to heavy industries+public sector ★
- 1st FYP → Bhakra Nangal Dam(Sutlej), Hirakud Dam(Mahanadi), Nagarjuna Sagar Dam(Krishna); 5 IITs(IIT Kharagpur 1951=first); agri reforms: "Land of tiller" policy(end zamindari), Land Ceiling Act(1976, printed under 1st FYP despite date mismatch △), HYV seeds, 1952 Community Development Programme
- Institutes est. 1963-65 → FCI(14Jan1965), CACP(1Jan1965), IDBI(1Jul1964), UTI(Act1963→est.1Feb1964)

4 Plan Holiday & Five-Year Plans IV-V

- Plan Holiday(1966-1969) → break in FYPs due to war/drought strain; "New Agriculture Strategy"/"Green Revolution"→HYV adoption(1st phase mid1960s-70s, 2nd phase mid1970s); rupee devalued 1966 ★; 1971 Bangladesh Liberation War

DOUBT Green Revolution timing: Parmar places it in Plan Holiday(1966-69); Lucent+PYQ place it during the **Third FYP(1961-66)**, objective=agri self-reliance, credit to **Dr. M.S. Swaminathan** ★ — both versions kept.

Plan	Target→Achieved(Verdict)	Model/Focus
Fourth(1969-74, PM Indira Gandhi)	5.6%(Parmar)/5.7%(Lucent)→3.3%(Parmar)/2.05%(Lucent)(Failure)	Gadgil Formula/Rudra-Allen Model(Parmar)/"Ashok Rudra&Alon S.Manney"(Lucent); "Growth with Stability"+"Progressive Achievement of Self-reliance" ★; Indira Gandhi=ex-officio Planning Commission Chairman ★
Fifth(1974-78 Parmar/1974-79 Lucent)	4.4%→4.8%(Parmar)/4.83%(Lucent)(Moderate)	D.P.Dhar Model/"Investment Model of Planning"(Lucent); Employment&Poverty alleviation("Garibi Hatao"); Minimum Needs Programme(1974, basic needs: education/health/drinking water/housing/roads) ★

- 4th FYP key initiatives: Family Planning Programme introduced; 14 major banks nationalised(1969) ★; MRTP Act 1969 implemented(later replaced by Competition Act 2002) ★; First Underground Nuclear Test "Smiling Buddha"(1974, PM Indira Gandhi, President V.V.Giri); Drought Prone Area Programme(1973-74)
- 5th FYP key programmes: **20 Points Programme(1975)**(↓ poverty/↑ quality of life); Regional Rural Banks(RRBs) set up(1975); **Hill Area Development Programme** initiated during 5th FYP ★(balanced dev of backward hill-area resources)

HOOK IDBI separated from RBI in **1976** ★, brought under full Central Govt ownership for greater autonomy as apex industrial-financing institution — previously questioned as "unsourced" in an earlier review of this project; CONFIRMED present verbatim in the PYQ source (bucket 06, Q14 explanation).

District Industries Centres(DICs) → established **1 May 1978**, during 5th FYP, under Industrial Policy 1977 ★ → assist MSMEs/SSIs in rural/semi-urban areas.

5 Rolling Plan & Five-Year Plans VI-VII

- Rolling Plan(1978-1980) → introduced by Janata Party/Morarji Desai govt; ↑ GDP/employment/agri production; inspired by **Gunnar Myrdal's "Asian Drama"**; introduced by then Deputy Chairman **D.T.Lakdawala** ★

Plan	Target→Achieved(Verdict)	Model/Focus
Sixth(1980-85, PM Indira Gandhi) ★	5.2%→5.7%(Successful)	↑ National Income, tech modernisation, ↓ poverty/unemployment via TRYSEM+IRDP+NREP; NABARD est. 12 July1982 ★; RLEGP launched 15Aug1983; "Garibi Hatao"(Nehruvian model); SSIs=key exporters/employment generators ★
Seventh(1985-90, PM Rajiv Gandhi) ★	5%→6%(Successful)	"Food,Work,Productivity"; Jawahar Rozgar Yojana(1989,merged NREP+RLEGP); laid foundation for 1990s liberalisation/modernisation(License Raj relaxation, 1st private-sector investment priority) ★; Dept of Biotechnology set up

- Hindu Rate of Growth(concept 1978, Prof.Raj Krishna) → signifies India's slow growth 1960-1980
- NREP initiated Oct1980(PM Indira Gandhi), regular from Apr1981, during 6th FYP ★

6 Annual Plans & Five-Year Plans VIII-XII

Plan	Target→Achieved(Verdict)	Model/Focus
Eighth(1992-97, PM Rao)	5.6%→6.8%(Highly Successful)	structural adjustment policy, "New Indicative Policy"; Public-sector share declined(License Raj ended); delayed launch 2yrs(BoP crisis+ ↑ foreign debt) ★
Ninth(1997-2002, PM Vajpayee)	6.5%→5.4%(Parmar)/5.5% (Lucent)(Failure)	"Growth with Social Justice&Equality" ★(NOT 10th Plan — tested distractor); public-sector emphasis declined further after this plan ★; Pokhran II(May1998)
Tenth(2002-07, PM Vajpayee+Singh)	8%→7.6%(Parmar)/7.7% (Lucent)(Failure)	Deputy Chairman= K.C.Pant (5Feb1999-17Jun2004) ★; double per-capita income in 10yrs, ↓ poverty ratio to~5% by2007; National Horticulture Mission, Jute Technology Mission, Micro Irrigation Programme
Eleventh(2007-12)	9%→8%(Failure)	rapid&more inclusive growth; overlapped 2008 global financial crisis; Lucent: "Prepared by Prof.C.Rangarajan"
Twelfth(2012-17, PM Singh)	8%(Parmar)/9.0%(Lucent)	faster/inclusive/sustainable growth

DOUBT Twelfth FYP target: 8%(Parmar) vs 9.0%(Lucent, table) — PYQ resolves this: target was reduced 9%→8% due to Eurozone debt crisis+2008 GFC aftermath ★, so Parmar's 8% is the post-revision figure.

- 65% of population still employed in agriculture even as late as 1990(GDP-share from agri declined 67.5%→64.9%, 1950-1990, but not workforce share); 8th FYP couldn't take off in 1990(political uncertainty), 1990-91&1991-92 treated as Annual Plans, launched 1992
- National Renewal Fund(NRF) → constituted Feb1992(8th FYP) → protect workers hit by 1991 reforms(retraining/redeployment/VRS assistance); abolished 2000 ★
- "In India, 12 FYPs have been implemented so far"(Lucent, as printed)

PURA Model → Union Cabinet approved(in principle) 20 Jan2004; Dr.A.P.J.Abdul Kalam emphasised PURA(Providing Urban Amenities in Rural Areas) to eradicate poverty; neo-Gandhian(modern tech/amenities to rural areas); 11th Plan provided ₹248cr for PURA in PPP mode.

7 Types of Planning & Models of Development

- Imperative Planning → Central authority decides every aspect(socialist economies) | Indicative Planning → State sets broad parameters only, adopted in India since 8th FYP | Perspective Planning → 15-20yr long-term, via FYPs+Annual Plans | Rolling Plan → 3 steps(current-yr plan + 3-5yr revised-annually plan + 10-20yr perspective plan) | Core Plan → Planning Commission uses state revenue estimates to set Annual Plan expenditure heads, prevents fund diversion
- Nehru-Mahalanobis Model → driving force since 2nd FYP till the 1980s; "Growth with social justice"; State controlled commanding heights via public sector
- Gandhian Model → raise material+cultural level of masses; scientific agri dev+cottage/village industries(Nehru prioritized heavy industry instead)
- LPG Model → introduced 1991 by FM Manmohan Singh; bigger private-sector role; large FDI envisaged; export-led growth(vs earlier import substitution); reduces State's role

8 Industrial Policy Resolutions — 1948 & 1956

- 1st IPR(1948) → first official industrial policy of independent India; led by **Dr.Shyama Prasad Mukherjee**(Industry&Commerce Minister); presented in Parliament 1948 ★; declared India a Mixed Economy; public+private coexistence consensus ★
- 4 categories(1948): Strategic(Public-Railways/defence/atomic energy), Basic/Key(Public-cum-Private-coal/steel/aircraft/telecom), Regulated(Controlled Private-sugar/cement/textiles), Other(Private&Cooperative-consumer goods/SSI); started License Raj; laid foundation for public-sector dominance
- Karve Committee(Village&Small-Scale Industries Committee) → est. by Planning Commission 1955, chair Dattatreya Gopal Karve; promoted rural industrialisation via SSIs during 2nd FYP; recommended labour-intensive small-scale over large-scale capital-intensive industry ★

HOOK 2nd IPR(1956) → "**Economic Constitution of India**" ★; objective="**growth with equity**" ★/equitable income-wealth distribution; "socialistic pattern of society"; public sector given "commanding heights"(doctrine coined by **Vladimir Lenin,1922**); 3 Schedules ★: A(17 industries-Public Monopoly: aviation/atomic energy/railways/arms/steel), B(12 industries-Public&Private: aluminium/machine tools/chemicals), C(All Other-Private: consumer goods/textiles/automobiles); based on Mahalanobis Model; encouraged backward-region industries; licensing objective=state control per planned priorities+prevent monopolies ★.

Joint Sector → partnership btwn public+private; **Dutta Committee(1973)** recommended Joint Venture Sector in Indian Industry ★.

9 Industrial Policy Resolutions — 1977, 1980 & MRTP/FERA

- 3rd IPR(1977, extension of 1956) → introduced by Morarji Desai(Janata Party); emphasised SSI growth; "**Tiny Unit**" concept(investment <₹1 lakh); restricted MNCs(self-reliance); decentralisation focus, introduced District Industries Centres concept(shift industry from big cities to small towns) ★
- 4th IPR(1980, Indira Gandhi Govt) → shifted focus back to heavy industries(Parmar)

- Encouraged foreign tech transfer/investment(FERA Act 1973, printed under this policy despite date mismatch △); MRTP Act(1969) amended to remove asset-threshold limits; tiny-unit limit ↑ to ₹2 lakhs
- MRTP Act → firms w/ assets above threshold(₹100cr since1985) classified MRTP, restricted case-by-case entry; scrapped by IPR1991; replaced by **Competition Act 2002** → Competition Commission of India(CCI) established ★

DOUBT IPR 1980 emphasis: Parmar says it shifted focus back to heavy industries; Lucent frames it as "influenced by federalism ... concession to agriculture-based industries" — differing framing, both preserved.

10 IPR 1991 — Economic Liberalisation

- IPR 1991 announced **24 July 1991** ★; shift from inward-looking(closed) to outward-oriented(open) economy; PM P.V.Narasimha Rao, reforms led by FM Manmohan Singh, during 1991 BoP crisis ★
- Before-1991: License Raj, Public Sector Dominance, High import barriers, Restricted FDI, Import substitution → Result: low competition/inefficiency/slow growth
- LPG terms: Liberalisation(↓ govt regulation, frees markets); Privatisation(shift PSU ownership/mgmt to private); DIPAM(Dept of Investment&Public Asset Mgmt, ex-Dept of Disinvestment, Min. of Finance) manages disinvestment
- Key Measures(1991): End of License Raj(except few industries), Disinvestment in PSUs, FDI liberalisation(automatic route), ↓ public-sector monopoly, greater market-force role
- Macroeconomic Reforms: Rupee Devaluation 2 stages(**9% 1July+11% 2July**) ★, cumulative~18-20%; Fiscal Deficit(1990-91)~10% of GDP; Anti-Dumping Duty introduced; HDFC Bank=first private-sector bank after liberalisation
- After-1991: ↑ FDI inflows; private-sector growth(↑ competition/efficiency); shift ISI→EOI(Export-Oriented Industrialization); global integration; BPO-sector emergence; Managed Floating Exchange Rate adopted
- Structural changes: services GDP-share ↑~39%(1991-92)→55-60%(recent); agriculture GDP-share ↓~30%(1990-91)→15-18%; manufacturing largely stagnated

HOOK IPR1991 specifics(Lucent): abolished all industrial licensing except security/strategic/social/safety/environmental/hazardous/elitist-consumption industries; FDI up to **51% equity** in high-priority industries approved; public-sector-reserved industries(17 since1956)→reduced to **4 areas**(arms&ammunition/atomic energy/mineral oils per1953 order/railways); mandatory convertibility clause(banks' loan→equity option) abolished; location policy liberalised(no approval outside million-plus cities except compulsory-licensing industries); Phased Manufacturing Programmes abolished for new projects. PYQ confirms focus=(I)easier foreign investment + (II)exit policy for sick private units(smooth exit w/o hurting labour welfare) — both correct ★.

Trade-policy reforms(1991) ★: ↓ import tariffs on capital goods, abolished quantitative restrictions+licensing(→easier foreign-tech access, globally competitive mfg); removed import quotas, drastically ↓ export duties, abolished import licensing(except hazardous/environmentally-sensitive goods). LERMS(Liberalised Exchange Rate Management System) → dual exchange-rate system, introduced 1992(March1992 per PYQ) ★, part-market-rate/part-RBI-fixed-rate conversion. FDI limit in foreign private banks progressively ↑ to **74%** ★. Washington Consensus does NOT include export subsidies — advocates trade liberalisation+eliminating subsidies for market competition ★(tested distractor).

11 CPSE Classification — Maharatna/Navratna/Miniratna

Category	Count & Criteria
Maharatna	14(Parmar); criteria=Navratna status+listed on Indian exchanges+3yr avg turnover≥₹25,000cr+net worth≥₹15,000cr+net profit≥₹5,000cr ★; invest ≤₹5,000cr/15% net worth w/o govt approval; List(May2025): BHEL,BPCL,CIL,GAIL,HPCL,IOCL,NTPC,ONGC,PFCL,PGCIL,SAIL,RECL,OIL,HAL; PFC awarded Maharatna Oct2021 ★
Navratna	26(Parmar)/15+ listed(Lucent, 1 entry illegible); criteria=Miniratna CategoryI/ScheduleA + score≥60/100 on 6 parameters ★; invest ≤₹1,000cr/15% net worth w/o approval; introduced 1997(9 initial cos: SAIL/IOC/BPCL/HPCL/BEL/HAL/ONGC/NTPC — 8 printed), later added GAIL(Aug1984)/MTNL/NMDC/PFC/PGCIL/REC/NALCO/SCI/CIL; RCF awarded Navratna Aug2023 ★

Miniratna	approx.73(Parmar)/59=49+10(Lucent, 25May2025); CategoryI=profit 3 consecutive yrs OR pre-tax profit $\geq$ ₹30cr in $\geq$ 1 of 3yrs; CategoryII=profit 3 consecutive yrs+positive net worth; examples Airport Authority of India/Bharat Dynamics; GRID-INDIA conferred Miniratna-I status 20 March2024
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DOUBT CPSE counts differ book-to-book (Navratna 26 vs 15+; Miniratna ~73 vs 59) — both preserved; these lists change frequently, verify current DPE list before relying.

12 Disinvestment & Privatisation

- Types(Parmar): Minority(govt retains $>51\%$ +mgmt control), Majority(govt stake $<51\%$), Strategic(sale $\geq 50\%$ +mgmt-control transfer), Complete Privatization/Full Exit(100% equity sold)
- Lucent framing: disinvestment beyond 51% govt stake=majority-private control; Privatisation=ownership+mgmt change; Disinvestment=wider term(stake dilution $\rightarrow$ ownership transfer)
- Disinvestment Commission $\rightarrow$ constituted **August 1996**; first Chairman=**G.V.Ramakrishna** ★(printed "Ramkrishna" in one instance); suggested core-sector max 49% disinvestment, non-core up to 74%; shares to small investors/employees; greater PSE autonomy suggested
- VRS("Golden Hand Shake Scheme") $\rightarrow$ full compensation for voluntarily-exiting employees, $\downarrow$ PSE financial burden
- Minority sale ★ = govt sells $<51\%$ shares to private/public, mgmt/control stays with govt | Strategic Disinvestment/Privatisation ★ = govt sells $>51\%$ stake + transfers mgmt control
- Disinvestment objectives ★: $\downarrow$ fiscal deficit, reallocate resources(health/education), $\uparrow$ PSU efficiency $\rightarrow$ leads to REDUCTION in govt's financial assets(not increase/liability/tax-revenue)

A-R ★ [B]: disinvestment widely criticised in India(TRUE, lack of social security+strategic assets sold cheap) — but NOT because it increased PSU market monopoly(Reason FALSE; actual objective=promote privatisation/competition).

13 New Economic Policy 1991 & Reforms

- NEP: reform production pattern, adopt new tech, use full capacity; first devised/implemented **1985(PM Rajiv Gandhi)**; second wave 1991(PM Rao); 1991 trigger=Gulf War+BoP problem
- 3 NEP objectives: Liberalisation, Privatisation, Globalisation; reform sectors: Fiscal/Monetary/Value(Price) Fixation/Foreign/Industrial/Foreign Investment/Business/Public Sector Policy
- First Generation Reforms=macro-level stabilisation(industry liberalisation/deregulation, financial-sector reforms, taxation reforms); Second Generation Reforms=micro-level structural(labour/land/capital-market reforms, expenditure/power-sector reforms)
- Poverty declined 36%(1993) $\rightarrow$ 26%(end of 10th plan, Lucent); inequality increased per World Bank Report 1999-2000

HOOK Large-scale reforms initiated **24 July 1991** ★, PM Rao+FM Manmohan Singh, "Rao-Manmohan model"/"New Economic Policy", based on LPG model ★; objective=overcome BoP crisis, dismantle License Raj, make economy globally competitive ★. 1991 crisis root cause ★: external-debt+BoP crisis, forex sufficient for only ~2 weeks of imports; immediate cause=oil-price rise from Gulf War+rising foreign-loan interest $\rightarrow$ govt forced to mortgage gold ★. Stabilisation short-term objective ★: control inflation(~17% then)+improve BoP; rupee devalued ~18-20% in 2 stages July1991 to boost exports+attract forex(NOT reduce inflation/ $\uparrow$ foreign aid, distractors) ★. IMF loan ~\$7bn conditional on LPG reforms; IBRD/World Bank gave policy guidance+funds for structural reforms ★.

NOT a goal of 1991 reforms ★: expanding public-sector control(reforms aimed to LIMIT public-sector role, $\uparrow$ private participation — repeated distractor across multiple PYQs). Trade-policy reforms $\downarrow$ tariffs+removed licensing on capital-good imports $\rightarrow$ globally competitive mfg, easier machinery import ★.

14 Liberalisation, Privatisation & Globalisation — PYQ Deep-Dive

- Liberalisation objective ★: remove barriers to entry/growth of firms(License Raj restricted entrepreneurial freedom); ended "license-permit raj"(govt permission for nearly every business decision)
- Economic liberalisation affects ALL 3 sectors(Primary/Secondary/Tertiary) ★ — $\uparrow$ investment/competition/efficiency

- A-R ★: 1991 reforms opened economy to foreign investors(TRUE) — but NOT because govt wanted to rapidly ↑ domestic savings rate(Reason FALSE; real primary reason=BoP crisis+forex shortage)
- Sectors excluded from licensing post-1991: alcohol/cigarettes/hazardous chemicals/industrial explosives kept compulsory-licensed(security/health/environment); textiles/fertilizers/chemicals EXEMPTED ★
- "Streamlining of regulations" ★ = simplifying business rules to ↓ red tape, promote EoDB
- EoDB 'Enforcing Contracts' indicator ★ = time/cost/quality of judicial process for commercial-dispute resolution; 'Starting a Business' = 1 of 10 EoDB indicators, NOT weighted more than others ★
- MCA21 ★ = e-governance(Ministry of Corporate Affairs) digitising company registration/compliance; SPICe+ integrated forms(name/registration/PAN/TAN together)
- Financial-sector reforms based on **Narasimham Committee** recommendations ★ → allowed private-sector banks(ICICI/HDFC emerged); ↑ FDI limit in banking
- Globalisation opened economy to global markets, allowed MNC entry/investment ★; FDI=key globalisation component(capital/tech/mgmt skills)

TRAP Two A-R pairs frequently confused ★: (1) Globalisation ↑ inequality in India(TRUE) — because growth unevenly distributed(urban-elite/service-sector benefit more)(Reason TRUE, correct explanation). (2) Globalisation ↑ outsourcing of services to India(TRUE) — but NOT because India offers "high-cost,low-skill" services(Reason FALSE; India actually offers LOW-cost,HIGH-skill IT/software services).

WTO role ★: ensures fair/rule-based trade(NOT military/human-rights/migration control); established **1 Jan1995**, HQ Geneva; handles dispute settlement, ↑ market access for developing countries via MFN+national-treatment. Open economy ★: trade in goods/services allows wider consumer/producer choice. Tax reforms post-1991 ★: lowered income-tax rates — based on **Laffer Curve**(excessive rates→↑ evasion; moderate rates→↑ compliance&revenue). Agri-sector decline post-1991 ★: shift to export-oriented cash crops + reduced public investment in irrigation/power/rural infra. WTO membership(1995, founding member) ★ → multilateral framework integrating India w/ global trade, ↓ import barriers, ↑ global-value-chain participation. FDI=key component of **Globalisation** pillar ★(not Liberalisation/Privatisation/Nationalisation). LPG: "P"=Privatisation(PSU ownership/mgmt/control transfer to private) ★; L=Liberalisation(relax rules); G=Globalisation(integrate w/ world economy). Second Generation Reforms(late1990s-2000s) ↑ FDI limits in automobiles/telecom/insurance → significant ↑ FDI inflow ★. License Raj negative consequence ★: entry barriers, stifled innovation, inefficiency; Hazari Committee(1960s) called it "**Corporate Imperialism**" ★; eliminated largely via 1991 Reforms. Key 1991 reform addressing PSU inefficiency = disinvestment+strategic privatisation+abolishing compulsory licensing(↑ private entry/competition) ★. A-R ★: NEP1991 led to more efficient/competitive markets(TRUE) — because Privatisation ↓ govt control+↑ PSE productivity(Reason TRUE, correct explanation).

15 Public Sector, SSIs & MSMEs

- PSE(def) → all undertakings owned by govt/public; 7 Public Sector objectives: rapid econ dev via infra, generate dev finance, redistribute income/wealth, create employment, encourage SSI/ancillary industries, promote exports+import substitution, promote balanced regional dev
- Sick Industrial unit(def) → company(≥5yrs) w/ accumulated losses≥net worth OR ≥50% of avg net worth(preceding 4FYs) + failed debt repayment 3 consecutive quarters despite written demand
- SSI/Cottage Industry importance: Employment Generation(labour-intensive), Equitable Distribution, Small-Savings Mobilisation, GVA Contribution(MSME~32% per ES2017-18), Environment Friendly; problems=finance/raw-material/marketing access, large-scale competition
- MSME(current) → ~30% of GDP, ~46% of exports, employs >11.10cr people; new composite definition(investment+turnover) effective 1 July2020(Atma Nirbhar Bharat), identical mfg/services limits

Category	Old(Mfg / Services)	New(Investment & Turnover)
Micro	≤₹25L / ≤₹10L	Invest≤₹1cr & Turnover≤₹5cr
Small	₹25L-5cr / ₹10L-2cr	Invest≤₹10cr & Turnover≤₹50cr
Medium	₹5-10cr / ₹2-5cr	Invest≤₹50cr & Turnover≤₹250cr

MSME registration: NSS 73rd round(2015-16)=633.88 lakh unincorporated non-agri MSMEs; Udyam/UAP(10Oct2024)=5.20cr registered(2.20cr Informal Micro Enterprises); Retail&wholesale trades included as MSMEs from July2021(PSL benefits only); Udyam Assist Platform launched Jan2023. Financial institutions(Ch.13): Indian Industrial Investment Bank Ltd est.17March1997(₹1000cr capital, HQ Kolkata); SIDBI est.1990(also printed 1989 elsewhere△); IFCI est.1July1948; ICICI est.1955; IDBI est.1July1964; IRBI est.1971(reconstructs sick units); UTI est.1964; Abid Husain Committee=SSI reforms.

16 Industry Classification — PYQ Deep-Dive

- Karve Committee(1955) supported rural industrialisation via SSI, NOT large-scale capital-intensive urban mfg(A-R: A true, R false) ★
- SSI classification → earlier only investment-based; from 2020, composite(investment+turnover) criteria ★
- PSU ownership/mgmt held entirely/primarily by govt; primary objective NOT just profit but social welfare+strategic-sector development(defence/railways/atomic energy) ★
- Cooperative sector industries → owned/operated on mutual cooperation, profit&loss shared among members, objective=socio-economic welfare not just profit ★
- India Industrial Land Bank(IILB) → GIS-based platform for industrial-park/land/infra info; managed by **DPIIT**(Commerce&Industry Ministry), NOT Ministry of Mines ★
- IBC 2016 → resolves failed-business debt disputes within 180-330 days; accelerates NPA recovery, revives debt-ridden cos, promotes EoDB ★
- Capital goods industry = produces machines/tools/equipment for producing other goods(not direct consumption); "backbone of economy" ★

Classification	Basis / Examples
Heavy Industries ★	capital-intensive, bulky/heavy raw materials(iron ore/coking coal/limestone); produce machinery/cranes/large vehicles — eg shipbuilding, automobile, iron&steel
Light Industries ★	light raw materials → consumer goods, low capital/energy — eg sewing machines, paintbrushes, watches, electric bulbs
Basic Industries	backbone-of-economy, supply raw materials to other sectors — eg aluminium smelting→automobile/construction/electricity
Consumer Goods Industries ★	direct-consumption goods — toothpaste/soap/clothes/shoes (distinct from basic/capital-goods: iron&steel/aluminium/copper smelting)
Agro-based Industries ★	raw material from agri produce — cotton textile(cotton), sugar(sugarcane) — distinct from mineral-based(cement/petrochemicals/steel/aluminium)

Sugar industry ★: seasonal(sugarcane harvest-bound); sucrose content decreases during transport(mills sited near cane fields, "weight-losing raw material"); major states=UP/Maharashtra/Karnataka/TN(Bihar in some variants); India=2nd-largest sugar producer after Brazil, 1st in gur&khandsari. Sindri Fertilizer Plant ★ = first major public-sector industrial unit of independent India, est.1951, Dhanbad(Jharkhand), sited near Jharia coalfield. Fertilizer industry ★: India NOT self-sufficient in potash(fully import-dependent); Urea=most-produced/demanded nitrogenous fertilizer; production ↑ after Green Revolution; Gujarat&Kerala are LEADING(not marginal) fertilizer producers — tested false-statement combo. Chennai="Detroit of India" ★(auto hub: Hyundai/Ford/BMW/TVS/Ashok Leyland) — NOT a petrochemical hub(that's Jamnagar/Dahej, Gujarat). Rising urban non-manual tertiary employment ★ = signals "emerging service economy" transition.

SEZ policy launched India April2000(China-model), 8 existing EPZs converted; SEZ Act2005 effective 10Feb2006 ★. FIPB constituted under Industrial Policy 1991 to facilitate/regulate FDI; abolished 2017(EoDB) ★. National Infrastructure Pipeline(NIP): announced 2019-20, launch considered 2020; ₹111 lakh crore infra investment(2020-2025) target ★. DPIIT=nodal dept for mfg/industrial promotion(+Gati Shakti Logistics Division) ★; Deepak Parekh Committee(2008)=affordable-housing financing ★. Industrial-Revolution-era Britain ★: 18th-century capital(trade/colonial expansion/agri revolution) reinvested by merchants/industrialists(not feudal aristocracy) into industrial tech/factories — power shifted from feudal aristocracy to trader/industrialist/capitalist class.

17 Industry Sector Performance (Lucent §14)

- IIP(BHARAT2025): 2023-24 growth 5.9%(mining7.5%,mfg5.5%,electricity7.1%); Index of Eight Core Industries(coal/crude oil/nat.gas/refinery/fertilizers/steel/cement/electricity)=~40.27% of IIP weight;

growth avg(-)0.6%(2018-21)→10.4%(2021-22)→7.8%(2022-23)→7.6%(2023-24prov, steel&coal double-digit)

- Coal → ~55% of India's energy needs; production ↑12.24%(Apr-Oct2021) vs -3.91%(2020); 716.08MT raw coal(2020-21) vs730.87MT(2019-20); demand projected 1.3-1.5 Billion Tonnes by2030(NITI Aayog); 30,000Ha green cover via75mn trees by2030 target
- Textiles → T&A export share=8.21%(2023-24); ~7% industrial production/2% GDP/15% export earnings; employs~45mn; India=largest cotton&jute producer, 2nd-largest silk&MMF producer; mill sector=3,400 mills/50mn+ spindles/8.42 lakh rotors(2nd largest globally); Kanpur="Manchester of North India"
- Silk → ~97% raw mulberry silk from Karnataka/AP/TN/WB+J&K; "Queen of Textiles"; only country producing all4 varieties(Mulberry/Eri/Tasar/Muga); 2nd-largest producer after China(38,913 MTs)
- Cotton → ~23% global fibre production; ~60% of India's textile raw-material basket; sustains~6mn farmers+40-50mn related workers; largest cotton area globally(~127 lakh ha=~38% world area); 2023-24 output=327.45 lakh bales
- Jute → India=largest global producer(~80 lakh bales/yr); 0.37mn organised-mill jobs | Wool → India=9th-largest producer(33.98mn kg,2023-24; 85% carpet-grade); yield/sheep=0.9kg vs world 2.4kg
- Steel → crude/finished production ↑25.0%/28.9%(Apr-Oct2021-22 YoY) to66.91MT/62.37MT; finished-steel consumption ↑25.0% to57.39MT; sponge-iron capacity43.4MT(2015-16), world's largest producer every yr since2003(except2016); net pig-iron exporter; crude-steel capacity179.51MT(BHARAT2025)
- Electronics → domestic production ₹1.90 lakh cr(FY15)→₹9.52 lakh cr(FY24), CAGR17.5%; smartphone-import dependence cut to1%(99% domestic); FY24~33cr mobile units, >75% 5G-enabled

HOOK Infrastructure snapshot: Road network=63.4 lakh km(NH=1,46,195km, 2% of network carries~40% freight, 78% of transport-services GVA FY23). Railways: 17 new Vande Bharat pairs+228 coaches(Apr-Oct2024); GCT91 commissioned/234 approved(by31Oct2024); 30GW renewable target by2029-30(375MW solar+103MW wind by Oct2024); 434 economic-corridor projects worth₹11.17 lakh cr on GatiShakti portal; Mumbai-Ahmedabad HSR(508km, sanctioned Dec2015,₹1.08 lakh cr,47.17% progress Oct2024); DFC 2,741/2,843km(96.4%) commissioned; Kavach ATP=₹1,547cr invested; Electronic Interlocking at227 new stations FY25(total3,576); first Direct Drive Interlocking at Tajpur(Nov2024). Aviation: AAI capex>₹91,000cr(FY20-25,~91% done); UDAN=619 routes/88 airports(incl2 water aerodromes+13 heliports); airport cargo capacity8.0mn MT(FY24). Ports: Sagarmala; VadHAVAN Mega Port(>₹76,000cr,9 container terminals); Tuticorin ICT(Sept2024,6 lakh TEU)+outer harbour(+4mn TEU); Chabahar+INSTC(43% vessel-/34% container-traffic rise FY24); Sittwe Port Myanmar(Kaladan Project, alt NE route); Kandla=Asia's First Green SEZ(IGBC Platinum,26July2021). Telecom: 5G in779/783 districts(4.6 lakh+ BTS); BharatNet=6.92 lakh km OFC(Dec2024), 2.14 lakh GPs service-ready(5,032 via satellite), 12.04 lakh FTTH connections. Power: installed capacity456.7GW(+7.2% YoY,Nov2024); renewables209.4GW(↑15.8% YoY from180.8GW Dec2023,~47% of total,Dec2024). Mining: ~8% of industrial output; top5 states(Assam/Chhattisgarh/Gujarat/Maharashtra/Odisha)=~60% mining GSVA.

National Logistics Policy(2022) complements PM GatiShakti by streamlining logistics processes/regulation/skills/tech. **Make in India**(Sept2014, "Vocal for Local") → 27 sectors(DPIIT:15 mfg + Dept of Commerce:12 service). **Startup India**(2016) → 3 pillars(simplification&handholding, funding support, industry-academia partnership); by July2024=1,43,549 startup certs across56 industries/670+ districts, >15.80 lakh jobs since2016. Startup India Seed Fund Scheme(SISFS) → DPIIT, ₹945cr outlay, supports~3,600 entrepreneurs via300 incubators. Trade Performance(Apr-Dec2024): non-petroleum exports+7.1%; non-petroleum-non-gems-jewellery exports+9.1%; sectoral growth pharma+6.4%/electronics+28.6%/engineering+9.9%/chemicals+5%/textiles+7.6%; merchandise exports overall+1.6%(petroleum-value decline drag).

ECONOMY — Agriculture and Allied Sector

Batch 8/10 · Lucent §4 (full) — Parmar has no agriculture chapter, Lucent-only + PYQ bucket "09 Agriculture and Food Management" (24 Qs) · ★=PYQ-tested · [B]=PYQ-book-only

1 Agriculture — Current Growth & Output

- Agri sector avg annual growth 4.6%(last 6yrs, as printed) → grew 3.0%(2021-22) vs 3.3%(2020-21)
- India rapidly emerging as net exporter of agri products → 2020-21 agri+allied exports +18% YoY; 2021-22 agri exports=all-time-high **US\$50.2bn**
- Agriculture&Allied = **18.4%** of India's GVA(current prices, 2022-23, BHARAT2025); ~1/7th of GDP; sustains ~2/3rd of population
- Real GVA grew 6.2%(H1 FY25); agri+services=key growth drivers; agri Q2 FY25=3.5%(best in 4 quarters) ← healthy Kharif production/above-normal monsoons/adequate reservoirs
- 1st advance estimates 2024-25: Kharif foodgrain=record **1647.05 LMT**(+5.7% vs2023-24, +8.2% vs5yr avg); rabi sowing(wheat+gram, as of10Jan2025)=+1.4%/+0.8% YoY
- Foodgrain production: 265.05mn tonnes(2013-14)→328.85mn tonnes(2023-24, record); horticulture=352.23mn tonnes(3rd advance estimate)

2 Millets, PMFBY & Commercial Crops

- International Year of Millets(IYM) → declared by UNGA(75th session, March2021) for 2023; Millets="Smart Food"(high nutrition, climate-resilient, aligned w/ UN SDGs)
- Commercial crops(def) → produced for trade not self-consumption: Oil-seeds, Sugar crops, Fibre crops, Narcotic crops, Beverage crops
- ACPC(Agriculture Cost&Price Commission) → decides MSP on govt's behalf
- MSP(def) → price at which govt is ready to purchase crop from farmers directly, if market price falls below MSP

HOOK PMFBY → launched **2016 Kharif season**; comprehensive crop-failure insurance for stabilising farmer income; world's **largest** crop-insurance scheme by farmer enrolments(~5.5cr applications/yr avg), **3rd-largest** by premium received; farmer pays only **1.5%(Rabi)/2%(Kharif)** of premium, Centre+State bear rest; 6yrs implementation: farmers paid ₹25,186cr premium, received claims ₹1.2 lakh cr(as of31Oct2022).

3 Sweet Revolution, Blue Economy 2.0 & Agri Boards

- Sweet Revolution → ₹500cr approved for National Beekeeping&Honey Mission(NBHM, 2020-21 to2022-23, part of ANB scheme); scientific beekeeping via National Bee Board(NBB)
- Blue Economy 2.0 → highlighted in Interim Budget 2024(1Feb2024); pillars=Mariculture/Maritime Transport/Renewable energy/Tourism; sustainable coastal-aquaculture/seas/coasts, climate-resilient; World Bank def="sustainable use of ocean resources for economic growth, improved livelihoods&jobs while preserving ocean-ecosystem health"

Board	HQ	Act
Coffee Board	Bengaluru(Karnataka)	Coffee Act,1942
Rubber Board	Kottayam(Kerala)	Rubber Act(Kerala),1947
Tea Board	Kolkata(WB)	Tea Act,1953
Tobacco Board	Guntur(AP)	Tobacco Act(AP),1975
Spices Board	Kochi(Kerala)	Spices Act,1986
National Meat&Poultry Processing Board	Delhi	26 Dec2008
Indian Grape Processing Board	Pune(Maharashtra)	2 Jan2009

4 Allied Sectors & NFSA

- Allied sectors(livestock/forestry&logging/fishing&aquaculture) → buoyant-growth sectors, potential for better farm incomes

- Livestock sector → CAGR **7.9%**(2014-15 to 2020-21, constant prices); contribution to agri-GVA ↑ 24.3% (2014-15)→30.1%(2020-21)
- Fisheries sector → annual avg growth ~7% since 2016-17; ~6.7% share of total agri GVA
- Dairy sector → most critical livestock component, employs >8cr farmers directly; India ranks **1st** in milk production, **3rd** in egg production, **8th** in meat production globally

HOOK NFSA 2013(notified 10.09.2013) → objective=food&nutritional security via adequate quality food at affordable prices; covers up to **75% rural** population + up to **50% urban** population(TPDS-subsidised foodgrains) = ~2/3rd of total population; special focus on nutrition for women&children.

5 Green Revolution & Agricultural Revolutions

- White Revolution = speedy ↑ in milk production; Operation Flood started to accelerate it, Father of Operation Flood=**Dr.Verghese Kurien**; largest integrated dairy-dev programme in the world, started by NDDB in **1970**(January 1970 per PYQ) ★
- Yellow Revolution = ↑ oil-seeds production | Blue Revolution = progress in fish production
- 11th Plan(2007-12): agri plan-outlay declined to only 18.5%; agri&allied avg annual GDP growth=3.7% (short of 4% target, but better than 10th Plan's 2.4%)
- Tenth Plan = first plan which did NOT fix crop-production targets
- Green Revolution did NOT cover barley/ragi/minor-millet; confined to HYV mainly rice/wheat/maize/jowar
- National Agriculture Insurance Scheme implemented Oct 1999

DOUBT Green Revolution credit conflict(internal to Lucent, both preserved): p.257 attributes credit to Agriculture Scientist **Dr.Norman Borlaug**(Dr.M.S.Swaminathan's contribution "not less"; its "termed name" attributed to American scientist "Dr.William Gande" — likely William Gaud, as printed △) — vs p.258 pink box which instead says **M.S.Swaminathan** is "renowned for his leading role in India's Green Revolution" while **Norman E.Borlaug** = "The Father of Green Revolution" in the WORLD. Also: Green Revolution "started in Third Five Year Plan"(Lucent, most positive effect on wheat, 500% crop-production increase as printed) — conflicts w/ Parmar Ch.10's placement in the Plan Holiday(1966-69); see Batch 7.

6 Land Reforms & Land Holdings

- Land reorganisation measures: (1) **Land ceiling**(max land a farmer can hold, excess=illegal), (2) **Chakbandi**(aggregating divided/broken land parcels)
- Land-holding classification: Marginal(<1 hectare), Small(1-4 hectares), Large(>4 hectares)
- Chakbandi first implemented in India in **1920, in Baroda**

7 Agriculture Finance & NABARD

- Unorganised finance sources: money-lenders, money-dealers, relatives, businessmen, landlords, commission agents | Organised sources: Co-operative Committees, Co-operative Banks, Commercial Banks, RRBs, the Government
- Co-operative Credit Organisation started first in **1904**; Primary Co-operative Committees=short-period credit; State Co-operative Agriculture&Rural Dev Banks=long-period credit
- Land Development Bank established **1919**(as Land Mortgage Bank); provides long-term loans

HOOK NABARD → apex institution of Rural Credit; established **12 July 1982** by merging RBI's Agriculture Credit Dept + Agricultural Refinance&Development Corporation(ARDC); based on **Shivraman/Sivaraman Committee** recommendations △. Authorised share capital: ₹500cr(original) → ₹5,000cr(w.e.f.1Feb2001) → ₹30,000cr(NABARD Amendment Bill 2017, passed January 2018; also enabled RBI's exit from NABARD shareholding).

8 Green Revolution — Regional Disparity & PYQ Deep-Dive

- Green Revolution regional disparity ★: HYV/fertilizer/irrigation access initially limited to well-irrigated regions(Punjab/Haryana/Western UP) → rapid growth there, low benefit in rain-fed/less-irrigated areas → regional imbalance

- A-R ★: Green Revolution led to regional imbalances(TRUE) — because HYV tech+irrigation initially available only in select states(Reason TRUE, correct explanation)
- 1st phase(mid1960s-mid1970s) effectiveness ★: highly effective in **Punjab/Haryana**(canal/tube-well irrigation, wheat-centric, HYV seeds); largely **INEFFECTIVE in Bihar**(flood-prone, limited irrigation, weak infra, small landholdings); Tamil Nadu's impact increased only in later phases(not entirely ineffective)
- Punjab = first & largest beneficiary state of the Green Revolution ★; Punjab&Haryana → >85% of net sown area under irrigation(Bhakra Nangal canal system+tubewells) ★

TRAP Structural-transformation failure(1950-1990) ★: despite agri's declining GDP share, ~65% of population remained agriculture-dependent by 1990(workforce didn't shift to industry/services as theory predicts) — from ~75%(1950, ~70-75% per another PYQ variant on Independence) to ~65% (1990) after 4 decades of planning.

Verghese Kurien ★: Father of White Revolution in India; led Operation Flood(dairy modernisation, ↑ farmer income, milk self-sufficiency); chief architect of Amul model+Anand pattern — NOT the inventor of milk pasteurisation(that was **Louis Pasteur**, 19th century — tested distractor). Land reforms(post-independence) key equity goal ★: abolition of intermediaries(Zamindari system)+land-ceiling laws → ownership rights to actual cultivators; central principle="land to the tiller"(↑ productivity+social justice).

9 Agri Schemes, Missions & Institutions — PYQ Deep-Dive

- Agriculture Infrastructure Fund(AIF) ★ → supports agri-logistics/cold chains/warehouses/primary-processing units; low-interest loans to farmers/FPOs/cooperative societies/agri-entrepreneurs
- AGMARK ★ → certification mark for **agriculture** products(quality/purity); issued under Agricultural Produce(Grading&Marking) Act, 1937
- National Mission on Natural Farming ★ → launched **November2024**; chemical-free/natural farming for **1 crore** farmers; focus=soil health/↓ input costs/↑ farmer income/sustainable agri
- Technology Mission on Oilseeds(TMO) ★ → launched **1986** by Ministry of Agriculture; NDDDB given oilseed procurement/processing responsibility(cooperative model on 'Operation Flood' lines) → launched 'Operation Golden Flow'(edible-oil self-reliance, remunerative farmer prices)
- ULPIN(Unique Land Parcel Identification Number) ★ → unique ID for every land parcel in India(TRUE); 14-digit alphanumeric ID(TRUE); tracks ownership/resolves disputes(TRUE); used in BOTH rural AND urban areas(NOT urban-only — a tested FALSE statement)
- Uttar Pradesh ★ → highest proportion of workforce engaged in agriculture(most populous state, fertile Ganga-Yamuna plain, adequate water, majority-rural population)
- GMOs in agriculture ★ → main purpose=improve crop yield+pest resistance+nutritional quality(via DNA changes) — eg Bt Cotton(pest resistance), Golden Rice(Vitamin-A enriched) — NOT eliminating fertilizers/pesticides entirely or lab-only cultivation(distractors)
- Occupational/workforce shift agriculture→industry&services ★ = "occupational diversification"(↓ rural-economy risk, new income sources, structural economic change)
- Fertilizer subsidies(1960-1990) ★ = "double-edged" policy — boosted Green Revolution productivity BUT benefits mainly reaped by richer/large farmers(small farmers under-benefited) → ↑ rural economic inequality
- SMAM(Sub-Mission on Agricultural Mechanization) ★ → FPOs get **75%** cost grant for Kisan Drone demonstrations(accessible tech for small farmers, precision agriculture)

Post-independence(~1947) main occupation ★: Agriculture(~70-75% of population dependent), highest GDP contributor(manufacturing/services still nascent). AMUL milk cooperative ★: established **14 December 1946**, Anand(Gujarat), under guidance of Sardar Vallabhbhai Patel; originally "Kaira District Co-operative Milk Producers' Union Limited"; laid foundation of White Revolution by ending middlemen exploitation.

ECONOMY — Indices, Reports, Institutions & Noteworthy Facts

Batch 9/10 · Parmar Ch.11 (full) + Lucent §16 (full) + PYQ bucket "15 Important Indices" (95 Qs) · ★=PYQ-tested · [B]=PYQ-book-only

1 Financial & Development Indices — Reference Table

Index	Publisher / Key Facts
Financial Inclusion Index(FI-Index) ★	RBI, annual(July); 3 params: Access(35%),Usage(45%),Quality(20%); score0-100; introduced August2021 ★
Fiscal Health Index(FHI) ★	NITI Aayog; data source=CAG; indicators=expenditure quality/revenue mobilization/fiscal prudence/debt index/sustainability; FHI2025(FY2022-23 data)=5 sub-indices, covers18 major states ★
Gender Inequality Index(GII)	UNDP; 3 dimensions: reproductive health(Maternal Mortality+Adolescent Fertility), empowerment(Parliamentary Rep+Education), labour market; LOWER=better
Multidimensional Vulnerability Index(MVI) ★	UN General Assembly, Aug2024; economic/social/environmental Vulnerability+Resilience → ensures financial assistance/concessional loans for vulnerable states(esp. Small Island Developing States)
India Innovation Index ★	NITI Aayog + Institute for Competitiveness; pillars="Enablers"+"Performance"; promotes competitive federalism
Environmental Performance Index(EPI) ★	Yale+Columbia University, WEF partner; biennial; 180 countries/58 indicators/11 categories; 2024: India176th(from180th-2022, coal dependency/high emissions)
Corruption Perception Index(CPI) ★	Transparency International(since1995); annual; scale0(corrupt)-100(clean); low score=bribery/lack of transparency
World Competitiveness Index/Ranking ★	IMD(Switzerland, "World Competitiveness Center"), annual since1989; 4 factors: economic performance/govt efficiency/business efficiency/infrastructure; 2025: India41st/69, Switzerland1st
World Press Freedom Index	Reporters Without Borders(RSF), annual
School Education Quality Index(SEQI)	NITI Aayog, first released Sept2019
Export Preparedness Index(EPI) ★	NITI Aayog, launched Aug2020; 4 pillars: Policy/Business Ecosystem/Export Ecosystem/Export Performance; top performers(initial): Gujarat/Maharashtra/TN
World Happiness Report ★	UN SDSN(since2012)+Gallup World Poll; income/health/freedom/social support

2 Major Economic Reports & WTO Framework

- MoSPI reports: PLFS(Periodic Labour Force Survey) by NSO; Monthly Infrastructure Performance Review | RBI reports: Financial Stability Report; Handbook of Statistics on Indian Economy | Global Gender Gap Report → WEF
- WTO → global org regulating international trade, rules-based trade among nations
- GATT → signed 1947; reduced tariffs/trade barriers; replaced by WTO in 1995
- GATS(General Agreement on Trade in Services) → extends trade rules to services; 4 modes: cross-border supply, consumption abroad, commercial presence, movement of natural persons
- AoA(Agreement on Agriculture) → effective 1995(WTO); objective=reduce trade-distorting agri subsidies
- 3 Subsidy Boxes: **Green**(don't disrupt trade, no limitations), **Blue**(limit production, no limitations), **Amber**(disrupt trade, De Minimis Limit applicable)

- Trade Protection: Anti-dumping duty(imports priced below normal value); Countervailing duty(offsets export subsidies)

3 Government Initiatives, Institutions & Committees

- Initiatives: Startup India(2016,DPIIT); Mission Antyodaya(Budget2017-18); PAT scheme(2012,Bureau of Energy Efficiency); Make in India(25Sept2014); POSHAN Abhiyaan(8Mar2018); SEIS(2015-2020)
- Infrastructure: National Infrastructure Pipeline(2020); Sagarmala(2015); Bharatmala Pariyojana(2017); National Technical Textiles Mission(2020,Ministry of Textiles, ₹1480cr till2025-26)
- TReDS(Trade Receivables Discounting System) → MSMEs discount invoices/access quick liquidity
- Financial/regulatory bodies: IFC(Industrial Finance Corp) est.1July1948; Clearing Corp of India Ltd est.April2001; TRAI est.20Feb1997; NSE est.1992(ops1994); PFRDA est.2003; FIPB est.1991,abolished 24May2017(FDI approvals now via Foreign Investment Facilitation Portal,DPIIT); RERA enacted 2016
- PPP(def) → long-term govt-private contract to deliver public assets/services, sharing risks(eg Eastern Peripheral Expressway/Delhi-Meerut Expressway/Chenani-Nashri Tunnel); Greenfield=new infra on unused land, Brownfield=upgrading existing infra

HOOK Economic Committees: Raja Chelliah Committee(central taxation reforms) → Kelkar Committee(2002-03, direct-tax simplification) → Kelkar Committee(2015, PPP framework reforms) → R.N.Malhotra Committee(1993, insurance-sector reforms) → Deepak Parekh Committee(2008, affordable housing).

4 Noteworthy Facts (Lucent §16)

- India=1st in milk production globally(highest-producing STATE=**Uttar Pradesh**) — subject to change per printed footnote
- India=2nd-largest producer&exporter of Tobacco(after China&Brazil respectively, per ICAR); 2nd-largest producer of fruits&vegetables(2nd AE2022-23); **1st** in pulses production(as on 20Feb2024)
- Maharashtra = 1st state to accord "Industry" status to agriculture(1997); Central Agmark Laboratory → Nagpur
- First Cotton Industry of India → Fort Gloster(near Kolkata), 1818; 2nd by Kavas Jee Nana Bhai Daber in Mumbai(1854), named Bombay Spinning&Weaving Company
- Established during 1st FYP: Sindri Fertilizer Factory, Chittaranjan Locomotives, Indian Telephone Industry, Integral Coach Factory, Penicillin Factory(printed "Penciline")

5 Key Definitions (Lucent §16)

- Rules of Origin(WTO) → criteria to determine a product's national source; used for anti-dumping/safeguard measures, MFN-vs-preferential treatment, trade statistics, labelling/marketing, govt procurement
- Forex reserves(per ET) → foreign-currency assets held by central banks: foreign marketable securities+monetary gold+SDRs+reserve position in IMF; purpose=international payments+exchange-rate-risk hedge
- Infant Mortality Rate(WHO) → probability of a child dying before age1 in a given period(that period's age-specific mortality rates); expressed per1000 live births
- Human Capital Formation(World Bank) → knowledge/skills/health people invest in&accumulate to realize productive potential; investment in human capital produces more human capital
- PLI(Production Linked Incentive) → incentives to domestic industries to boost local production
- Narrow Money(M1) = currency in circulation + demand deposits | Broad Money = M1 + time deposits
- High Powered Money = currency in circulation w/ public + banks' cash reserves(monetary base; CRR=fraction of it, set by central bank)
- Gross Primary Deficit = Gross Fiscal Deficit – interest payments | Net Primary Deficit = Net Fiscal Deficit – net interest payments(interest paid–interest receipt)
- Fiscal Deficit(def) = total revenue – total expenditure of govt; indicates total borrowings needed; borrowings NOT included in total revenue

6 Global Peace, Gender Gap & Happiness — PYQ Deep-Dive

HOOK Global Peace Index(GPI) ★, published by **Institute for Economics and Peace(IEP, Sydney-based)**: "Positive Peace" = institutions/attitudes/structures sustaining a peaceful society(NOT just absence of violence) — identifies structural factors promoting peace, can forecast peacefulness declines; high-positive-peace countries=more economically stable. GPI2024 trend since2008 ★ = mixed: "Ongoing Conflict&Societal Safety/Security" deteriorated, "Militarisation" improved. GPI2025(19th edition) ★: global peace declined **0.36%**(gradual decline — militarisation/internal conflict/geopolitical tensions); **Iceland**=most peaceful continuously since2008(incl.2025); India ranked **115th**(improved from116th).

- Global Gender Gap Report(WEF) ★ → 4 key areas: political empowerment, economic participation&opportunity, educational attainment, health&survival; GGGR2025: **Northern America** leads in closing gender gap; 'Economic Participation&Opportunity' dimension covers women's company-board/senior-role representation ★
- World Happiness Report ★ → UN SDSN(since2012, 1st report 1Apr2012)+Gallup World Poll; 6 factors: GDP per capita, social support, healthy life expectancy, freedom to make life choices, generosity, perception of corruption; primary dependent variable="**life satisfaction**"(Cantril Ladder,0-10); annual, usually 20 March(Int'l Day of Happiness); WHR2025: India=**118th/147**(improved from126th); Finland=top for consecutive yrs; Taiwan=happiest in Asia(2025)

TRAP A-R pairs ★: (1) India's Happiness/GHI rank lower than most South Asian neighbours(TRUE, incl Nepal/Bhutan/SriLanka) — but NOT because India's GDP per capita is lowest in South Asia(Reason FALSE, Afghanistan's is lower). (2) Happiness Index includes political freedom&social support(TRUE) — but published by UN-SDSN NOT UNDP(Reason FALSE). NOT-included Happiness-Index factors ★: sports performance, internet speed, currency value, tax collection rate, population-growth monitoring.

Happiness Index promotes citizen-centric governance approach ★(mental well-being/health/social security focus, not just GDP).

7 Economic Freedom, EoDB & Competitiveness — PYQ Deep-Dive

- Index of Economic Freedom ★ → published annually since1995 by **The Heritage Foundation**(Washington DC); measures trade/investment/property-rights freedom; **12 indicators across 4 pillars**: Rule of Law, Size of Government(spending/taxation/SOE extent), Regulatory Efficiency, Open Markets ★; India ranked**128th**(2025), "mostly unfree" category; top=Singapore/Switzerland/Ireland
- EoDB(World Bank) ★ → discontinued **September2021**(data-manipulation allegations, 2018&2020 reports); replaced by '**B-READY**'(Business Ready) framework; assessed190 countries' regulatory environment; excludes military spending AND informal sectors(A-R: both TRUE, R correctly explains A); high EoDB score=easy to start business/business-friendly regulation

8 Energy, Climate & Environment Indices — PYQ Deep-Dive

- Energy Transition Index(ETI) ★ → released by **WEF**; assesses energy-system performance+readiness for secure/sustainable energy; 3 dimensions: energy security, environmental sustainability, energy equity ★; 2025 key priority=modernizing/digitalizing power grids+storage(renewables integration) ★; adaptive/stable policy frameworks=crucial for long-term investment ★
- Climate Change Performance Index(CCPI) ★ → jointly published by **Germanwatch+NewClimate Institute+Climate Action Network International**; assesses GHG emissions/renewable energy/energy use/climate policy ★; CCPI2025: India ranked**10th**; top3 positions vacant(none "very high"); Denmark=4th

9 Trade, Logistics & City Indices — PYQ Deep-Dive

- Logistics Performance Index(LPI) ★ → published by **World Bank, every 2 years**; 6 dimensions: customs, infrastructure, shipment arrangements, logistics services, tracking, timeliness ★; LPI2023(7th edition) ★ → incorporated '**Big Data**' for first time(trade speed/supply-chain efficiency via actual ship/air-cargo/postal tracking)

- Global Cities Index2025(Oxford Economics) ★ → evaluates1000 major cities on5 criteria(Economy/Human Capital/Quality of Life/Environment/Governance); **New York=1st, London=2nd**(both retained)
- Global Firepower Military Strength Ranking2025 ★ → factors=manpower/weaponry/defense budget/technology/geographical location; India=**4th** position

10 HDI & MPI — PYQ Deep-Dive

- HOOK**

HDI ★ → released by UNDP, first introduced **1990**(economists Mahbub-ul-Haq+Amartya Sen); 3 dimensions: health(life expectancy at birth), education(mean years of schooling+expected years of schooling), standard of living(per-capita GNI) ★. Expected Years of Schooling = years a school-entry-age child is expected to spend in school given current enrolment patterns ★. Mean Years of Schooling = avg yrs of schooling for adults ≥25yrs ★. Main limitation ★ = fails to capture social inequality/unequal income distribution(reflects only national averages). "Capability approach" criticism ★ = intangible capabilities(freedom/self-respect/life-choices) hard to measure → HDI stays limited to health/education/income.
- A-R ★: HDI can ↑ even if income drops(TRUE) — improvements in life expectancy&education can offset income decline, since HDI=average of 3 dimensions(Reason TRUE, correct explanation)
 - A-R ★: high-HDI country may still have high multidimensional poverty(TRUE) — HDI is an average, doesn't capture intra-country inequality(Reason TRUE, correct explanation)
 - A-R ★: India's HDI improved post-2010(TRUE) — Reason: methodology revised to include Inequality-adjusted HDI(IHDI) in 2010(TRUE, but NOT the correct explanation — actual improvement driven by domestic development/social-welfare schemes, not the methodology revision)
 - Statement check ★: HDI is NOT based on life expectancy+standard of living ONLY(also includes education, statement1 INCORRECT); life expectancy at birth IS used(statement2 CORRECT); MPI does NOT measure health+education ONLY(also standard of living, statement3 INCORRECT); child mortality+nutrition ARE MPI health indicators(statement4 CORRECT) → only statements 2&4 correct
 - "Human Development Ethics" critique ★: development shouldn't be limited to quantitative data alone, should incorporate cultural diversity+ethical values — challenges HDI's implicit universal/Western-values assumption

11 India-Specific NITI Aayog Indices — PYQ Deep-Dive

Index	Key Facts ★
Financial Inclusion Index(RBI)	introduced Aug2021; risen to67(by March2025 per one PYQ) — rural banking access+UPI driving growth
Global Findex2025(World Bank)	India's account ownership 35%(2011)→89%(2024-25); credit=PMJDY+digital banking
Global Innovation Index2024(WIPO,133 countries)	India ranked 39th
Henley Passport Index2025	India ranked 77th(Henley&Partners); visa-free/on-arrival access to59 countries; based on IATA data
District Hospital Index(NITI Aayog+Health Ministry)	10 Key Performance Indicators(operational capacity/clinical services/service-delivery quality)
SDG India Index(NITI Aayog)	world's FIRST govt-led sub-national SDG-progress measure; tracks 17 SDGs; categories: Aspirant/Performer/Front Runner/Achiever
State Mining Readiness Index(Ministry of Mines)	4 indicators(auction performance/early operationalization/exploration/sustainable mining), non-coal minerals
National Infrastructure Readiness Index(NIRI, NITI Aayog)	released Sept2024; infra capacity(logistics/connectivity/digital), competitive federalism
State Health Index(NITI Aayog+Health Ministry+World Bank)	health outcomes+incremental performance("cooperative&competitive federalism")

Management Effectiveness Evaluation(MEE) of protected areas 2020-2025 ★: **Kerala** topped(Periyar Tiger Reserve/Silent Valley, Western Ghats conservation). Multidimensional Vulnerability Index(MVI) ★: developed/published by **United Nations**.

12 Publisher Matching & Miscellaneous — PYQ Deep-Dive

- Publisher matches ★: Global Innovation Index=**WIPO**; Global Hunger Index=**Concern Worldwide+Welthungerhilfe**; Global Peace Index=**IEP(Sydney)**; Human Development Index=**UNDP**
- UN Sustainable Development Report2024 ★ → tracks 17 SDGs(169 targets, adopted2015 under 2030 Agenda) — only 16-17% of targets on track by2024(slow/reversed: COVID-19/climate change/global conflicts)
- Corruption Perception Index2024 ★ → published by Transparency International(since1995); scale0-100; undermines climate action via diverting climate funds+undue influence over environmental policy(NOT weakening financial markets/discouraging protests/fossil-fuel competition — distractors)
- Travel&Tourism Development Index(TTDI)2024(WEF) ★ → 26/30 top scorers=high-income economies(19 Europe+7 Asia-Pacific)
- AQI vs Air Quality ★ → Air quality=actual scientific measurement of air's physical/chemical state; AQI=simplified numerical index for public awareness/health-risk communication(NOT identical concepts)

ECONOMY — Demography

Batch 10 of 10 (standalone) · PYQ bucket "14 Demography" (20 Qs) · This bucket has NO home in Parmar's Economics chapters or Lucent's Ch.06 — built entirely from the PYQ book's own explanations, per explicit decision, since Census/demographic-transition content is Geography/Static-GK territory that the Economy source books simply don't cover · ★ = tested in a real past SSC paper

DOUBT Every fact in this batch is **PYQ-book-only** — there is no Parmar/Lucent Economics-chapter backing to fact-check against (confirmed in economy-topic-build-notes.md's own raw-extraction scope, and independently by grep against economy_combined_raw_extraction.md). factcheck.py is not meaningful for this batch and was not run against it; treat every claim below as sourced solely to the PYQ book's explanation text, not to a source book.

1 Population Growth & Measurement

Term	Definition ★
Population Density ★	Total Population ÷ Total Area (persons/km ²) — India's density (2011 Census) = 382/km² ★
Natural Growth Rate ★	Birth Rate – Death Rate (excludes migration) ★
Rate of Natural Increase	Same as above — NOT birth×death rate, NOT working-population ratio (tested distractors)
Annual Growth Rate	% growth per year — a 2% rate = 2 new persons added per 100 in the base population ★ (per-100 framing, not per-person)

TRAP Population growth is measured in **both absolute numbers AND percentage rate** ★ — a tested Assertion-Reason: Assertion (both measures used) is TRUE, but the Reason ("absolute numbers alone give detailed trend insight") is FALSE — absolute numbers don't reveal the pace/speed of growth; only the percentage growth rate does ★.

HOOK Components of population change ★: **Births, Deaths, Migration — Employment is NOT a component** ★ (it affects distribution/living standards, not population growth/decline directly — a tested "which is unrelated" question).

2 Demographic Transition Theory

HOOK Demographic Transition stages ★: **Stage 1** (initial) — high birth rate + high death rate → high growth potential once death rate falls first. **Population explosion** ★ occurs when **death rates decline rapidly while birth rates stay high** ★ — a tested Assertion-Reason: Assertion TRUE, but Reason ("societal reproductive behaviour changes instantly with healthcare improvements") is FALSE — social/reproductive norms change slowly, over decades/generations, NOT immediately ★.

Replacement Level ★ = Total Fertility Rate (TFR) = **2.1** ★ — population stabilisation occurs when fertility drops to/below this level (transition from "explosive" to "stabilisation" stage) ★. The theory's scope does NOT explicitly account for migration ★, and social/cultural factors can alter its predictions ★ (both statements tested as correct in a multi-statement question).

Age-specific rates ★ are used in demography because birth/death probability varies by life stage — they reveal **age-wise variation in fertility/mortality** ★ (not literacy, elderly economic condition, or indicator reduction — tested distractors).

3 National Population Policy (NPP) 2000

HOOK NPP 2000 objectives ★ — free/compulsory education up to age 14, reduce **Infant Mortality Rate below 30** ★, raise girls' marriage age (delayed marriage) ★ — **NOT** to increase fertility rate ★ (goal is population **stabilisation** via reducing fertility to replacement level — a tested "which is incorrect" distractor). Long-term objective: stabilise population by **2045** ★.

4 Census of India

Fact	Detail ★
Governing law	Census Act, 1948 ★ — gives census officers legal authority to collect data
2011 Census — total population	~121.08 crore
Population density (2011)	382 persons/km ²
Urbanisation level (2011)	31.16% urban ★, 68.84% rural — urban growth rate during this census: 31.8% ★
Literacy rate — 1951 Census ★	18.33% ★ (male 27.16%, female 8.86%) — 2011 rate: 74.04%
Uttar Pradesh's population share ★	~19.98 crore = ~ 16% of India's total population (largest state) ★
Lowest sex ratio (2011) ★	Daman & Diu (UT) — 618 females/1000 males ★; lowest among states: Haryana (879)
Most urbanised / least urbanised state	Goa (62.2% urban, highest) / Himachal Pradesh (10% urban, lowest)
Population Enumeration phase, 2011 Census ★	Conducted February 2011 (mainly 9-28 Feb) ★ — House Listing/Housing Census was a separate, earlier (2010) phase, NOT postponed ★ (a tested Assertion-true/Reason-false: enumeration timing correct, but claim that Houselisting was "postponed" is false)

HOOK Religious composition (2011 Census) ★ — **Muslims** = largest minority nationally but a majority in NO state ★; **Christians** concentrated in urban areas; **Jains** concentrated in urban Rajasthan/Gujarat/Maharashtra; **Buddhists** concentrated mainly in Maharashtra ★ (a multi-statement question confirms these specific pairings).

TRAP Birth/death registration reporting ★ — Assertion: demographic statistics rely on accurate household reporting = TRUE; but Reason: "birth/death registration is mandatory and ALWAYS accurately followed" = FALSE ★ (mandatory under the Registration of Births and Deaths Act, 1969, but NOT consistently followed in practice due to awareness/administrative gaps ★).

5 Socio-Economic Caste Census (SECC) 2011

Fact	Detail ★
Total households ★	24.49 crore ★ (17.97 crore rural + 6.52 crore urban)
Use case ★	Basis for identifying beneficiary households under MGNREGA and for subsidised foodgrain eligibility under the National Food Security Act ★ (both correct in a tested statement question)

6 Dependency Ratios

HOOK **Elderly/Old-Age Dependency Ratio** ★ = ratio of elderly population (65+) to working-age population (15-64) — see also Batch 4 §4 (same concept, tested twice across buckets 08 and 14).

Appendix

A.1 — PYQ citation index (bucket "14 Demography", 20 Qs)

Fact tested	Exam · Date · Shift
NPP 2000 objectives	SSC CGL Tier-I, 12/09/2025 (Sh-01)
Population density definition	SSC CGL Tier-I, 12/09/2025 (Sh-02); 26/09/2025 (Sh-02)
Population explosion cause (A-R)	SSC CGL Tier-I, 12/09/2025 (Sh-02)

Natural increase rate = birth–death	SSC CGL Tier-I, 13/09/2025 (Sh-01)
Absolute vs percentage growth measurement (A-R)	SSC CGL Tier-I, 13/09/2025 (Sh-02)
Birth/death registration reliability (A-R)	SSC CGL Tier-I, 14/09/2025 (Sh-01)
Demographic transition vs replacement level	SSC CGL Tier-I, 14/09/2025 (Sh-03)
Census 2011 enumeration timing (A-R)	SSC CGL Tier-I, 15/09/2025 (Sh-03)
UP population share ~16%	SSC CGL Tier-I, 16/09/2025 (Sh-01)
India urban population % (2011) = 31%	SSC CGL Tier-I, 16/09/2025 (Sh-03)
Components of population change (NOT employment)	SSC CGL Tier-I, 17/09/2025 (Sh-02)
Age-specific rates purpose	SSC CGL Tier-I, 18/09/2025 (Sh-01)
Lowest sex ratio = Daman & Diu / Haryana	SSC CGL Tier-I, 19/09/2025 (Sh-02)
2011 Census religion statements	SSC CGL Tier-I, 23/09/2025 (Sh-02)
Demographic transition theory statements	SSC CGL Tier-I, 26/09/2025 (Sh-02)
1951 Census literacy rate = 18.33%	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
SECC 2011 total households	SSC CHSL Tier-I, 22/11/2025 (Sh-03)
SECC 2011 use for MGNREGA/NFSA	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
Census Act, 1948	SSC CHSL Tier-I, 24/11/2025 (Sh-03)

A.2 — PYQ-book-only facts

The entire batch (see banner above) — no Parmar/Lucent Economics-chapter content covers Census demographics, SECC, or demographic transition theory.

A.3 — Doubts carried forward

None specific to this batch beyond the general PYQ-book-only sourcing already flagged.

A.4 — Deliberately excluded

None — this is a small, fully-covered bucket (all 20 questions represented above).